

ACT 0 — PREAMBLE & DASHBOARD

SCREEN 1 — DEMO HUB

No script needed. User navigates to the **JazzX AI Future of Work Demos** hub and clicks:

“Commercial Portfolio Surveillance & Annual Review”

SCREEN 2 — LAUNCH SCREEN

Visual: Full-screen dark gradient background (blue-purple). JazzX AI logo + **“Future of Work Demos”** header persistent at top.

Body copy:

Learn how JazzX AI transforms commercial portfolio surveillance, covenant monitoring, and Annual Review execution across on-book CRE relationships.

Button: **Launch the CRE Portfolio Surveillance Demo**

SCREEN 3 — PERSONA CARD

Visual: Jordan's headshot left. Content right. Dark gradient background. **"Next"** button bottom right.

Name / Title: ****Jordan Lee ****(**Commercial Portfolio Manager [^c0]—
Commercial Real Estate U.S. Regional Bank)

Role Definition

Jordan owns portfolio monitoring, Annual Review decisioning, and Credit handoff for on-book relationships.

Jordan's Pain Points

Managing a portfolio of commercial relationships while keeping Annual Reviews on time and identifying deterioration before it becomes a loss.

Reconciling borrower-submitted financials, Covenant Compliance Certificates, rent rolls, and loan agreement definitions across multiple files and reporting periods.

Determining whether weakness is temporary(Evaluating whether identified credit weaknesses are temporary) and manageable or whether it now warrants a lower risk rating, Watchlist treatment, and enhanced monitoring.

Producing a defensible Annual Review package for Credit without manually rebuilding relationship files every time new reporting arrives.

Portfolio Context

Field	Detail
Institution type	U.S. regional bank — mid-size
Business unit	Commercial Real Estate Portfolio Management
Portfolio Relationships managed	42 borrower relationships
Portfolio outstanding	Approximately \$310M
Asset focus	Commercial Real Estate — retail-heavy portfolio (retail properties) including grocery-anchored shopping centers, neighborhood strip centers, mixed-use developments, and select (diversified CRE asset classes) other asset types
Annual Reviews due — (next 60 days)	12 relationship reviews
Financial Covenant tests — Current Review Cycle (this cycle)	47 covenant compliance assessments

Button: ** **Next

SCREEN 4 — JAZZ GREETING

Visual: Jordan's photo dimmed on left. Jazz avatar bottom right. Speech bubble center-right.

Jazz says

Good morning, Jordan!

I've already processed this cycle's borrower reporting, recalculated covenant tests across the portfolio, and assembled your Annual Review queue. You have **2 relationships elevated for PM review** and **1 full Annual Review package ready for PM confirmation** in your attention zone today

.

Let's review where your judgment is needed.

Cedar Grove is at the top because the combination of thinning covenant coverage, operating deterioration, file readiness, and an outstanding guarantor PFS request makes it the most urgent review in the portfolio today. [^c2]

Button: ** **Let's Go → lands on **Screen 5: Dashboard**

SCREEN 5 — DASHBOARD

Header

"Hi Jordan, here's your Annual Review queue for this cycle."

KEY METRICS BAR

Metric	Value	Color
Relationships Managed	42	Neutral
Servicing Assessments	12	Amber
Elevated for PM Review	2	Red
Ready for PM Confirmation	1	Green
Covenant Tests Completed — This Cycle	47	Green
Avg. Jazz AR Prep Time	14 min	Green

HOVER STATES — KEY METRICS BAR

[Design spec — all six hover states documented below. Critical presenter path: Avg. Jazz AR Prep Time only.]

Relationships Managed — 42: *"Total active commercial relationships in Jordan's portfolio. Jazz monitors all 42 continuously — covenant tests, document expiry tracking, and performance trend analysis run in the background across every relationship, every cycle."*

Servicing Assessments — 12: *"12 Annual Reviews are due in the next 60 days. Jazz has completed analytical preparation for all 12 — documents ingested, financials spread, covenants tested. 2 have been elevated for PM review. 1 is ready for **PM confirmation of a full AR package**."*

Elevated for PM Review — 2: *"2 relationships have been elevated by Jazz based on thinning covenant coverage, deteriorating operating performance, or documentation gaps — Cedar Grove and Shops at Worthington Square. These are the reviews where Jordan's analytical judgment is most needed."*

Ready for PM Confirmation — 1:**** ***"Maple Run Plaza has a full Annual Review package prepared by Jazz — financials spread, covenants tested, Pass recommendation prepared, and no issues identified. Jordan still reviews and confirms the completed package, but no additional judgment issue has been surfaced."***

Covenant Tests Completed — This Cycle — 47: *"Jazz completed 47 individual covenant tests across the portfolio this cycle — DSCR, occupancy, reporting*

compliance, and guarantor support checks. Jordan did not run a single one manually. Jazz surfaced only the items that require human judgment."

Avg. Jazz AR Prep Time — 14 min ← Critical presenter path

"A complex Annual Review — full document ingestion, spreading, covenant testing, CCC cross-reference, and AR package draft — takes Jazz 14 minutes of preparation time. The same work takes a PM 6–8 hours manually. Jordan's time goes entirely to judgment, not groundwork."

Presenter note:* "Point to this number. 14 minutes. Spreading the financials, running the covenant tests, cross-referencing the CCC against the loan documents, drafting the AR package — that is a full day of work on a complex relationship done manually. Jazz does that groundwork in 14 minutes. Jordan's job is to confirm the findings that require human judgment. That is the amplification story for portfolio management."*

JazzTrack Flow Diagram — five nodes

Five connected nodes, left to right. Each node shows a count plus denominator in lighter text — portfolio slices, not sequential pipeline stages.

Node	Label	Count Display
1	New Reporting Received	6 of 42
2	Post-Review Conditions	2 of 42
3	Annual Reviews Due	12 of 42
4	Active Monitoring This Cycle	42 (full portfolio)
5	Submitted to Credit Officer	9 this quarter

Attention Zone — purple circle breaking downward from the **Active Monitoring This Cycle** node.

Display	Value
Count	3
Sub-label	"Attention zone — ordered by Jazz risk signal, AR due date, and file readiness — 2 elevated · 1 ready for PM confirmation"

HOVER STATES — JAZZTRACK NODES

[Design spec — all five hover states documented below. Critical presenter path: Active Monitoring This Cycle only.]

New Reporting Received — 6 of 42: "6 relationships have new borrower reporting packages arriving this cycle — operating statements, rent rolls, PFS updates, and CCC

submissions. Jazz is processing each package automatically: classifying documents, ingesting financials, and queuing covenant tests. Jordan has not had to chase a single borrower manually."

Post-Review Conditions — 2 of 42: *"2 relationships from the prior review cycle have open post-review conditions — outstanding documents or follow-up items logged at the time of Credit Officer sign-off. Jazz is tracking deadlines and will surface these to Jordan when action is required."*

Annual Reviews Due — 12 of 42:

Panel expands to show breakdown:

Asset Type	Count
Retail	5
Industrial	3
Office	2
Mixed-Use	2
Total	12

Relationship Exposure: \$143M

*"Jazz has completed analytical preparation for all 12 — documents ingested, financials spread, covenants tested, AR packages drafted. **Queue is ordered by Jazz risk signal, AR due date, and file readiness — not calendar order alone.** 2 have been elevated for PM review. 1 is **Ready for PM Confirmation**. The remaining 9 are in active PM review."*

Active Monitoring This Cycle — 42 (full portfolio) ← Critical presenter path

"Every relationship in Jordan's portfolio is under active Jazz monitoring this cycle. Jazz has completed 47 covenant tests — DSCR, occupancy, reporting compliance, and guarantor support — across all 42 relationships before Jordan opened a single file this morning."

"Here is what Jazz is doing across the portfolio right now:"

- Recalculating DSCR, occupancy, and reporting covenants across all 42 relationships
- Comparing borrower Covenant Compliance Certificates against bank-side calculations and loan agreement definitions
- Drafting Annual Review packages and risk-rating support for PM confirmation

- Tracking document expiry dates, insurance certificates, and guarantor PFS recency across the portfolio
- Monitoring ownership changes, guarantor credit signals, delayed documentation, and tax filing status across the portfolio

*Presenter note: "Every relationship. 47 covenant tests. All processed before Jordan logged in. His attention zone has three relationships — 2 elevated, 1 **Ready for PM Confirmation** — ordered by Jazz risk signal and AR due date. Cedar Grove is at the top because the combination of thinning covenant coverage, operating deterioration, and an outstanding guarantor document request makes it the most urgent review in the portfolio today."*

Submitted to Credit Officer — 9 this quarter:

Metric	Value
Total exposure reviewed	\$118M
Average PM time per relationship	9.8 minutes
Re-submissions required	0

"9 Annual Reviews submitted to the Credit Officer this quarter. Zero re-submissions — every package Jazz assembled was complete enough that the Credit Officer did not send it back."

HOVER STATE — ATTENTION ZONE ← Critical presenter path

Panel label: "Attention Zone →"

Queue ordered by Jazz risk signal and AR due date.

Relationship	Status	AR Due
Cedar Grove	● Elevated — 3 categories of judgment	14 days
Shops at Worthington Square	⚠ Elevated — rollover concentration	28 days
Maple Run Plaza	✓ Ready for PM confirmation — full AR package complete · Pass recommendation prepared	31 days

"Cedar Grove is the highest-priority relationship. Jazz elevated it based on thinning covenant coverage, deteriorating operating performance, and outstanding documentation gaps — not solely a hard covenant event. Site inspection is on file and confirms the Suite 200 vacancy with no material deferred maintenance

observed. Jazz has completed full analytical preparation. Jordan's judgment is needed on three specific categories of findings before the Annual Review can be submitted to the Credit Officer."

[Start Reviewing Cedar Grove]

Hover state — Start Reviewing Cedar Grove button: Button activates. Micro-label: *"AR package ready · 3 categories of judgment · 14 days to due date"*

ANNUAL REVIEW QUEUE TABLE

Full queue table below the JazzTrack diagram. Relationship-level exposure shown throughout. Queue ordered by Jazz risk signal and AR due date.

Relationship	Borrower	Relationship Exposure	Last Rating	AR Due	Jazz Signal
Cedar Grove	Cedar Grove Retail Holdings LLC	\$18.6M	Pass	14 days	 Elevated — 3 findings
Shops at Worthington Square	Worthington Square Partners LLC	\$8.9M	Pass	28 days	 Elevated — rollover
Maple Run Plaza	Maple Run Retail LLC	\$6.1M	Pass	31 days	 Ready for PM Confirmation

Column header tooltip on Relationship Exposure: *"Total outstanding across all loans in the relationship."*

Table sub-label: *"Ordered by Jazz risk signal and AR due date."*

HOVER STATES — ANNUAL REVIEW QUEUE ROWS

[Design spec — all three hover states documented below. Critical presenter path: Cedar Grove row only.]

Cedar Grove row ← Critical presenter path:

Card expands. Shows:

Field	Detail
Focal collateral	Cedar Grove Commons — 68,000 SF grocery-anchored retail · Columbus OH

Loans in relationship	2 — Cedar Grove Commons (\$17.2M) · LN-2021-0447 · Cedar Grove Outparcel Note (\$1.4M)
Relationship exposure	\$18.6M total
DSCR	Calculated at 1.15x vs. 1.20x floor — coverage thinning — flagged for PM review
Occupancy	Calculated at 79% vs. 80% floor — flagged for PM review
CCC status	Submitted — discrepancy flagged · pending Jordan's review
Guarantor PFS	Financial reporting covenant exception — PFS 18 months old · request outstanding 18 days · updated PFS not yet received
Site visit / inspection	Completed — Suite 200 vacancy confirmed · no material deferred maintenance observed
Jazz preparation	Complete — AR package drafted · covenants tested · CCC discrepancy identified · reporting exception and document gaps flagged during collection
Last review outcome	Pass — DSCR 1.39x — no covenant issues
Trend	Deteriorating — coverage thinning · NOI declining · tenant cost pressure elevated · rollover elevated · reporting exception unresolved

"DSCR is below the covenant floor based on Jazz's calculation at 1.15x. Occupancy is also below floor. There is a discrepancy in the borrower's covenant attestation pending Jordan's review. The guarantor PFS request has been outstanding 18 days with no response — Jazz has logged this as a financial reporting covenant exception. The AR package is already drafted. Three exceptions awaiting Jordan's resolution."

[Open Relationship]

Presenter note: "DSCR is below the covenant floor based on Jazz's calculation. There is a discrepancy in the borrower's covenant attestation pending Jordan's review. The guarantor PFS request has been outstanding 18 days with no response. The AR package is already drafted. Three exceptions awaiting Jordan's resolution."

Shops at Worthington Square row: *[Design spec — not on critical presenter path.]*

Card expands. Shows:

Field	Detail
Focal collateral	Shops at Worthington Square — 54,000 SF retail center, Columbus OH
Loans in relationship	1 — Shops at Worthington Square (\$8.9M)
Relationship exposure	\$8.9M
DSCR	1.24x — above 1.20x floor — no breach flagged
Primary concern	Tenant concentration — top 2 tenants represent 61% of GLA · both leases expiring within 18 months
Jazz preparation	Complete — rollover concentration flagged · no covenant breach identified
Last review outcome	Pass — stable
Trend	Watch — lease renewal status unconfirmed

"No covenant breach identified at this stage. Jazz has flagged rollover concentration as a monitoring item. Jordan's review can proceed as a moderately complex Annual Review — no immediate escalation required."

[Open Relationship]

Maple Run Plaza row: *[Design spec — not on critical presenter path.]*

Card expands. Shows:

Field	Detail
Focal collateral	Maple Run Plaza — 42,000 SF grocery-anchored neighborhood center, Columbus OH
Loans in relationship	1 — Maple Run Plaza (\$6.1M)
Relationship exposure	\$6.1M
DSCR	1.38x — all covenants passing
Occupancy	96% — no concerns

Jazz preparation	Complete — no flags · AR package fully assembled · Pass rating confirmed
Last review outcome	Pass — stable
Trend	Stable — anchor lease renewed · no rollover concerns

"Maple Run Plaza is a routine Annual Review with no issues identified. Jazz has completed the full AR package — financials spread, covenants tested, package assembled, and Pass recommendation prepared. Jordan's confirmation submits the completed package to the Credit Officer."

[Open Relationship] · [Confirm Pass Recommendation]

Hover state — Approve — Pass button: Button activates green. Micro-label: **"Full AR package complete · Pass recommendation prepared · submits to Credit Officer after PM confirmation"**

*Presenter note: "Two elevated, one **Ready for PM Confirmation**. Cedar Grove is where the judgment is needed. Let's open it."*

You're right. My apologies — the docx was unnecessary overhead for content that should just be readable and copyable in chat. Here is the full Screen 5 spec in copyable format, exactly matching the reference document style.

SCREEN 5 — DASHBOARD V2[^c4]

Header

"Hi Jordan, here's your Annual Review queue for this cycle."

KEY METRICS BAR

Metric	Value	Color
Covenant Tests Run This Cycle	47	Green
Servicing Assessments	12	Amber
Avg. Jazz AR Prep Time	14 min	Green

*[Design spec — three tiles only. Left to right: 47 Covenant Tests (green) · 12 Servicing Assessments (amber) · 14 min Avg. AR Prep Time (green). Three tiles tell one amplification story: Jazz tested everything → found what mattered → did it in 14 minutes. **The amber tile is the only non-green tile — signals time sensitivity on the Servicing Assessments count.**]*

HOVER STATES — KEY METRICS BAR

[Design spec — all three hover states documented below. Critical presenter path: Avg. Jazz AR Prep Time only.]

Covenant Tests Run This Cycle — 47: *"Jazz completed 47 individual covenant tests across all 42 relationships this cycle — DSCR, occupancy, reporting compliance, and guarantor support checks. Jordan did not run a single one manually. Jazz surfaced only the 3 relationships that require human judgment today."*

Servicing Assessments — 12: *"12 Annual Reviews are due in the next 60 days. Jazz has completed analytical preparation for all 12 — documents ingested, financials spread, covenants tested. 2 have been elevated for PM review. 1 is ready for PM confirmation of a full AR package. The remaining 9 are in active PM review."*

Avg. Jazz AR Prep Time — 14 min ← Critical presenter path

"A complex Annual Review — full document ingestion, spreading, covenant testing, CCC cross-reference, and AR package draft — takes Jazz 14 minutes of preparation time. The same work takes a PM 6–8 hours manually. Jordan's time goes entirely to judgment, not groundwork."

Presenter note: "Point to this number. 14 minutes. Spreading the financials, running the covenant tests, cross-referencing the CCC against the loan documents, drafting the AR package — that is a full day of work on a complex relationship done manually. Jazz does that groundwork in 14 minutes. Jordan's job is to confirm the findings that require human judgment. That is the amplification story for portfolio management."

JazzTrack Flow Diagram — five nodes plus Attention Zone

Five connected nodes in the same visual grammar as Scenario 1 — circular nodes, curved green gradient flow paths with directional chevrons, central anchor node with dashed border, Attention Zone breaking downward from center, JazzX icon badge on mid-left and upper-right nodes. The two left nodes add up exactly to the mid-left node: $6 + 2 = 8$.

Node	Label	Count Display
1 — Upper left	New Reporting Received	6 of 42
2 — Lower left	Post-Review Conditions	2 of 42
3 — Mid left (<i>JazzX badge</i>)	ARs in Active Preparation	8 of 42
4 — Center anchor (<i>dashed border · largest</i>)	JazzTrack - Active Monitoring This Cycle	42 (<i>full portfolio</i>)
5 — Upper right (<i>JazzX badge</i>)	Submitted to Credit Officer	9 <i>this quarter</i>

6 — Downward from JazzTrack	Attention zone	3
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Node math: New Reporting Received (6) + Post-Review Conditions (2) = ARs in Active Preparation (8). Exact match — same discipline as Scenario 1.

Central anchor — two text lines inside the circle:

Top: *"Monitoring and Testing Covenants"*

Bottom: *"Preparing Annual Reviews"*

Flow paths — curved green gradient arcs with directional chevrons (same as Scenario 1):

- New Reporting Received (6) → ARs in Active Preparation (8)
- Post-Review Conditions (2) → ARs in Active Preparation (8)
- ARs in Active Preparation (8) → Active Monitoring This Cycle (42)
- Active Monitoring This Cycle (42) → Submitted to Credit Officer (9) — upper right
- Active Monitoring This Cycle (42) → Attention Zone (3) — downward · dashed red arc

Attention Zone — red circle breaking downward from the Active Monitoring This Cycle node.

Display	Value
Count	3
Sub-label	<i>"Attention zone — ordered by Jazz risk signal, AR due date, and file readiness — 2 elevated · 1 ready for PM confirmation"</i>

****HOVER STATES ****

[Design spec — all five hover states documented below. Critical presenter path: Active Monitoring This Cycle and Attention Zone only.]

New Reporting Received — 6 of 42: *"6 relationships have new borrower reporting packages arriving this cycle — operating statements, rent rolls, PFS updates, and CCC submissions. Jazz is processing each package automatically: classifying documents, ingesting financials, and queuing covenant tests. Jordan has not had to chase a single borrower manually."*

Post-Review Conditions — 2 of 42: *"2 relationships from the prior review cycle have open post-review conditions — outstanding documents or follow-up items logged at the time of Credit Officer sign-off. Jazz is tracking deadlines and will surface these to Jordan when action is required."*

ARs in Active Preparation — 8 of 42:

Panel expands to show breakdown:

Asset Type	Count
Retail	5
Industrial	3
Office	2
Mixed-Use	2
Total — 60-day window	12
Currently in active preparation	8

Relationship Exposure — active preparation: \$98M

"8 Annual Reviews are in active Jazz preparation this cycle. Documents have been ingested, financials spread, covenants tested, and AR packages drafted or in progress across all 8. Of these, 2 have been elevated for PM review and 1 is Ready for PM Confirmation. The remaining 4 Annual Reviews due in the 60-day window are in Jazz's preparation queue and not yet active."

Active Monitoring This Cycle — 42 (full portfolio) ← Critical presenter path

"Every relationship in Jordan's portfolio is under active Jazz monitoring this cycle. Jazz has completed 47 covenant tests — DSCR, occupancy, reporting compliance, and guarantor support — across all 42 relationships before Jordan opened a single file this morning."

"Here is what Jazz is doing across the portfolio right now:"

- Recalculating DSCR, occupancy, and reporting covenants across all 42 relationships
- Comparing borrower Covenant Compliance Certificates against bank-side calculations and loan agreement definitions
- Drafting Annual Review packages and risk-rating support for PM confirmation
- Tracking document expiry dates, insurance certificates, and guarantor PFS recency across the portfolio
- Monitoring collateral and LTV signals, ownership changes, guarantor credit events, delayed reporting, tax filing status, and property-condition inputs across the portfolio

Presenter note: "Every relationship. 47 covenant tests. All processed before Jordan logged in. His attention zone has three relationships — 2 elevated, 1 Ready for PM Confirmation — ordered by Jazz risk signal, AR due date, and file readiness. Cedar Grove is at the top because the combination of thinning covenant coverage, operating deterioration, and an outstanding guarantor document request makes it the most urgent review in the portfolio today."

Submitted to Credit Officer — 9 this quarter:

Metric	Value
Total exposure reviewed	\$118M
Average PM time per relationship	9.8 minutes
Re-submissions required	0

"9 Annual Reviews submitted to the Credit Officer this quarter. Zero re-submissions — every package Jazz assembled was complete enough that the Credit Officer did not send it back."

HOVER STATE — ATTENTION ZONE ← Critical presenter path

Panel label: *"Attention Zone →"*

Queue ordered by Jazz risk signal, AR due date, and file readiness.

Relationship	Status	AR Due
Cedar Grove	● Elevated — 3 categories of judgment	14 days
Shops at Worthington Square	⚠ Elevated — rollover concentration	28 days
Maple Run Plaza	✅ Ready for PM confirmation — full AR package complete · Pass recommendation prepared	31 days

"Cedar Grove is the highest-priority relationship. Jazz elevated it based on thinning covenant coverage, deteriorating operating performance, and outstanding documentation gaps — not solely a hard covenant event. Site inspection is on file and confirms the Suite 200 vacancy with no material deferred maintenance observed. Jazz has completed full analytical preparation. Jordan's judgment is needed on three specific categories of findings before the Annual Review can be submitted to the Credit Officer."

[Start Reviewing Cedar Grove]

Hover state — Start Reviewing Cedar Grove button: Button activates. Micro-label: "AR package ready · 3 categories of judgment · 14 days to due date"

ANNUAL REVIEW QUEUE TABLE

Full queue table below the JazzTrack diagram. Relationship-level exposure shown throughout. Queue ordered by Jazz risk signal, AR due date, and file readiness.

Relationship	Borrower	Relationship Exposure	Last Rating	AR Due	Jazz Signal
Cedar Grove	Cedar Grove Retail Holdings LLC	\$18.6M	Pass	14 days	 Elevated — 3 findings
Shops at Worthington Square	Worthington Square Partners LLC	\$8.9M	Pass	28 days	 Elevated — rollover
Maple Run Plaza	Maple Run Retail LLC	\$6.1M	Pass	31 days	 Ready for PM Confirmation

Column header tooltip on Relationship Exposure: "Total outstanding across all loans in the relationship."

Table sub-label: "Ordered by Jazz risk signal, AR due date, and file readiness."

HOVER STATES — ANNUAL REVIEW QUEUE ROWS

[Design spec — all three hover states documented below. Critical presenter path: Cedar Grove row only.]

Cedar Grove row ← Critical presenter path:

Card expands. Shows:

Field	Detail
Focal collateral	Cedar Grove Commons — 68,000 SF grocery-anchored retail · Columbus OH
Loans in relationship	2 — Cedar Grove Commons (\$17.2M) · LN-2021-0447 · Cedar Grove Outparcel Note (\$1.4M)
Relationship exposure	\$18.6M total

DSCR	Calculated at 1.15x vs. 1.20x floor — coverage thinning — flagged for PM review
Occupancy	Calculated at 79% vs. 80% floor — flagged for PM review
CCC status	Submitted — discrepancy flagged · pending Jordan's review
Guarantor PFS	Financial reporting covenant exception — PFS 18 months old · request outstanding 18 days · updated PFS not yet received
Collateral / LTV signal	No new collateral trigger identified this cycle · valuation not the driver of elevation
Site visit / inspection	Completed — Suite 200 vacancy confirmed · no material deferred maintenance observed
Jazz preparation	Complete — AR package drafted · covenants tested · CCC discrepancy identified · reporting exception and document gaps flagged during collection
Last review outcome	Pass — DSCR 1.39x — no covenant issues
Trend	Deteriorating — coverage thinning · NOI declining · tenant cost pressure elevated · rollover elevated · reporting exception unresolved

"DSCR is below the covenant floor based on Jazz's calculation at 1.15x. Occupancy is also below floor. There is a discrepancy in the borrower's covenant attestation pending Jordan's review. The guarantor PFS request has been outstanding 18 days with no response — Jazz has logged this as a financial reporting covenant exception. No new collateral or LTV trigger is driving the elevation. The AR package is already drafted. Three exceptions awaiting Jordan's resolution."

[Open Relationship]

Presenter note: "DSCR is below the covenant floor. Occupancy is below floor. The borrower's covenant attestation doesn't reconcile. The guarantor PFS request has been outstanding 18 days — Jazz has logged it as a financial reporting covenant exception. The AR package is already drafted. Three exceptions — waiting for Jordan's judgment."

Shops at Worthington Square row: *[Design spec — not on critical presenter path.]*

Card expands. Shows:

Field	Detail
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Focal collateral	Shops at Worthington Square — 54,000 SF retail center, Columbus OH
Loans in relationship	1 — Shops at Worthington Square (\$8.9M)
Relationship exposure	\$8.9M
DSCR	1.24x — above 1.20x floor — no breach flagged
Primary concern	Tenant concentration — top 2 tenants represent 61% of GLA · both leases expiring within 18 months
Jazz preparation	Complete — rollover concentration flagged · no covenant breach identified
Last review outcome	Pass — stable
Trend	Watch — lease renewal status unconfirmed

"No covenant breach identified at this stage. Jazz has flagged rollover concentration as a monitoring item. Jordan's review can proceed as a moderately complex Annual Review — no immediate escalation required."

[Open Relationship]

Maple Run Plaza row: *[Design spec — not on critical presenter path.]*

Card expands. Shows:

Field	Detail
Focal collateral	Maple Run Plaza — 42,000 SF grocery-anchored neighborhood center, Columbus OH
Loans in relationship	1 — Maple Run Plaza (\$6.1M)
Relationship exposure	\$6.1M
DSCR	1.38x — all covenants passing
Occupancy	96% — no concerns
Jazz preparation	Complete — no flags · AR package fully assembled · Pass recommendation prepared

Last review outcome	Pass — stable
Trend	Stable — anchor lease renewed · no rollover concerns

"Maple Run Plaza is a routine Annual Review with no issues identified. Jazz has completed the full AR package — financials spread, covenants tested, package assembled, and Pass recommendation prepared. Jordan's confirmation submits the completed package to the Credit Officer."

[Open Relationship] · [Confirm Pass Recommendation]

Hover state — Confirm Pass Recommendation button: Button activates green.

Micro-label: *"Full AR package complete · Pass recommendation prepared · submits to Credit Officer after PM confirmation"*

Presenter note: *"Two elevated, one Ready for PM Confirmation. Cedar Grove is where the judgment is needed. Let's open it."*

SCREEN 6 — RELATIONSHIPS IN PROGRESS (Attention Zone → View All)

(Optional drill-down — triggered by clicking "View All" on the Attention Zone hover panel. Not on critical presenter path.)

Breadcrumb

Relationships > In Progress

Page Title

Relationships In Progress

Search bar placeholder: Search relationships, borrowers, guarantors...

Right side: Filter · Export · Columns *(icon buttons)*

Summary Strip

Stat	Value
Attention Zone	3
Active Monitoring This Cycle	42
Submitted to Credit Officer — This Quarter	9

Filter Chips Row

Attention Zone (3) ← selected on arrival · **Active Monitoring This Cycle (42)** · **Submitted This Quarter (9)**

SECTION 1 — ATTENTION ZONE (3)

Relationship	Borrower / Guarantor	Relationship Exposure	Status	Next Action	Last Update
Cedar Grove	Cedar Grove Retail Holdings LLC / Marcus Webb	\$18.6M	● Elevated — 3 open exceptions	Start Reviewing	Just now
Shops at Worthington Square	Worthington Square Partners LLC / Avery Collins	\$8.9M	⚠ Elevated — Rollover concentration	Review	2 hours ago
Maple Run Plaza	Maple Run Retail LLC / Dana Brooks	\$6.1M	✓ Ready for PM confirmation — full AR complete · Pass recommendation prepared	[Confirm Pass]	3 hours ago

Row interaction behavior

Cedar Grove row → opens Cedar Grove relationship workspace **Shops at Worthington Square row** → toast: *"Queued — will review after Cedar Grove."* No navigation. **Maple Run Plaza row** → toast: *"Queued — will review after Cedar Grove."* No navigation. **Maple Run [Approve] button** → available directly on the row — does not require row navigation. Submits AR to Credit Officer and updates status.

SECTION 2 — ACTIVE MONITORING THIS CYCLE (42)

Representative rows shown. Full list scrollable — out of demo scope.

Relationship ID	Relationship	Borrower / Guarantor	Exposure	Review Date	Asset Type
REL-230201	Maple Run Plaza	Maple Run Retail LLC / Dana Brooks	\$7.4M	Apr 2, 2026	Retail
REL-230202	Easton Commerce Center	Easton Industrial LLC / Harper Group	\$13.8M	Apr 3, 2026	Industrial

REL-230203	Wellington Offices	Wellington Borrower LLC / Lewis Hart	\$10.1M	Apr 4, 2026	Office
REL-230204	Parkside Mixed-Use	Parkside Holdings LLC / Noor Capital	\$9.2M	Apr 5, 2026	Mixed-Use

Interaction rules — Active Monitoring rows

Click any Active Monitoring row → toast: *"Viewing the full relationship list is out of scope for today's demo."* No navigation.

NUMBERS THAT CLOSE THE LOOP AT END OF DEMO

Metric	Start of Demo	End of Demo	Change
Active Monitoring This Cycle	42	42	Unchanged — full portfolio always monitored
Submitted to Credit Officer	9	11	+2 — Cedar Grove + Maple Run submitted
Covenant tests completed	47	47	Unchanged — Jazz ran all tests before demo began
Attention zone	3	1	Cedar Grove submitted · Maple Run approved · Worthington Square remains elevated
Jordan's meaningful touches today	—	2	Cedar Grove deep dive + Maple Run PM confirmation of a full AR package

Portfolio risk distribution — updates live in Act 3 when Special Mention fires

Rating	Before	After
Pass	41	40
Special Mention	0	1
Substandard	1	1

Widget updates live on screen the moment Jordan confirms Special Mention in Act 3. Confirmed state persists when Jordan returns to dashboard in Act 4. No relationship names attached to Substandard count.

Counts reconcile: Before $41 + 0 + 1 = 42$. After $40 + 1 + 1 = 42$.

PRESENTER TRANSITION OUT OF ACT 0

"Critical path for Act 0: Avg. Jazz AR Prep Time hover → Active Monitoring This Cycle hover → Attention Zone hover → Cedar Grove row hover → Start Reviewing. Do not dwell in any other hover states unless an audience member asks directly. Act 0 should take no more than 90 seconds from dashboard load to clicking Start Reviewing Cedar Grove."

Presenter note: "Jordan has 42 relationships under active monitoring. Jazz processed 47 covenant tests before he logged in this morning. Cedar Grove is at the top of the queue — not because its date is closest, but because thinning coverage, operating deterioration, and an outstanding guarantor document request make it the most urgent review in the portfolio today. Let's open it."

Click: Start Reviewing Cedar Grove

→ Proceeds to **ACT 1 — Cedar Grove Relationship Overview**

ACT 1 — CEDAR GROVE RELATIONSHIP WORKSPACE

TAB 1 — HIGHLIGHTS

TOP BAR (*unchanged — confirmed correct*)

Cedar Grove Commons · Annual Review In Progress Right cluster: **Relationship Exposure** \$18.6M · **AR Due** 14 days · **Last Rating** Pass · **Property Value** \$24.8M · **Quick Links**  Documents

Tabs: **Highlights** (active) · **Jazz Assessment** ④ ·  Annual Review Package

SECTION 1 — CONDITIONS TO REVIEW (*four exception cards · carousel*)

Card anatomy (each): EXCEPTION N · icon · **Title** · **BUSINESS IMPACT** (figure + label) · **SOURCE COMPARISON** (figure + label) · body paragraph · **Policy** pill · **Suggested Action** pill · CTA link. **Order is locked:** 1 Coverage → 2 Occupancy → 3 Appraisal → 4 Guarantor.

► EXCEPTION 1 — Coverage Breach & Cure Path

Field	Content
BUSINESS IMPACT	−0.05x · DSCR shortfall vs floor
SOURCE COMPARISON	1.15x · bank-side vs 1.20x floor

Body: Jazz computed the bank-side DSCR at 1.15x on a T-12 basis — below the 1.20x covenant floor under \$4.1, with Suite 200 dark and no normalization applied. The borrower's CCC attests 1.25x; the sole reconciling item is **\$117,600** of annualized Suite

200 rent **not yet in payment** under the income-in-payment definition (this is the CCC forward-rent inclusion, not the T-12 NOI-loss amount). The lease is executed (commencement May 1, 2026) — a tracked cure, not a current credit. One coverage decision; the CCC reconciliation lives here as evidence.

Policy: Loan Agreement §4.1 (DSCR) · §6.2 (income-in-payment definition) [*§ schema pending DECISION 2*]

Suggested Action: Request Suite 200 commencement confirmation through the Relationship Mail Queue; hold bank-side **1.15x** as the operative covenant result pending receipt.

CTA: Request Commencement Confirmation →

Fixes: removed "normalization"; Suggested Action + CTA now request-first (was "Confirm the Jazz T-12 bank-side normalization" / "Confirm Bank-Side DSCR →").

► **EXCEPTION 2 — Occupancy & Leasing Trajectory**

Field	Content
BUSINESS IMPACT	−15.0 pts · <i>occupancy vs prior</i>

SOURCE COMPARISON 79.0% · *vs 80% floor*

Body: Physical occupancy stands at 79.0% against the 80% floor under §4.2, down from 94.0% at the prior review. Suite 200 (8,400 SF) is re-let — executed lease, rent commencing May 1, 2026 — which retests occupancy to ~91.4% on commencement. Jazz reads this as **temporary softening** (Option A) with enhanced leasing monitoring; **Structural Decline** (Option B) remains available and would carry an adverse rating implication. The same file supports both readings — Jordan sets the posture.

Policy: Loan Agreement §4.2 — Occupancy floor and leasing covenant

Suggested Action: Set the leasing posture — temporary softening with enhanced monitoring vs. structural decline.

CTA: Set Leasing Posture →

Fixes: headline metrics were DSCR/CCC (0.10x delta · 1.25x CCC) — wrong for a leasing card; replaced with occupancy. Suggested Action was a coverage/covenant-definition question; now the posture decision. CTA was "Reconcile Attestation →"; now "Set Leasing Posture →".

► EXCEPTION 3 — Appraisal Validity & LTV Stress Review

Field	Content
-------	---------

BUSINESS IMPACT	~83% · <i>indicative stressed LTV (NOI-only)</i>
------------------------	---

SOURCE COMPARISON Apr 2025 appraisal · vs FY2025 NOI decline

Body: The April 2025 appraisal predates the FY2025 17% NOI decline, so the as-appraised 69% LTV rests on a value struck before the income fell. On current NOI at the appraisal's implied cap rate, the **indicative stressed LTV is ~83%** — above the 80% internal policy ceiling, still within the 85% supervisory limit. Jazz proposes treating the appraisal as no longer reliably supporting the position, ordering an updated appraisal/evaluation under material-change review, and carrying the indicative stressed LTV as a cautionary collateral factor pending the new value.

Policy: 2010 Interagency Appraisal & Evaluation Guidelines (OCC Bulletin 2010-42) · 12 CFR Part 34 Subpart D App. A — Interagency Real Estate Lending Standards

Suggested Action: Treat the appraisal as no longer reliably supporting the position and order an updated appraisal under material-change review.

CTA: Assess Appraisal Validity →

► EXCEPTION 4 — Guarantor Reporting & Global Support

Field	Content
-------	---------

BUSINESS IMPACT	18-month PFS · <i>vs 12-month requirement</i>
------------------------	--

SOURCE COMPARISON 18 days · *request outstanding* · 3 attempts

Body: The guarantor PFS on file is 18 months old; the reporting covenant requires current financials within 12 months. Marcus Webb is the guarantor; the updated-PFS request remains outstanding 18 days across 3 attempts. On what's currently known — the January 2026 SREO across six properties surfaced no adverse items — this is a **reporting-timeliness gap, not evidenced deterioration**. Jazz holds no sponsor support credited pending the update; on the uploaded PFS, Jazz recomputes global cash flow for Credit Officer review.

Policy: Loan Agreement §7.3 — Financial Reporting Covenant (*PFS recency = LA/POL*)

Suggested Action: Request the updated guarantor PFS through the Relationship Mail Queue; hold no sponsor support credited pending receipt.

CTA: Request Updated PFS →

Fixes: RENUMBERED from Exception 3 to Exception 4. Title aligned to "Guarantor Reporting & Global Support." Body + Suggested Action + CTA now request-first (was

"proposes proceeding without sponsor credit... PFS due within 30 days" / "Make Reporting Decision →"). "No adverse items surfaced" replaces any "clean" framing. Global CF computed on uploaded receipt only.

SECTION 2 — DSCR STATUS (table · confirmed correct, minor wording)

Basis	DSCR Status	Basis
Prior Annual Review	1.39x  Pass — prior period context	T-12 fully occupied · no vacancy adjustment
Jazz T-12 Calculation	1.15x  Below 1.20x floor — pending the PM's confirmation	T-12 · Suite 200 dark · no normalization applied
Borrower CCC Attestation	1.25x  Discrepancy flagged — pending the PM's review	Includes Suite 200 executed lease — rent not yet in payment
Covenant Floor	1.20x —	Loan agreement — \$4.1

Fix: "Suite 200 dark 7 months" → "Suite 200 dark · no normalization applied" (the "7 months" is a fabricated duration not in the ledger; and the no-normalization rule is reinforced). Values all correct.

SECTION 3 — BACKDROP METRICS (six cards · confirmed correct)

Metric	Value	Prior
Physical Occupancy	79%	Prior: 94%
DSCR (Jazz)	1.15x	Prior: 1.39x
NOI (T-12)	\$1.37M	Prior: \$1.65M
Lease Rollover	34%	(24-month window)
Annual Debt Service	\$1.19M	Prior: \$1.19M
Sponsor	Active	Prior: Active

All consistent with the ledger (NOI \$1.37M ≈ \$1.370M; debt service \$1.19M ≈ \$1.188M; prior NOI \$1.65M ≈ \$1.646M; rollover 34%). No fix needed. Optional: add the "(24-month window)" qualifier to Lease Rollover so 34% isn't read as annual.

SECTION 4 — RELATIONSHIP & LOAN SNAPSHOT

(Cedar Grove Retail Holdings LLC · Columbus, OH)

Card	Content
Primary Exposure	\$17.2M · LN-2021-0447 · matures Oct 2031
Outparcel Note	\$1.4M · LN-2021-0892 · matures Aug 2028
Total Exposure	\$18.6M · Two facilities · Same guarantor
Rate	Fixed 4.85% · Primary facility
Property Type	Retail · 68,000 SF grocery-anchored
Relationship	Since 2019 · loans originated 2021 · ~5 years of performance history
Last Rating	Pass · March 2025 · DSCR 1.39x

Sponsor — Marcus Webb · Cedar Grove Retail Holdings LLC

- No entity-status exception surfaced in the current review file
- No sanctions / adverse-media exception surfaced in the current review file
- ⚠ PFS 18 months old — update outstanding

Fix: the "Origination 2019 · 5 years of performance history" card conflated two facts. Ledger: relationship since 2019, loans originated 2021. Corrected to "Relationship Since 2019 · loans originated 2021." (If a single "Origination" field is required by the layout, use 2021 — the loan origination year — not 2019.)

SECTION 5 — PRIOR ANNUAL REVIEW (table · confirmed correct)

Review Date	Rating Outcome	Credit Officer Sign-off	Context
March 2025	Pass · ● Cleared	Received	First meaningful deterioration since origination

Correct as-is. "Cleared" is appropriate here — it's the prior review's settled outcome, not a current-cycle status. Note the context line "first meaningful deterioration since origination" is consistent with the current-cycle Special Mention recommendation.

BUILD NOTES

- **This rebuilds the Highlights content to the rendered format** — copy-exact for the build, every figure traceable to the locked Cedar Grove ledger.
- **The big corrections:** (1) exception order 1-2-3-4 = Coverage / Occupancy / Appraisal / Guarantor (the render swaps 3↔4); (2) request-first on Exc 1 + Exc 4 (Suggested Action + CTA lead with the document request that triggers the Mail Queue); (3) Exc 2 headline metrics fixed from DSCR/CCC to occupancy; (4) "normalization" removed; (5) origination 2019→2021 fact corrected.
- **Disciplines enforced (same as everywhere):** ~83% NOI-only/indicative · 80% POL / 85% REG · no ~89/90 · anchor = mitigant not cure · "no adverse items surfaced" not "clean" · global CF on uploaded receipt only · no normalization · two-figure guard (\$48.5K ≠ \$117.6K — note the card body uses \$117.6K, the forward-rent figure, correctly) · request = action, conservative posture = interim hold.
- **\$ schema (DECISION 2):** the \$4.1 / \$4.2 / \$6.2 / \$7.3 references are placeholders pending the loan-agreement schema lock — flagged, not invented as final.
- **Maturity facts:** Primary matures Oct 2031; Outparcel matures Aug 2028. Amortization terms are not shown because they are not locked in the Cedar Grove ledger.
- **Grocery anchor (DECISION 1):** "grocery-anchored" appears in the Property Type card — part of the same placeholder sweep.
- **Carousel:** four cards, horizontally scrollable, as rendered. The locked order means the carousel opens on Exc 1 (Coverage) and ends on Exc 4 (Guarantor).

[v02]TAB 2: JAZZ ASSESSMENT

CATEGORY 1 — RELATIONSHIP & EXPOSURE

1 · HEADER

Relationship & Exposure ·  CLEARED *Right side:* **No separate PM decision required**

2 · HERO LINE

Structure is stable — two related facilities, one guarantor, \$18.6M exposure, unchanged from the prior review.

3 · SNAPSHOT CARDS (6 cards, neutral fill)

Card	Value	Sub-line
------	-------	----------

Relationship Exposure	\$18.6M	Two facilities · unchanged vs prior AR
Borrower	Cedar Grove Retail Holdings LLC	SPE · single-purpose entity
Guarantor	Marcus Webb	Guaranty on file
Relationship Since	2019	Loans originated 2021
Relationship Treatment	Relationship-level review	Cross-collateral / cross-default to be verified where action depends on them
Change vs Prior	None	No ownership, facility, or exposure change

4 • ONE VISUAL — the two-facility table (*the category's one structured element*)

Facility	Balance	Maturity	Status
Cedar Grove Commons LN-2021-0447	\$17.2M	Oct 2031	✓ Current
Cedar Grove Outparcel Note LN-2021-0892	\$1.4M	Aug 2028	✓ Current
Total exposure	\$18.6M	—	—

5 • BODY — what Jazz verified (*cleared-category body: confirmation + proof, not surveillance*)

Jazz reconciled the relationship across the loan system, the entity and guaranty documents, and the prior AR file. Three relationship facts, surfaced as chips:
Relationship-level review · Guaranty on file · No ownership / exposure change.

No structural exception is identified: the borrower is the same SPE, the guaranty is on file, both facilities are current, and total exposure is unchanged from the prior Annual Review. The relationship is reviewed at the relationship level; cross-collateral / cross-default provisions are to be verified in the loan documents where the specific language governs an action.

6 • Policy

Policy *hover:*

Source	Detail
---------------	---------------

OCC <i>Commercial Real Estate Lending</i> booklet v2.0 (Mar 2022), Credit File / Documentation	Relationship and exposure documentation expectations for ongoing administration
Entity, guaranty & security documents	SPE borrower; guaranty on file; cross-collateral / cross-default provisions to be verified in the security instruments where action depends on them
Prior Annual Review file	Baseline for the "unchanged vs prior" comparison

7 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Reconciled borrower, guarantor, both facilities, and total exposure across the loan system, the entity and guaranty documents, and the prior AR file; confirmed no ownership change, new facility, or exposure movement this cycle.
- **Evidence** — Loan documents · entity / SPE documents · guaranty · sponsor relationship file · prior AR file.

8 • FOOTER

Primary [**View Evidence Trail**] · overflow (Loan documents · Entity documents · Sponsor relationship file)

CATEGORY 2 — PAYMENT & SERVICING HISTORY

1 • HEADER

 CLEARED ·

2 • HERO LINE

Debt service is current on both facilities for 24 months — no missed payments, modifications, waivers, or monetary defaults — even as coverage tightened.

3 • SNAPSHOT CARDS (6 cards, *neutral fill*)

Card	Value	Sub-line
Payment Status	Current	Both facilities · 24 months clean
Missed / Late	0 / 0	No delinquency in the review period
Rate Structure	Both fixed	4.85% Commons · 5.10% Outparcel · no reset exposure

Modifications	None	No modifications, waivers, or forbearance
Reserve / Escrow Draws	None	No unscheduled draws
Default Notices	None	No monetary default notices; covenant / reporting exceptions addressed in the relevant categories

4 • ONE VISUAL — clean-record checklist (*replaces the old 13-row servicing table*)

✅ 24 months current • ✅ 0 missed / 0 late • ✅ No modifications • ✅ No waivers • ✅

No reserve draws • ✅ No monetary default notices

(Per the cleared-panel audit: the prior multi-row "None/None" servicing table is deleted — the checklist + the cards carry it.)

5 • BODY — what Jazz verified (*confirmation + the mitigant read*)

Jazz reconciled 24 months of payments on both loans against the amortization schedules and checked for modifications, waivers, reserve draws, and monetary default notices. Annual debt service is **\$1.188M, unchanged** — both notes are fixed through maturity, so there's no rate-reset shock layered on top of the coverage pressure.

Why this is a mitigant, not just "clean": the borrower has kept debt service current *through* the FY2025 NOI decline that drives the coverage exception. Payment behavior and borrower willingness remain intact even though coverage capacity is under pressure — which is exactly the distinction that supports a Special Mention (watch) rather than a harsher posture downstream. *(The OCC notes contractual currentness can mask embedded risk — so this is read as a supporting factor alongside the coverage analysis, not as evidence the credit is unstressed.)*

7 • SOURCE PILL

Policy

Source

OCC *Commercial Real Estate Lending* booklet v2.0 (Mar 2022), Analyzing Repayment Capacity

Detail

Servicing-history and payment-performance review in ongoing administration

OCC *Rating Credit Risk* booklet

Contractual currentness can mask embedded risk — read payment status alongside coverage, not in isolation

Source

Amortization schedules / loan agreements

Detail

Payment terms, fixed rates, maturities

9 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Reconciled 24 months of payments on both loans against the amortization schedules; checked for modifications, waivers, reserve draws, and monetary default notices; confirmed both fixed rates and maturity dates against the executed notes.
- **Evidence** — Amortization schedules · loan agreements · servicing/payment ledger · prior AR file.

10 • FOOTER

Primary [**View Servicing History**] · overflow (Loan maturity schedule · Prior AR file)

CATEGORY 3 — FINANCIAL PERFORMANCE & COVERAGE

1 • HEADER

 PENDING RESOLUTION

2 • HERO LINE

DSCR is 1.15x, below the 1.20x floor. The decision is whether the bank-side result stands with Suite 200 forward rent excluded.

3 • SNAPSHOT CARDS (4 cards, neutral fill — the coverage position, not the full P&L)

Card	Value	Sub-line
Bank-Side DSCR	1.15x	Below the 1.20x floor · prior AR 1.39x
Borrower CCC	1.25x	Non-reconciling · includes forward rent
NOI (T-12)	\$1.37M	-\$276K / -17% vs prior AR
Annual Debt Service	\$1.19M	Unchanged · fixed 4.85% · no reset

4 • ONE VISUAL — NOI decline split (the one category-level insight; replaces the driver table)

NOI decline: \$276K

Suite 200 vacancy █████ ~18% (~\$48.5K)

Broader softening █████ ~82% (~\$227.5K)

Caption: Suite 200's prior-rent loss explains ~18% of the year-over-year NOI decline; the broader softening (~82%) is the substance behind the leasing-trajectory decision (Exception 2). Separately, the borrower's **\$117.6K forward-rent inclusion** — a different Suite 200 figure — drives the CCC gap and cure path inside Exception 1. The split is *why these are two separate exceptions*.

5 • BODY — frame and route (*NOT the full analysis*)

Coverage position: DSCR 1.15x vs the 1.20x floor — coverage thinning of -0.24x against the prior review's 1.39x. The full DSCR reconciliation — including the borrower-CCC comparison, the \$6.2 income-in-payment treatment, and the Suite 200 cure path — **lives in Exception 1**.

What's the decision: whether to confirm 1.15x as the operative covenant result with Suite 200 forward rent excluded until in payment, and track the executed lease as a near-term cure. (*Expenses held flat — the decline is an income story, not cost inflation; debt service is unchanged, fixed through the 2031 maturity, so the coverage move is entirely NOI-driven.*)

7 • SOURCE PILL

Policy

Source	Detail
Facility loan agreement — DSCR covenant	DSCR floor 1.20x, tested as of each Calculation Date
Facility loan agreement — income-in-payment definition	NOI counts income currently in payment; executed-but-not-commenced rent excluded until in payment
OCC <i>Commercial Real Estate Lending</i> booklet v2.0 (Mar 2022), Income-Producing Credit Administration	Methodology for analyzing income-producing CRE coverage in ongoing administration

9 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Spread the T-12, reconciled it to the prior Annual Review, computed the bank-side DSCR at 1.15x, reconciled the borrower CCC to the lease economics, and isolated the \$117.6K Suite 200 forward-rent difference as the single driver of the gap.

- **Evidence** — T-12 operating statement · prior AR file · rent roll · executed Suite 200 lease. *(Detailed evidence opens inside Exception 1's modal.)*

10 · FOOTER *(one CTA into the exception — not four)*

Primary [**Open Exception 1 →**] *(Coverage Breach & Cure Path) (Per visual-audit EX1-FINAL-01: a single primary CTA. The T-12 spread and borrower-CCC drill-downs live inside Exception 1's evidence modal, not on this panel.)*

EXCEPTION 1 — COVERAGE BREACH & CURE PATH

JazzAssessment → Financial Performance & Coverage · FULL DOC-READY WORKSPACE SPEC

Spine position 1 of 4. Category: Financial Performance & Coverage.

Capability shown: **compute + cross-document reconcile** (income).

Closure: **M2** (Jazz computes/evidences → Jordan verifies) + cure-tracked. Built decision-first with the locked layer model — interpretation → Jazz Lens · methodology → working strip · evidence tables → modal · legal → source pill · decision → above the fold. All EX1-FINAL register decisions are baked in, not bolted on.

What this exception is: the bank-side DSCR is below the covenant floor. The borrower's own CCC reconciles to a passing number only because it counts Suite 200 forward rent that isn't in payment yet. The decision is whether to request the commencement confirmation (the document that resolves the cure) while holding the bank-side breach with that rent excluded, and track the executed lease as a near-term cure. The CCC reconciliation (retired as a standalone exception) lives here as evidence.

ENTRY

Jordan arrives three ways: the Highlights coverage card [**Open Exception 1 →**], the [**Open Exception 1 →**] strip on the Financial Performance & Coverage category panel, or the exception item nested under the category in the left rail.

Left rail state: ● **Financial Performance & Coverage** — PENDING RESOLUTION L ●
Exception 1 — Coverage Breach & Cure Path · *Awaiting Jordan's coverage determination*

Presenter note: *"The first judgment is the cleanest demonstration of what Jazz does that a spreadsheet can't. The borrower handed in a covenant certificate showing 1.25x — passing. Jazz didn't dispute the arithmetic; it reconciled the certificate line-by-line against the executed lease and the loan agreement and found every line matches the bank's T-12 except one: Suite 200 rent that's signed but not yet in payment. Exclude it*

under the income-in-payment covenant and the real number is 1.15x — a breach. Same data, two answers, and Jazz can show exactly where they diverge."

CATEGORY HEADER BAR

Exception 1 — Coverage Breach & Cure Path · ● PENDING RESOLUTION Cedar Grove Commons (LN-2021-0447) · Financial Performance & Coverage · Step 1 of 2

DECISION (*top of workspace — decision-first*)

The decision: Request written Suite 200 commencement confirmation through the Relationship Mail Queue; hold bank-side DSCR at **1.15x** as the operative covenant result pending receipt (Suite 200 forward rent excluded until in payment); record the borrower-CCC non-reconciliation in the AR covenant scorecard and Annual Review package; and track the DSCR retest after commencement.

Verdict strip:

Scenario	DSCR	Basis
Prior Annual Review	1.39x · Pass	T-12 fully occupied · no vacancy adjustment
Bank-side (operative)	● 1.15x · below 1.20x floor	Income in payment as of Feb 28 2026 · Suite 200 dark · no normalization
Borrower CCC	⚠ 1.25x · non-reconciling	Includes \$117.6K Suite 200 forward rent — excluded under the income-in-payment definition
Covenant floor	1.20x	Facility loan agreement — DSCR covenant

Read: the borrower's 1.25x is not an arithmetic error — it's the post-commencement number. The whole 0.10x gap is one suite's forward rent, not yet in payment.

THE COVERAGE DECISION (*A/B — active after evidence review*)

OPTION A — Request Suite 200 commencement confirmation ♦ *Jazz-suggested · main demo path · triggers the Relationship Mail Queue*

*[DON'T ADD TO DEMO] The 1.15x bank-side result is a breach **because the Suite 200 rent is executed but not yet in payment** — the borrower's 1.25x counts the \$117.6K forward rent the covenant can't credit yet. The right move is not to simply confirm the*

gap; it is to **request written confirmation that Suite 200 rent has commenced** (first payment date, any commencement-date variance) — the evidence that resolves the cure.

Selecting this drafts the request into the Relationship Mail Queue for you to send.

Sets: bank-side 1.15x held as the operative covenant result pending the document (forward rent excluded until in payment) ·

Suite 200 commencement confirmation request → Relationship Mail Queue (Jazz drafts → Jordan sends → borrower responds → Jordan uploads → DSCR retests → condition closes) · CCC non-reconciliation recorded in the AR covenant scorecard and Annual Review package · DSCR + coverage factors → rating on confirmation. The request is the action; the conservative 1.15x posture is what holds while the document is awaited.

OPTION B — Accept the borrower's 1.25x now, without the commencement confirmation (available · not selected)

[DON'T ADD TO DEMO] Would credit the \$117.6K forward rent at the Calculation Date without waiting for the commencement evidence. The income-in-payment definition does not permit crediting executed-but-not-commenced rent (\$ income-in-payment), so the 1.25x would not reconcile to the covenant. Not defensible this cycle — which is why the primary path requests the document rather than accepting the optimistic reading.

[Confirm — Request Commencement Confirmation]

EVIDENCE (collapsed behind the gate — Step 1)

[View Coverage Evidence] → modal · review gate. Contents:

Doc 1 — T-12 Operating Statement (bank-side spread)

Line	Current T-12	Prior AR	Change
Effective Gross Income	\$2,510,000	\$2,786,000	↓ \$276,000
Total Operating Expenses	\$1,140,000	\$1,140,000	\$0
Net Operating Income	\$1,370,000	\$1,646,000	↓ \$276,000 (–17%)
Annual Debt Service	\$1,188,000	\$1,188,000	\$0 — fixed 4.85%, no reset
Bank-side DSCR	1.15x	1.39x	–0.24x

Doc 2 — Borrower CCC Reconciliation (evidence within this exception — the retired standalone)

Field	Detail
Gap	0.10x — borrower 1.25x vs bank 1.15x
Sole driver	\$117,600 annualized Suite 200 rent — executed lease, rent not yet in payment
Covenant test	Income-in-payment definition — DSCR counts income currently in payment at the Calculation Date → forward rent excluded
Lease authorization	Bank consent acknowledged before execution — notice on file · no separate consent exception
Conclusion	CCC is non-reconciling under the income-in-payment definition — recorded in the AR covenant scorecard and Annual Review package

Doc 3 — Executed Suite 200 Lease · 8,400 SF · \$14.00/SF · \$117,600/yr · commencement May 1 2026 · bank consent acknowledged before execution.

Doc 4 — NOI Decline Drivers

Driver	Impact	Share
Suite 200 partial-year vacancy (in payment 5 of 12 trailing months)	~ -\$48,500	~18%
Broader leasing softening — small-shop vacancy · lost recoveries · lower renewal rents	~ -\$227,500	~82%
Total NOI decline	-\$276,000	100%

Note: Suite 200's ~\$48.5K is its prior-rent loss (~18% of the YoY decline). The \$117.6K in Doc 2 is the borrower's forward-rent inclusion — a different Suite 200 figure. Keep them distinct.

[Mark Evidence Reviewed] activates Option A/B.

SOURCE BASIS (bottom pill → drawer)

Policy

Source	Detail
Facility loan agreement — DSCR covenant	"Borrower shall maintain a Debt Service Coverage Ratio of not less than 1.20 to 1.00, tested as of each Calculation Date."

Source	Detail
Facility loan agreement — income-in-payment definition	"Net Operating Income shall include only rental and other income actually received and currently in payment as of the Calculation Date. Income from executed leases for which rent has not commenced shall be excluded until in payment."
OCC <i>Commercial Real Estate Lending</i> booklet v2.0 (Mar 2022), Income-Producing Credit Administration	Methodology for analyzing income-producing CRE coverage in ongoing administration
<i>The operative covenant result (DSCR covenant) depends on the income-eligibility test (income-in-payment definition); the borrower's CCC applies a different income basis — the loan agreement controls.</i>	

CONFIRM FLOW — on [Confirm — Request Commencement Confirmation] with Option A

State transitions:

- Exception 1: ● Pending → ✔ **Resolved for AR Submission — Commencement Confirmation Requested · Bank-Side 1.15x Held Pending Receipt** (*Jordan's decision is resolved; the Suite 200 commencement request moves to the Relationship Mail Queue, and the conservative 1.15x holds as the operative covenant result until the document arrives*)
- Left rail — Financial Performance & Coverage: ● → ✔ **RESOLVED FOR AR SUBMISSION** (*the Jordan decision is resolved; the coverage covenant remains a confirmed breach with cure tracked — not "clean"*) · sub-line: "Bank-side DSCR 1.15x confirmed · CCC non-reconciliation recorded · Suite 200 cure tracked"
- Requires-Jordan counter decrements (4 → 3 remaining)
- Risk Rating Determination: **DSCR** and **CCC-reconciliation** factors populate — *bank-side 1.15x below 1.20x floor · CCC non-reconciling · cure path tracked ↓*
- Post-review conditions ledger gains TWO: ① **Suite 200 commencement confirmation (May 1 2026)** and ② **DSCR retest after Suite 200 commencement — target: within 10 business days, per servicing workflow** (owner: portfolio manager / servicing)

- AR package covenant compliance scorecard: DSCR line flips from  breach-under-resolution to *confirmed breach · cure tracked*

Presenter note (on confirm): *"Jordan didn't take the borrower's number and didn't ignore the executed lease — he confirmed the covenant result on today's income and put the cure on a tracked timeline. The DSCR factor is now locked into the rating, and the two post-review conditions write themselves into the AR package."*

CASCADE TOUCHPOINTS (for the build)

- This is the canonical home of the **CCC reconciliation** — it must NOT also render as a standalone exception (retired). Any "CCC Attestation Review" exception title is dead copy.
 - The **NOI split** (18/82) is previewed on the category panel (Cat 3) as the one visual; the full driver table is Doc 4 here. Don't double-render the full table on the panel.
 - DSCR appears in the **verdict strip** and Doc 1 only within this workspace; it populates the **rating matrix** on confirmation — it does not appear on the Highlights cards as a bare ratio without the "below floor" context.
-

BUILD NOTES (not visible UI)

- **Layer model applied:** interpretation (the "1.25x is tomorrow's number" read) → Jazz Lens; methodology (the spread, the reconciliation steps) → working-strip + evidence modal; evidence tables (T-12, CCC, drivers) → modal; legal (§ DSCR covenant, § income-in-payment) → source pill; the decision + verdict strip → above the fold. No interpretive prose stranded in the body (EX1-FINAL-04).
- **One CTA** (EX1-FINAL-01): Open Exception 1 → from the panel; inside, View Coverage Evidence is the single evidence gate. The old "View T-12 Spread" / "View Borrower CCC" panel buttons are Docs 1 and 2 in the modal, not separate panel CTAs.
- **Decision-first inversion** (EX1-FINAL-03): decision sentence + verdict strip + decision control on top; the five evidence tables collapse behind the gate. No 2.5-screen scroll to reach the decision.
- **Cure card kept visible** (EX1-FINAL-08): the cure path is the Special Mention setup downstream — it stays as a compact card, not buried in the modal and not expanded as a 6-row table in the body.

- **Progressive Step 2** (EX1-FINAL-06): no greyed "LOCKED" Step 2 card; the confirm control reveals after View Coverage Evidence is reviewed. Progress cue: "Step 1 of 2 · evidence review required before confirmation."
- **The two-figure guard** (your Cat 3 catch): Suite 200's ~\$48.5K prior-rent loss (driver table) ≠ the \$117.6K forward-rent inclusion (CCC). Both labeled, distinct, never conflated.
- **Credibility tags:** the 1.20x floor and the income-in-payment definition are **LA** (facility covenant, never "regulatory"); the OCC methodology is **REG**. DSCR is a loan-agreement covenant result, not a regulatory threshold.
- **Numbers verified against the ledger:** NOI \$1.646M→\$1.370M (−\$276K/−17%) · DSCR 1.39x→1.15x (−0.24x) · CCC 1.25x (NOI \$1.4876M) · gap 0.10x · \$117.6K = 8,400 SF × \$14.00 · retest 1.25x · \$62K headroom at the 1.20x floor · ~\$158K below prior NOI · split ~18%/~82% (~\$48.5K/~\$227.5K). ✓
- **Anchor naming / recourse:** unaffected — this exception cites the DSCR covenant and income-in-payment definition, not the anchor tenant or the guaranty.

POST-REVIEW REQUEST & CLOSE — SUITE 200 COMMENCEMENT (*self-contained mail-queue lifecycle*)

Why this is here: confirming Exception 1 records the Suite 200 commencement as a post-review condition. Rather than leave it hanging "until confirmed," the condition is **actionable through the Relationship Mail Queue** — Jazz drafts the request, Jordan sends, the borrower responds, Jordan uploads, Jazz extracts, and the condition **closes**. Upload Docs flow only: closures run through the borrower response document upload path, and every step is a real action. **The condition does not close on send — only on upload + Jordan's confirmation.**

The request (Jazz-drafted · editable)

Draft — Suite 200 Rent Commencement Confirmation

Subject: Cedar Grove Commons (LN-2021-0447) — Suite 200 rent commencement confirmation requested
 Requesting written confirmation that Suite 200 rent has commenced per the executed lease (8,400 SF · \$14.00/SF · commencement May 1 2026), including the first rent payment date and any commencement-date variance. Required for the Annual Review coverage condition and the DSCR retest.

*This draft sits in the **Relationship Mail Queue** alongside Exception 4's guarantor-PFS draft. Both route to the same borrower-side recipient, so Jordan can **send this separately or combine both into one editable email.***

Lifecycle — send → upload → close

Step	State	What happens
1 · Send	 Sent · awaiting documents	Jordan sends (separately or combined). Condition stays OPEN — actioned, not closed. Highlights Coverage card does NOT clear.
2 · Upload CTA	—	[Upload Docs] appears · helper: <i>"Upload borrower response documents when received."</i>
3 · Documents	redirect	Clicking [Upload Docs] → Documents / Incoming Documents · pending slot: Suite 200 commencement confirmation
4 · Upload	 Received · processing	Jordan uploads the confirmation. Jazz classifies and maps it to this request automatically.
5 · Extract	—	Jazz extracts the commencement date + first-payment date; confirms rent has commenced; runs the DSCR retest on the now-in-payment income.
6 · Confirm & close	 Closed	Jordan reviews and confirms. Suite 200 commencement condition → Closed ; DSCR retest → Complete (retests to 1.25x, above the 1.20x floor); Highlights Coverage card clears ; AR package updates (commencement confirmed · retest recorded).

State summary

Stage	Suite 200 commencement condition	DSCR retest	Highlights Coverage card
After Exception 1 confirm	Open · queued in Mail Queue	Queued	Visible
After send	Open · sent, awaiting documents	Queued	Still visible
After upload	Received · processing	Computing	Still visible
After Jordan confirms	 Closed	 Complete (1.25x)	Cleared

Core rule: nothing closes and the card does not clear on send. Send = "actioned, awaiting documents." Close = after the document is uploaded, extracted, and Jordan confirms.

The post-upload review screen — "What Jazz Found in the Returned Evidence" (Step 5→6 · the confirmation gate)

After Jordan uploads the Suite 200 commencement confirmation, Jazz reads the document and surfaces what it found — then Jordan accepts or overrides before the condition closes. This is the gate between "Received" and "Closed": the document doesn't close the condition automatically; Jordan confirms Jazz read it correctly.

What Jazz Found in the Returned Evidence

Field	What Jazz extracted	Against expectation
Document type	Suite 200 lease commencement confirmation (landlord/tenant signed)	✓ Matches the request
Tenant	Suite 200 replacement tenant · 8,400 SF	✓ Matches the executed lease
Commencement date	May 1, 2026	✓ Matches the executed-lease date
First rent payment	May 2026 · rent now in payment	✓ Confirms rent has commenced
Annual rent	\$117,600/yr (\$14.00/SF)	✓ Matches the executed lease
DSCR retest	1.25x on the now-in-payment income	✓ Above the 1.20x floor · +\$62K NOI headroom

What this resolves: the Suite 200 rent that was excluded from the covenant result (executed but not in payment) is now in payment. The bank-side DSCR retests to **1.25x** — the breach cures. The \$117,600 that drove the borrower-CCC gap is now creditable because the income-in-payment condition is met.

Jordan's decision:

● **Accept Jazz's reading — close the condition** ♦ *Jazz-suggested*

Confirm the extracted commencement and the 1.25x retest. The Suite 200 commencement condition closes; the DSCR retest records as complete; the Highlights Coverage card clears; the AR package updates (commencement confirmed · retest 1.25x recorded). The rating's coverage factor carries the cured result.

○ **Override — flag for manual review**

Use if the document is incomplete, the commencement date or rent doesn't match, or the confirmation is ambiguous. The condition stays open; Jordan adds a note (what's wrong / what's needed); Jazz does not record the retest. Routes back to the request status for a follow-up or re-upload. *No close on a questioned document.*

On Accept → Step 6 (Closed) runs. On Override → the condition holds open with Jordan's note; nothing is recorded; the Highlights card stays visible.

Build notes — request lifecycle

- **Upload Docs flow only:** the demo advances by Jordan uploading the borrower's confirmation in the Documents section, through the borrower response document upload path.
- **Closes on confirm, not send:** send → "Sent · awaiting documents" (open); upload + extract + confirm → Closed. The DSCR retest runs on the uploaded, now-in-payment income — not pre-computed.
- **Highlights persistence:** the Coverage exception card persists through send and processing; clears only on Jordan's post-upload confirmation.
- **Shared queue, combine option:** this Suite 200 draft and Exception 4's PFS draft are both in the Relationship Mail Queue to the same recipient; Jordan may send separately or combine into one editable email. (Each exception's request is otherwise independent — uploading one closes only that one's condition.)

CATEGORY 4 — PROPERTY PERFORMANCE & LEASING

1 · HEADER

● **PENDING RESOLUTION**

2 · HERO LINE

Occupancy is 79%, below the 80% floor. The decision is whether the leasing weakness is temporary softening or structural decline.

3 · SNAPSHOT CARDS (6 cards, neutral fill)

Card	Value	Sub-line
Occupancy	79.0%	Below the 80% floor · prior AR 94.0%
Vacant GLA	14,280 SF	21.0% · Suite 200 + small-shop
Suite 200	Re-let	Executed lease · May 1 commencement

24-Mo Rollover	34% GLA	23,120 SF · inline-concentrated · anchor not in window
Anchor	Through 2031	Grocery anchor · not in the rollover window
Occupancy Δ vs Prior	-15.0 pts	-12.4 Suite 200 · -2.6 net-new small-shop

4 · ONE VISUAL — occupancy decomposition (*the category-level insight; replaces the trajectory table*)

Occupancy -15.0 pts

Suite 200 (re-let)  -12.4

Net-new small-shop  -2.6

(plus 4,080 SF small-shop carried from the prior review)

Caption: One already-re-let suite drives most of the fall; the residual small-shop gap is what the trajectory decision actually judges — the difference between an *event* and a *trend*.

5 · BODY — frame and route

Leasing position: occupancy 79.0% vs the 80% floor, down from 94.0% at the prior review. The decomposition, the two-readings evidence, the recovery path, and the submarket benchmark all **live in Exception 2**.

What's the decision: whether to read the weakness as **temporary, curable softening** (Suite 200 re-let, market soft-but-stable, anchor intact, net-new losses modest) or as the start of a **structural decline** (small-shop vacancy spreading, 34% rolling within 24 months, renewal outcomes deciding the next two years) — and to set the monitoring posture accordingly. (*NOI quantification lives in Financial Performance & Coverage; the submarket verdict — gap is property-specific, not cyclical — frames this category but routes from Market.*)

7 · SOURCE PILL

Pilicy Hover:

Source	Detail
Facility loan agreement — occupancy covenant	Physical occupancy floor 80%, measured as of each Calculation Date
OCC <i>Commercial Real Estate Lending</i> booklet v2.0 (Mar 2022)	Tenant-rollover and leasing analysis; more frequent reporting for properties with frequent lease expirations

Lease / rent roll	Anchor 22,000 SF through 2031; co-tenancy and inline rollover are lease/market terms, not regulatory thresholds
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9 · WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Ingested the current rent roll, built the occupancy position suite-by-suite, decomposed the -15.0-pt move, identified the leases rolling within the 24-month window, and reconciled the leasing trajectory against the prior review and the submarket benchmark. *(Full workings in Exception 2.)*
- **Evidence** — Rent roll · executed Suite 200 lease · rollover schedule · Q1 2026 submarket extract. *(Detailed evidence opens inside Exception 2's modal.)*

10 · FOOTER (one task-named CTA)

Primary [**Set Leasing Posture →**] *(Occupancy & Leasing Trajectory) (Per visual-audit EX2-FINAL-12: the CTA names the task — a posture decision — not a generic "Open Exception." Rent-roll and rollover drill-downs live inside Exception 2's evidence modal.)*

EXCEPTION 2 — OCCUPANCY & LEASING TRAJECTORY

JazzAssessment → Property Performance & Leasing · FULL DOC-READY WORKSPACE SPEC

Spine position 2 of 4. Category: Property Performance & Leasing. Capability shown: **trajectory analysis + two-readings judgment** — the only exception that's a genuine judgment, not a calculation. Closure: **judgment / posture** (A/B). Built decision-first with the locked layer model. All EX2-FINAL register decisions baked in. **What this exception is:** occupancy is below the covenant floor. But the file supports two defensible readings — a temporary, curable softening, or the start of a structural decline. Jazz assembles both columns; Jordan picks the reading and sets the monitoring posture. This is the demo's proof that the product isn't just an auto-checker — it frames a judgment a banker owns.

ENTRY

Jordan arrives three ways: the Highlights leasing card [**Set Leasing Posture →**], the [**Set Leasing Posture →**] strip on the Property Performance & Leasing category panel, or the exception item nested under the category in the left rail.

Left rail state: ● **Property Performance & Leasing** — PENDING RESOLUTION L ●
Exception 2 — Occupancy & Leasing Trajectory · *Awaiting Jordan's posture determination*

Presenter note: *"The second judgment is the one that separates a credit system from a credit officer. Occupancy is down fifteen points — but twelve of those are one suite that's already re-let. The number doesn't make the decision; the trajectory does. Is the residual softening a temporary dip with a credible cure, or the leading edge of a slide? Jazz lays the same file out as two readings — the case for softening and the case for monitoring — and asks Jordan to pick. That's not a calculation. That's the judgment the covenant can't make."*

CATEGORY HEADER BAR

Exception 2 — Occupancy & Leasing Trajectory ·  PENDING RESOLUTION Cedar Grove Commons (LN-2021-0447) · Property Performance & Leasing · Step 1 of 2

THE QUESTION (*top of workspace — question-first, per EX2-FINAL-04*)

Is the leasing weakness a temporary, curable softening — or evidence of a structural decline? The answer sets the monitoring posture for the Annual Review.

Jazz recommends: Temporary Softening with enhanced leasing monitoring — unless the lease-up path appears structurally impaired.

Verdict strip:

Scenario	Occupancy	Basis
Prior Annual Review	94.0% · Pass	Physical occupancy · 4,080 SF vacant
Current (operative)	 79.0% · below 80% floor	Physical occupancy as of Feb 28 2026 · 14,280 SF vacant
Post-Suite 200 commencement	~91.4% · above floor	Suite 200 takes occupancy · 62,120 SF occupied
Covenant floor	80.0%	Facility loan agreement — occupancy covenant

Read: the cure clears the covenant; it does not restore the credit. ~91.4% is above the floor but ~2.6 pts below the prior review's 94.0%.

THE POSTURE DECISION (*A/B — active after evidence review · the heart of this exception*)

OPTION A — Temporary Softening ♦ *Jazz-suggested · selected · main demo path*

Credible cure: Suite 200 executed with near-term commencement; submarket soft but stable; anchor locked through 2031; net-new losses modest (~1,800 SF). **Sets:** the Enhanced Monitoring Package — monthly rent roll, leasing update, operating statement, and DSCR / occupancy recovery tracking until covenant cure.

OPTION B — Structural Decline (*available · not taken*)

Would apply if lease-up stalls, rollover renewals come back negative, small-shop vacancy spreads, or re-leasing spreads turn negative. **Would set:** borrower leasing plan required · increased reporting frequency · Credit Officer escalation · heavier weight against the rating.

[Confirm Leasing Posture]

THE TWO READINGS (*kept visible · PROTECTED — comparison card, horizontal pairing preserved, per EX2-FINAL-10*)

The same file supports two postures. Jazz assembled both columns; Jordan picks the reading. Each row pairs a softening signal against the monitoring signal that tests it — read across, not down.

Supports Temporary Softening	↔	Signals Requiring Monitoring
Suite 200 re-let — executed lease, May 1 2026 commencement	↔	Vacancy gap is property-specific — submarket ~7–8%; not a cycle to wait out
Submarket soft but stable — limited new competitive supply	↔	Small-shop vacancy 5,880 SF — 4,080 carried from the prior review (persistent, not new)
Anchor locked through 2031 — necessity-traffic foundation intact	↔	34% of GLA rolls within 24 months — renewal outcomes decide the next two years
Net-new small-shop loss modest — ~1,800 SF (~2.6 occupancy pts)	↔	Lower renewal rents and lost recoveries drive ~82% of the NOI decline
Non-rolling leases average 5.2 yrs — anchor-supported stability	↔	Rising NNN pass-throughs lift tenant occupancy costs — renewal pressure
Debt service current through the occupancy decline	↔	Leasing recovery still depends on Suite 200 commencement and small-shop stabilization

Do not collapse this into the evidence modal and do not split it into two independent lists — the paired tension across each row is the artifact. It is what makes this a judgment, not a calculation.

COMPACT RECOVERY CARD (*kept visible — the Special Mention setup, the Exc 2 analogue of the cure card*)

Cure vs. recovery — clears the floor, not the gap. On Suite 200 taking occupancy, the center returns to **~91.4%** (62,120 SF occupied) — above the 80% floor by **~11.4 pts**. It does **not** restore prior performance: occupancy stays **~2.6 pts below** the prior review's 94.0%, and the residual small-shop vacancy is what monitoring watches. *Commencement tracking is owned by Exception 1's post-review condition — not duplicated here.*

EVIDENCE (collapsed behind the gate — Step 1)

[**View Leasing Evidence**] → modal · review gate. Contents:

Doc 1 — Occupancy Position (suite-by-suite)

Component	SF	% of GLA
Anchor (grocery) — through 2031	22,000	32.4% · occupied
Inline / small-shop — occupied	31,720	46.6% · occupied
Occupied GLA	53,720	79.0%
Suite 200 — dark 7 months	8,400	12.4% · vacant
Other small-shop vacancy	5,880	8.6% · vacant
Vacant GLA	14,280	21.0%
Total GLA	68,000	100%

Doc 2 — Occupancy Trajectory (prior AR → current)

Movement	SF	Occupancy effect
Vacant at prior Annual Review	4,080	94.0% occupied
Suite 200 departure (~July 2025)	+8,400	–12.4 pts
Net additional small-shop vacancy	+1,800	–2.6 pts
Vacant today	14,280	79.0% occupied · –15.0 pts

Note — the carried-vs-net-new guard: total small-shop vacancy is 5,880 SF, of which 4,080 was carried from the prior review and only 1,800 is net-new. The -2.6 pt decomposition figure is the net-new piece, not the full 5,880. Keep them distinct.

Doc 3 — Leasing & Rollover

Item	Detail
Suite 200 status	Replacement lease executed · commencement May 1 2026 (~60 days) — economics in Exception 1's cure path
Lease rollover — 24-month window	34% of GLA (23,120 SF) · elevated · not itself a covenant event
Rollover composition	Concentrated in inline / small-shop · anchor not in the window (through 2031)
WALT — non-rolling leases	5.2 years · anchor-supported · stable

Doc 4 — Q1 2026 Submarket Extract · submarket vacancy ~7–8% · subject ~21% · cap rate +~50 bps · gap is property-specific, not cyclical.

[Mark Evidence Reviewed] activates Option A/B.

SOURCE BASIS (bottom pill → drawer)

Source basis: occupancy covenant · leasing-review methodology ⊕

Drawer:

Source	Detail
Facility loan agreement — occupancy covenant	"Borrower shall cause the Property to maintain physical occupancy of not less than 80%, measured as of each Calculation Date."
OCC Commercial Real Estate Lending booklet v2.0 (Mar 2022)	Properties with frequent lease expirations warrant closer reporting; tenant-rollover risk is a named analysis item
Lease / rent roll	Anchor 22,000 SF through 2031; co-tenancy and inline rollover are lease/market terms, not regulatory thresholds

The covenant tests physical occupancy at a point in time; the trajectory judgment — whether the breach is curing or compounding — is the portfolio-management decision the covenant cannot make.

CONFIRM FLOW — on [Confirm Leasing Posture] with Option A

State transitions:

- Exception 2:  Pending →  **Resolved for AR Submission — Temporary Softening · Enhanced Monitoring Set** *(the Jordan decision is resolved; occupancy remains a confirmed breach with cure tracked — not "clean")*
- Left rail — Property Performance & Leasing:  →  **RESOLVED FOR AR SUBMISSION** · sub-line: *"Posture: temporary softening · enhanced leasing monitoring set · occupancy 79% confirmed below floor · ~91.4% cure tracked"*
- Requires-Jordan counter decrements (one fewer remaining)
- Risk Rating Determination: **occupancy**, **NOI-trend**, and **rollover** factors populate — *occupancy 79% below 80% floor · temporary-softening posture · cure to ~91.4% tracked ↓*
- Post-review conditions ledger updates the **Enhanced Monitoring Package**: monthly rent roll, leasing update, operating statement, and DSCR / occupancy recovery tracking until covenant cure (owner: portfolio manager / servicing). *(Suite 200 commencement confirmation + DSCR retest remain owned by Exception 1 and are not duplicated here.)*

Presenter note (on confirm): *"Jordan made the call the covenant couldn't — temporary softening, with the monitoring to back it. If the read is right, the center recovers and the watch winds down. If it's wrong, the monthly reporting catches it early and Option B is one decision away. Either way, the posture is now in the rating and the monitoring is in the AR package."*

CASCADE TOUCHPOINTS (for the build)

- The **occupancy decomposition** ($-15.0 = -12.4 / -2.6$) is previewed on the Category 4 panel as the one visual; the full trajectory is Doc 2 here. The **occupancy bridge** ($94 \rightarrow 79 \rightarrow 91.4$) lives in THIS workspace's verdict strip — not on the panel. Don't double-render either.
- The **Two-Readings card** lives here only — it is not on the category panel and not in the evidence modal. It sits with the A/B decision as one unit.

- **NOI quantification** is owned by Exception 1; here the ~82% softening appears only as a Two-Readings signal and a submarket note, not re-quantified.
 - **Suite 200 commencement + DSCR retest** are Exception 1's post-review conditions; Exception 2 references them but does not own or duplicate them.
-

BUILD NOTES (*not visible UI*)

- **Layer model applied:** interpretation (the softening-vs-slide read) → Jazz Lens; methodology (suite-by-suite build, trajectory) → working-strip + evidence modal; evidence tables → modal; legal (§ occupancy covenant) → source pill; the question + verdict strip + A/B → above the fold.
- **Question-first open** (EX2-FINAL-04): the credit question leads, then the recommendation, then the verdict strip, then the A/B cards. The emotional hook is the question, not a table.
- **Two-Readings PROTECTED** (EX2-FINAL-10): rendered as a comparison card with the horizontal pairing preserved — each softening row aligned across from its countervailing monitoring row. Never collapsed into the modal; never split into two loose lists. This is the single most important visual discipline in this exception.
- **A/B mechanic** (the available-not-taken pattern): Option A selected/Jazz-suggested, Option B available with explicit "would apply if..." conditions visible — this is what makes accepting the recommendation credible (the alternative is shown, not hidden).
- **Recovery card kept visible** (EX2-FINAL-07 exception): the cure-vs-recovery nuance (~11.4 pts headroom / ~2.6 below prior) is the Special Mention setup — compact card, not buried, not a full table.
- **Set Leasing Posture** → (EX2-FINAL-12): the CTA names the task — a posture decision — not a generic "Open Exception."
- **Resolved-for-AR, not CLEARED:** occupancy is a confirmed breach with a forward cure — same discipline as Exception 1 and Collateral; the review decision resolves but the covenant doesn't go green.
- **Carried-vs-net-new guard** (the Exc 2 analogue of the two-figure guard): total small-shop vacancy 5,880 SF ≠ the -2.6 pt net-new figure (1,800 SF); 4,080 is carried. Labeled and distinct in Doc 2.

- **Credibility tags:** the 80% floor is **LA** (facility covenant, never regulatory); co-tenancy / anchor / rollover are **MKT**/lease; only the OCC reporting methodology is **REG**.
- **Anchor naming (DECISION 1):** Doc 1 and the Two-Readings card show grocery anchor / anchor pending the naming lock; sweep with Market + Category 4 + AR modal together.
- **Numbers verified against the ledger:** occupancy 79.0% (53,720/68,000) vs 80% floor · prior 94.0% · vacant 14,280 (Suite 200 8,400/12.4% + small-shop 5,880/8.6%) · -15.0 pts (-12.4 Suite 200 / -2.6 net-new) · small-shop 5,880 = 4,080 carried + 1,800 net-new · cure ~91.4% (62,120 SF, +11.4 vs floor, -2.6 vs prior) · rollover 34% GLA (23,120 SF) · WALT 5.2 yrs. ✓

CATEGORY 5 — SPONSOR & GUARANTOR SUPPORT

1 · HEADER

Sponsor & Guarantor Support · ● PENDING RESOLUTION

2 · HERO LINE

The guarantor's financials are 18 months old against a 12-month reporting requirement; the decision is how to treat sponsor support pending an update.

3 · SNAPSHOT CARDS (4 cards, neutral fill)

Card	Value	Sub-line
PFS Currency	18 months	Vs 12-month reporting requirement · overdue
Request Status	Outstanding	18 days · 3 attempts · no response yet
SREO	Reviewed (Jan 2026)	6 properties · no adverse items surfaced
Sponsor Credit Applied	None	Conservative — no global support credited pending update

4 · ONE VISUAL — reporting-gap timeline (the category-level insight)

Required: PFS within 12 months |

On file: ~18 months old ————|——— 6 months overdue

Requested — 18 days ago · 3 attempts · awaiting response

Caption: The reporting covenant is overdue and the update has been requested but not received. No sponsor support is credited until current financials are in hand — the conservative treatment.

5 · BODY — frame and route

Sponsor position: the guarantor's PFS is ~18 months old against a 12-month reporting requirement — a reporting-covenant gap, not (on current information) a support-quality finding. The SREO reviewed in January 2026 surfaced no adverse items across six properties. The request workflow, the receipt-and-extract step, and the global-cash-flow recompute **live in Exception 4**.

What's the decision: whether to proceed with **no sponsor support credited** pending the updated PFS (the conservative path), record the reporting gap as an Annual Review finding, and track the outstanding request as a post-review condition. *(This is a documentation-discipline decision — the gap is reporting timeliness, not evidence of sponsor deterioration on what's currently known.)*

7 • SOURCE PILL

Policy

Source	Detail
Facility loan agreement — guarantor reporting covenant	Updated PFS (and supporting schedules) required within 12 months
Bank credit policy	PFS recency standard for active monitoring (typically 12 months)
2023 Interagency CRE Workouts Policy Statement (OCC Bulletin 2023-23)	Expanded guarantor analysis to encompass loan sponsors; global cash flow including contingent liabilities

9 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Checked the guarantor PFS date against the 12-month reporting covenant, confirmed the gap, drafted and tracked the request (18 days, 3 attempts), reviewed the January 2026 SREO across six properties for adverse items, and held global support at zero pending current financials. *(Full workings and the request flow in Exception 4.)*
- **Evidence** — Guarantor PFS (on file, ~18 mo) · reporting covenant · request log · January 2026 SREO. *(Detailed evidence and the request workflow open inside Exception 4.)*

10 • FOOTER (one task-named CTA)

Primary [**Decide Sponsor Treatment →**] *(Guarantor Reporting & Global Support)*
(Single primary CTA; the PFS and SREO drill-downs live inside Exception 4's evidence modal.)

EXCEPTION 3 — GUARANTOR REPORTING & GLOBAL SUPPORT

JazzAssessment → Sponsor & Guarantor Support · FULL DOC-READY WORKSPACE SPEC

Spine position 4 of 4. Category: Sponsor & Guarantor Support. Capability shown: **request-draft + extract-on-receipt + global-cash-flow recompute** — the document-chase capability the other three exceptions don't demonstrate. Closure: **M3** (Jazz drafts the request → Jordan sends → Jazz extracts/analyzes on receipt → Jordan approves). Built decision-first with the locked layer model. **Renumbered from Exception 3** under position-based numbering (Collateral now holds position 3). **What this exception is — and is NOT:** the guarantor's PFS is 18 months old against a 12-month reporting requirement. This is a **reporting-timeliness gap, not evidence of sponsor deterioration**. On what's currently known, the January 2026 SREO was reviewed — six properties, no adverse items surfaced. The conservative treatment — credit no global support until current financials are in hand — is the prudent response to *missing data*, not a judgment that support is weak. The decision is how to treat sponsor support pending the update; the request is **actionable through the Relationship Mail Queue** (Jazz drafts it, Jordan sends, borrower responds, Jordan uploads, Jazz extracts and recomputes) — so the condition closes rather than hanging open. The global cash-flow recompute happens *on receipt of the uploaded PFS*, not now.

ENTRY

Jordan arrives three ways: the Highlights sponsor card [**Decide Sponsor Treatment →**], the [**Decide Sponsor Treatment →**] strip on the Sponsor & Guarantor Support category panel, or the exception item nested under the category in the left rail.

Left rail state: ● **Sponsor & Guarantor Support** — PENDING RESOLUTION L ●
Exception 4 — Guarantor Reporting & Global Support · *Awaiting Jordan's sponsor-treatment determination*

Presenter note: *"The fourth judgment shows the part of the workflow that isn't analysis — it's chasing. The guarantor's financials are six months past the reporting covenant. Jazz already drafted the request and chased it three times. But notice what Jazz does NOT do: it doesn't guess at the sponsor's current position, and it doesn't credit support it can't verify. The honest call is conservative — proceed with no global support credited, log the gap, track the request. The moment the financials arrive, Jazz extracts them and recomputes global cash flow. This is the difference between a system that fabricates a number and one that tells you what it's still waiting for."*

CATEGORY HEADER BAR

Exception 4 — Guarantor Reporting & Global Support · ● PENDING RESOLUTION
Cedar Grove Retail Holdings LLC · guarantor Marcus Webb · Sponsor & Guarantor
Support · Step 1 of 2

THE QUESTION (*top of workspace — decision-first*)

The guarantor's financials are 18 months old against a 12-month reporting requirement. How should sponsor support be treated pending an update?

Jazz recommends: Request the updated guarantor PFS and supporting schedules through the Relationship Mail Queue; hold **no sponsor support credited** pending receipt; record the reporting gap in the AR package; and recompute global cash flow only on uploaded PFS receipt.

Verdict strip:

Item	Status	Basis
PFS currency	⚠ 18 months · 6 months overdue	Vs 12-month reporting requirement
Request status	Outstanding · 18 days · 3 attempts	Drafted and sent · no response yet
SREO (Jan 2026)	● Reviewed · 6 properties · no adverse items surfaced	Current — the one piece of sponsor data that IS in hand
Sponsor credit applied	None	Pending current financials — not a weakness judgment

Read: this is a reporting-timeliness gap. The data Jazz does have (the January 2026 SREO — six properties, no adverse items surfaced) is current; the data it's missing (the current PFS) is what's overdue. No support is credited on missing data.

THE SPONSOR-TREATMENT DECISION (*A/B — active after evidence review*)

OPTION A — Request the updated guarantor PFS ◆ *Jazz-suggested · triggers the Relationship Mail Queue*

*[DONT ADD TO DEMO] Sponsor support can't be credited because the PFS is 18 months old against the 12-month requirement — the data to support a global cash-flow credit isn't in hand. The right move is not to simply note the gap; it is to **request the updated PFS and supporting schedules** (real estate owned, contingent liabilities, liquidity) so the bank can complete its sponsor analysis. **Selecting this drafts the PFS***

request into the Relationship Mail Queue for Jordan to send. **Sets:** sponsor credit = none, held conservatively pending the document · **updated-PFS request** → **Relationship Mail Queue** (Jazz drafts → Jordan sends → borrower responds → Jordan uploads → Jazz extracts and recomputes global cash flow → condition closes) · reporting gap recorded in the AR package · global-CF recompute runs on uploaded receipt, never on stale data. The request is the action; the no-credit posture is what holds while the document is awaited.

OPTION B — Credit estimated sponsor support now, without the updated PFS

[DONT ADD TO DEMO] Would credit a global cash-flow figure without current, verified guarantor financials. With the PFS overdue and unverified, crediting estimated support would not be defensible — which is why the primary path requests the document rather than crediting unsupported strength.

[Confirm — Request Updated PFS]

COMPACT REPORTING-GAP CARD (kept visible — the documentation-discipline beat)

Reporting gap — timeliness, not deterioration. The PFS is ~18 months old against the 12-month reporting requirement — six months overdue. Jazz has drafted the request and chased it three times (18 days outstanding). On what's currently known, the January 2026 SREO was reviewed — six properties, no adverse items surfaced; nothing in hand indicates the sponsor's position has weakened. No global support is credited until current financials are received and verified — the prudent response to *missing data*, not a judgment on sponsor strength.

THE M3 WORKFLOW — via the Relationship Mail Queue (the distinct capability · Upload Docs flow only)

① Jazz drafts PFS request → ② Jordan sends (Mail Queue) → ③ Sent · awaiting documents

(Relationship Mail Queue: send separately or combine with the Suite 200 request)



⑦ conditions CLOSE ← ⑥ Jordan reviews & confirms ← ⑤ Jazz extracts + recomputes global CF



④ Jordan uploads PFS via [Upload Docs] → Documents

*The request is actionable, not hanging. After Jordan sends, status is **Sent · awaiting documents** — the condition is actioned, not closed. A [**Upload Docs**] CTA appears; uploading the borrower's PFS in the Documents section lets Jazz extract, recompute global cash flow, and close the condition on Jordan's confirmation. Conditions do **not** close on send alone.*

Shared queue: this PFS request and Exception 1's Suite 200 commencement request route to the same borrower-side recipient, so Jordan can **send them separately or combine them into one email**. The full send → upload → close lifecycle is defined below in this Exception 4 spec — no external queue spec is required for build.

EVIDENCE (collapsed behind the gate — Step 1)

[**View Sponsor Evidence**] → modal · review gate. Contents:

Doc 1 — Guarantor PFS (on file)

Field	Detail
Date on file	~18 months old
Reporting requirement	Updated PFS within 12 months
Status	6 months overdue
 Jazz flag	Stale — does not satisfy the current reporting requirement; not used to credit support

Doc 2 — Request Log

Field	Detail
Request drafted By Jazz · updated PFS + supporting schedules	
Sent	By Jordan
Outstanding	18 days · 3 attempts · no response
Next	Jazz extracts and recomputes global cash flow on receipt

Doc 3 — SREO (January 2026) · 6 properties · reviewed for adverse items · none surfaced. *The one piece of current sponsor data in hand — six properties, no adverse items surfaced.*

Doc 4 — Global Cash-Flow Treatment (pending) · *Computed on PFS receipt via the Relationship Mail Queue upload — not before.* On current information, sponsor support is held at zero — the property-level coverage stands on its own (property-only DSCR is the operative coverage in Exception 1). A global cash-flow figure is not shown because it cannot be computed from current, verified data; fabricating one would violate the missing-data discipline.

[Mark Evidence Reviewed] activates Option A/B.

SOURCE BASIS (*bottom pill → drawer*)

Policy:

Source	Detail
Facility loan agreement — guarantor reporting covenant	Updated PFS (and supporting schedules) required within 12 months
Bank credit policy	PFS recency standard for active monitoring (typically 12 months)
2023 Interagency CRE Workouts Policy Statement (OCC Bulletin 2023-23)	Expanded guarantor analysis to encompass loan sponsors; global cash flow including contingent liabilities

The 12-month PFS requirement is a loan-agreement / bank-policy reporting standard, not a regulatory mandate. The supervisory expectation (2023 Policy Statement) is that, when sponsor support is analyzed, it uses global cash flow including contingent liabilities — which is precisely why Jazz will not credit support without current, verified financials.

CONFIRM FLOW — on [Confirm — Request Updated PFS] with Option A

State transitions:

- Exception 4:  Pending →  **Resolved for AR Submission — No Sponsor Credit · PFS Request Queued** (*the Jordan treatment decision is resolved; the PFS request moves to the Relationship Mail Queue as an actionable item — send → upload → Jazz recomputes → close — not a hanging condition*)
- Left rail — Sponsor & Guarantor Support:  →  **RESOLVED FOR AR SUBMISSION** (*not fully CLEARED — reporting gap open pending the updated PFS*) · sub-line: *"Resolved by Jordan — no global support credited pending*

update · reporting gap recorded · updated PFS tracked as post-review condition · global-CF recompute queued on receipt"

- Requires-Jordan counter decrements (set complete — all four exceptions resolved)
- Risk Rating Determination: **sponsor-reporting** factor populates as a **conditional factor** — *PFS overdue · no global support credited · update requested* — paired with the post-review condition (not a deterioration factor; a missing-data / reporting factor)
- Post-review conditions ledger gains: **Updated guarantor PFS — queued in the Relationship Mail Queue; on send → upload, Jazz extracts and recomputes global cash flow for Credit Officer review, then the condition closes** (owner: portfolio manager / servicing). *Closes on upload + confirm, not on send.*
- Relationship Mail Queue: **Draft 2 — Updated guarantor PFS + supporting schedules** is added (alongside Exception 1's Suite 200 draft); Jordan can send separately or combine
- AR package covenant compliance scorecard: guarantor-reporting line flips from  overdue-under-resolution to *resolved treatment* — *no credit pending update · PFS request queued*
- **Highlights persistence:** the Guarantor exception card does **NOT** clear on this confirmation or on sending the email — it persists through *Sent · awaiting documents* and processing, clearing only after the PFS is uploaded, extracted, and Jordan confirms the recomputed treatment

Presenter note (on confirm): *"Jordan made the disciplined call: no support credited on data the bank doesn't have, the gap recorded, the request tracked. If the PFS comes back strong, global support gets credited then — through the recompute, with the numbers verified. If the PFS comes back weak, that becomes a real credit factor, supported by verified data. Either way, the rating reflects what's known today, not a guess."*

CASCADE TOUCHPOINTS (for the build)

- This is **Exception 4** under position-numbering. The built file was previously labeled "Exception 3" (guarantor); every "Exception 3 — Guarantor" reference rennumbers to Exception 4 (cascade §3). Note that "Exception 3" now legitimately refers to Appraisal Validity — verify each reference points to the right one.

- The **global cash-flow table is NOT rendered on the Category 6 parent panel** — it's a pending computation (Doc 4) that executes on PFS receipt; the panel frames the reporting gap and routes. Don't render a global-CF table anywhere until the data exists.
- **Property-only DSCR (1.15x) is owned by Exception 1.** Here it appears only as the note that property coverage stands on its own pending sponsor data — not re-decided.
- This exception completes the set: on its resolution, all four exceptions are resolved and the **rating unlock gate** (4 judgments) is satisfied — that unlock is built in the rating phase, flagged here.

BUILD NOTES (*not visible UI*)

- **The central framing discipline (highest overclaim risk):** stale PFS is a **reporting-timeliness / missing-data gap, NOT sponsor deterioration.** Every section reinforces this — the SREO-reviewed-no-adverse-items fact, the "no credit on missing data" treatment, the "wait and verify, don't mark down" Lens line. The conservative no-credit treatment is the prudent response to absent data, never a judgment that support is weak. Do not let any copy imply the sponsor has weakened.
- **M3 workflow made visible:** the request-lifecycle diagram is the distinct capability this exception demonstrates (draft → send → await → extract → recompute → approve). The global-CF recompute is a *forward* step (on receipt), not a number shown today — fabricating a global-CF figure from stale data would violate the discipline.
- **Layer model applied:** interpretation (reporting-discipline-not-deterioration) → Jazz Lens; methodology (the M3 lifecycle, the recompute-on-receipt) → workflow strip + evidence modal; evidence (PFS, request log, SREO) → modal; legal (reporting covenant, 2023 Policy Statement) → source pill; the question + verdict strip + A/B → above the fold.
- **Credibility tags:** the 12-month PFS requirement is **LA/POL** (loan-agreement/bank-policy reporting standard, **never regulatory**); only the global-CF/sponsor-analysis *expectation* is **REG** (2023 Workouts Policy Statement). The 18-month / 18-day / 3-attempt figures are scenario facts.
- **Recourse caution:** the guaranty is referenced as context; the specific recourse nature (full vs limited) is a loan-document item **not asserted here** — consistent with the cross-collateral caution across the demo. Marcus Webb is named as

guarantor; no recourse characterization beyond "guaranty on file" / reporting obligation.

- **Resolved-for-AR, not CLEARED:** the Jordan decision resolves, but the reporting gap stays open pending the updated PFS — same discipline as Exceptions 1, 2, 3. Rail shows  RESOLVED FOR AR SUBMISSION.
- **Review-item / scorecard language:** the guarantor-reporting line routes to the AR package covenant compliance scorecard — no loose "finding" language; reporting compliance is a review item.
- **No global-CF duplication** (guardrail 4): the global-CF table appears nowhere — not on the panel, and as a *pending* computation in the evidence (Doc 4), not a populated table.
- **Numbers verified against the ledger:** PFS 18 mo vs 12-mo requirement (6 mo overdue) · request 18 days / 3 attempts · SREO Jan 2026 / 6 properties / no adverse items · no sponsor credit applied · property-only DSCR 1.15x (owned by Exc 1). ✓

POST-REVIEW REQUEST & CLOSE — GUARANTOR PFS (*self-contained mail-queue lifecycle*)

Why this is here: confirming Exception 4 records the updated-PFS request as a post-review condition. Rather than leave it hanging "until received and verified," the condition is **actionable through the Relationship Mail Queue** — Jazz drafts the request, Jordan sends, the borrower responds, Jordan uploads, Jazz extracts and recomputes global cash flow, and the condition **closes**. Upload Docs flow only: closures run through the borrower response document upload path, and every step is a real action. **The condition does not close on send — only on upload + Jordan's confirmation.** Global cash flow is computed **on the uploaded PFS**, never on the stale data.

The request (Jazz-drafted · editable)

Draft — Updated Guarantor PFS + Supporting Schedules

Subject: Cedar Grove Retail Holdings — updated guarantor personal financial statement requested The guarantor PFS on file is past the 12-month reporting requirement. Requesting an updated PFS and supporting schedules (real estate owned schedule, contingent liabilities, liquidity) so the bank can complete its Annual Review sponsor analysis. Per the loan agreement reporting covenant.

This draft sits in the **Relationship Mail Queue** alongside Exception 1's Suite 200 commencement draft. Both route to the same borrower-side recipient, so Jordan can **send this separately or combine both into one editable email**.

Lifecycle — send → upload → close

Step	State	What happens
1 · Send	 Sent · awaiting documents	Jordan sends (separately or combined). Condition stays OPEN — actioned, not closed. Highlights Guarantor card does NOT clear.
2 · Upload CTA	—	[Upload Docs] appears · helper: <i>"Upload borrower response documents when received."</i>
3 · Documents	redirect	Clicking [Upload Docs] → Documents / Incoming Documents · pending slots: Updated guarantor PFS · Supporting schedules (REO · contingent liabilities · liquidity)
4 · Upload	 Received · processing	Jordan uploads the PFS + schedules. Jazz classifies and maps them to this request automatically.
5 · Extract & recompute	—	Jazz extracts financials (net worth, liquidity, REO, contingent liabilities) and recomputes global cash flow — now possible because current, verified data is in hand.
6 · Confirm & close	 Closed	Jordan reviews and confirms the recomputed treatment. PFS reporting condition → Closed ; global-CF recompute → Complete (presented for Credit Officer review); Highlights Guarantor card clears ; AR package updates (reporting gap closed · global CF computed).

State summary

Stage	PFS reporting condition	Global CF	Highlights Guarantor card
After Exception 4 confirm	Open · queued in Mail Queue	Not computable (no current data)	Visible
After send	Open · sent, awaiting documents	Not computable	Still visible

After upload	Received · processing	Computing on uploaded receipt	Still visible
After Jordan confirms	✅ Closed	✅ Complete	Cleared

Core rule: nothing closes and the card does not clear on send. Send = "actioned, awaiting documents." Close = after the documents are uploaded, extracted, global CF recomputed, and Jordan confirms.

The post-upload review screen — "What Jazz Found in the Returned Evidence" (Step 5→6 · the confirmation gate)

After Jordan uploads the updated guarantor PFS and schedules, Jazz reads the documents and surfaces what it found — then Jordan accepts or overrides before the condition closes. The reporting gap closes on confirmation; the recomputed global cash flow is **presented for Credit Officer review, not auto-decided** (Jazz computes, the Credit Officer judges whether it supports sponsor strength).

What Jazz Found in the Returned Evidence

Field	What Jazz extracted	Against expectation
Document type	Updated personal financial statement + supporting schedules	✓ Matches the request
PFS date	Current (within the 12-month requirement)	✓ Resolves the 18-month staleness
Schedules received	REO schedule · contingent liabilities · liquidity	✓ Complete for global cash flow
Net worth / liquidity	Extracted from the PFS	Presented — not adjudicated by Jazz
Global cash flow	Recomputed on the uploaded PFS	Presented for Credit Officer review

What this resolves: the reporting gap — the PFS is now current, so the reporting covenant (\$7.3) deliverable is satisfied. Jazz recomputes global cash flow on the now-current financials. **What it does NOT decide:** whether the global cash flow supports crediting sponsor strength — that is the Credit Officer's judgment. Jazz presents the computed figure; it does not convert a reporting-gap closure into a sponsor-credit decision.

Jordan's decision:

● **Accept Jazz's reading — close the reporting condition** ♦ *Jazz-suggested*

Confirm the extracted PFS and the recomputed global cash flow. The PFS reporting condition closes; the global-CF recompute records as complete and is presented for Credit Officer review; the Highlights Guarantor card clears; the AR package updates (reporting gap closed · global CF computed). Whether the global CF supports sponsor credit remains the Credit Officer's call.

○ **Override — flag for manual review**

Use if the PFS is incomplete, the schedules are missing (REO / contingent liabilities), the document is stale or unsigned, or the figures are ambiguous. The reporting condition stays open; Jordan adds a note (what's missing / what's needed); Jazz does not record the global-CF recompute. Routes back to the request status for a follow-up or re-upload. *No close on an incomplete PFS.*

On Accept → Step 6 (Closed) runs; global CF is presented for Credit Officer review. On Override → the reporting condition holds open with Jordan's note; nothing is recorded; the Highlights card stays visible.

Build notes — request lifecycle

- **Upload Docs flow only:** the demo advances by Jordan uploading the borrower's PFS in the Documents section, through the borrower response document upload path.
- **Closes on confirm, not send:** send → "Sent · awaiting documents" (open); upload + extract + recompute + confirm → Closed. Global CF is computed on the uploaded PFS, never on the stale data — preserving the missing-data discipline.
- **Highlights persistence:** the Guarantor exception card persists through send and processing; clears only on Jordan's post-upload confirmation.
- **Reporting-timeliness framing holds through close:** until the upload, the gap is a *reporting-timeliness* matter, not a deterioration judgment. The recompute on receipt is what turns missing data into a real, supported sponsor assessment (strong → credit support; weak → a real credit factor supported by verified data).
- **Shared queue, combine option:** this PFS draft and Exception 1's Suite 200 draft are both in the Relationship Mail Queue to the same recipient; Jordan may send separately or combine into one editable email. (Each exception's request is otherwise independent — uploading one closes only that one's condition.)

CATEGORY 6 — COLLATERAL VALUATION & PROPERTY CONDITION

1 · HEADER

Collateral Valuation & Property Condition · ● PENDING RESOLUTION · Requires PM decision *Right side: Exception 3 — Appraisal Validity & LTV Stress Review*

2 · HERO LINE

Property condition is sound; the decision is whether the April 2025 appraisal still supports the position after the FY2025 income decline.

3 · SNAPSHOT CARDS (4 cards, neutral fill)

Card	Value	Sub-line
LTV — As Appraised	69%	\$17.2M Commons ÷ \$24.8M (Apr 2025) · within policy
LTV — Stressed (NOI-only)	~83%	Above 80% policy · within 85% supervisory · indicative
Property Condition	Sound	Oct 2025 inspection · no material deferred maintenance
Appraisal Currency	Apr 2025	Predates the FY2025 NOI decline → validity in question

4 · ONE VISUAL — LTV stress band (the category-level insight)

69% as-appraised 80% policy ~83% stressed (NOI-only) 85% supervisory

| — within policy — | — above — | — within supervisory — |

Caption: As appraised, the loan sits comfortably in policy. Re-run on current NOI at the appraisal's own cap rate — NOI-only — the indicative LTV is ~83%: past the 80% internal policy ceiling, still inside the 85% supervisory limit. Value pressure is real but not yet crystallized.

5 · BODY — frame and route

Collateral position: condition is sound and is not the question — **value validity** is. The April 2025 appraisal predates the 17% NOI decline, so the as-appraised 69% LTV rests on a value struck before the income fell. On current NOI, the indicative stressed LTV is ~83%. The full stress computation, the validity assessment against the appraisal guidelines, and the decision **live in Exception 3**.

What's the decision: whether to treat the appraisal as no longer reliably supporting the position, order an updated appraisal/evaluation under material-change review, and carry the indicative stressed LTV as a cautionary collateral factor pending the new value. *(The ~83% is an NOI-only stress; submarket cap-rate widening corroborates staleness but is not compounded into the number — that's a validity trigger, not an input.)*

7 · SOURCE PILL

Policy

Source	Detail
2010 Interagency Appraisal & Evaluation Guidelines (OCC Bulletin 2010-42)	A new appraisal is expected on existing credits when a material change in market or property conditions threatens collateral protection; reappraisal is part of prudent portfolio monitoring
12 CFR Part 34 Subpart D App. A — Interagency Real Estate Lending Standards	Supervisory LTV ceiling for improved CRE = 85%
Bank credit policy	Internal LTV ceiling = 80% (stricter than supervisory)
NOI-only value stress	~6.6% appraisal cap held constant on current NOI = analytical method, not a crystallized value

9 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Recomputed the facility LTV on the correct basis (Commons debt against the Commons-only appraisal), stress-tested the April 2025 value against current NOI at the appraisal's implied cap rate (NOI-only), reviewed the October 2025 inspection and the environmental file, and tested the appraisal against the material-change validity standard. *(Full workings in Exception 3.)*
- **Evidence** — April 2025 appraisal · stressed-LTV computation · October 2025 inspection · Phase I environmental (on file) · validity assessment. *(Detailed evidence opens inside Exception 3's modal.)*

10 • FOOTER (one task-named CTA)

Primary [**Assess Appraisal Validity →**] (*Appraisal Validity & LTV Stress Review*) (Single primary CTA; the appraisal and inspection drill-downs live inside Exception 3's evidence modal.)

EXCEPTION 4 — APPRAISAL VALIDITY & LTV STRESS REVIEW

ENTRY

Jordan arrives three ways: the Highlights collateral card [**Assess Appraisal Validity →**], the [**Assess Appraisal Validity →**] strip on the Collateral Valuation & Property Condition category panel, or the exception item nested under the category in the left rail.

Left rail state: ● **Collateral Valuation & Property Condition** — PENDING
RESOLUTION ^L ● **Exception 3** — Appraisal Validity & LTV Stress Review · *Awaiting Jordan's validity determination*

Presenter note: *"The third judgment is the one a manual review almost always misses. The file shows a 69% LTV — comfortably inside policy. A box-checker stops there. Jazz didn't: it asked whether that 69% rests on a value that's still good. The appraisal predates the income decline — and on today's NOI, the LTV is a very different number. This is the difference between reading the file and re-underwriting it."*

CATEGORY HEADER BAR

Exception 3 — Appraisal Validity & LTV Stress Review · ● PENDING RESOLUTION
Cedar Grove Commons (LN-2021-0447) · Collateral Valuation & Property Condition ·
Step 1 of 2

THE QUESTION (*top of workspace — decision-first*)

Does the April 2025 appraisal still reliably support the collateral position — or has the FY2025 performance decline rendered it stale, requiring an updated appraisal and a cautionary value treatment in the rating?

Jazz recommends: Treat the appraisal as no longer reliably supporting the position; order an updated appraisal/evaluation under material-change review; carry the indicative **NOI-only** stressed LTV as a cautionary collateral factor pending the new value.

Verdict strip:

Measure	Value	Basis
LTV — as appraised	69% · within policy	\$17.2M Commons ÷ \$24.8M (Apr 2025 appraisal)
Policy ceiling	80%	Bank credit policy (stricter than supervisory)
LTV — stressed (NOI-only)	⚠ ~83% · indicative	Current NOI \$1.37M ÷ ~6.6% appraisal cap held constant → ~\$20.6M
Supervisory ceiling	85%	12 CFR Part 34 — improved CRE

Read: comfortably within policy as appraised · above the 80% policy ceiling on current NOI · still inside the 85% supervisory limit. Value pressure is real but not yet crystallized.

Your DECISION

OPTION A — Appraisal no longer reliably supports the position ♦ *Jazz-suggested · main demo path*

The April 2025 value predates a 17% NOI decline — a material change under the appraisal guidelines, corroborated by ~50 bps of submarket cap-rate widening. Order an updated appraisal/evaluation under material-change review; carry the indicative NOI-only stressed LTV (~83%) as a cautionary collateral factor in the rating pending the new value. **Sets:** updated appraisal/evaluation ordered · stressed-LTV cautionary factor → rating · re-trigger on receipt.

OPTION B — Rely on the April 2025 appraisal as still valid (*available · not selected*)

Would apply only if no material change had occurred. Here the NOI decline and cap-rate movement are a textbook validity trigger, so reliance is not defensible this cycle.

[**Confirm Validity Determination**]

COMPACT VALUATION CARD (*kept visible — the "what reappraisal would establish" beat*)

Indicative, not crystallized — and NOI-only. The ~83% holds the appraisal's own ~6.6% implied cap rate constant and re-runs it on current in-place NOI (\$1.37M → ~\$20.6M → \$17.2M ÷ ~\$20.6M). It deliberately does **not** also widen the cap rate — submarket cap-rate movement (~50 bps) is treated as a *validity trigger* (a reason the appraisal is stale), not as an input to the displayed number; compounding both would overstate the stress. The updated appraisal establishes the true current value, which may confirm or relieve the pressure. The decision **tracks** the value question; it does not resolve it, and it does not classify the loan on value alone.

EVIDENCE (*collapsed behind the gate — Step 1*)

[**View Collateral Evidence**] → modal · review gate. Contents:

Doc 1 — April 2025 Appraisal

Field	Detail
As-is value	\$24,800,000 (Commons)
Implied cap rate	~6.6% on then-current NOI (\$1.646M ÷ \$24.8M)

As-appraised LTV	$\$17.2\text{M} \div \$24.8\text{M} = 69\%$
 Jazz flag	Predates the FY2025 NOI decline — validity in question

Doc 2 — Stressed-LTV Computation (NOI-only)

Step	Value
Current in-place NOI (T-12)	\$1,370,000
Appraisal cap rate (held constant)	~6.6%
Indicative stressed value	$\$1.37\text{M} \div 6.6\% = \sim\$20,600,000$
Indicative stressed LTV	$\$17.2\text{M} \div \sim\$20.6\text{M} = \sim 83\%$
Basis note	Commons debt against Commons-only value — not blended exposure. Cap-rate widening is the validity trigger, not an input here.

Doc 3 — October 2025 Inspection · good condition · no material deferred maintenance · roof/structure 12+ yr component life.

Doc 4 — Environmental · Phase I on file (origination) · no recognized environmental conditions · no update trigger.

Doc 5 — Validity Assessment · material-change test: NOI -17% (primary) corroborated by submarket cap +~50 bps → existing appraisal does not reliably support the position under the appraisal guidelines.

Property condition is sound and is not the question — value validity is. [Mark Evidence Reviewed] activates Option A/B.

SOURCE BASIS (*bottom pill* → *drawer*)

Source basis: appraisal-validity standard · SLTV limit · policy ceiling ⊕

Drawer:

Source	Detail
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2010 Interagency Appraisal & Evaluation Guidelines (OCC Bulletin 2010-42)	A new appraisal is expected on existing credits when a material change in market or property conditions threatens collateral protection; reappraisal is part of prudent portfolio monitoring
12 CFR Part 34 Subpart D App. A — Interagency Real Estate Lending Standards	Supervisory LTV ceiling for improved CRE = 85%
Bank credit policy	Internal LTV ceiling = 80% (stricter than supervisory)
NOI-only value stress	~6.6% appraisal cap held constant on current NOI = analytical method, not a crystallized value; cap-rate widening corroborates staleness but is not in the number

JAZZ LENS (*interpretation — side panel, not body*)

The 69% LTV is the trap. It's accurate — and stale. It divides today's debt by a value struck before the income fell. The condition file is clean, so a manual review ticks the box and moves on. Jazz didn't: re-run on current NOI at the appraisal's own cap rate — held constant, NOI-only — and the cushion is far thinner, about 83%, past internal policy though still inside the supervisory line. (Widen the cap rate too and it looks worse, which is exactly why that's a reason to get a fresh appraisal, not a number to publish.) That's not a reason to classify the loan; it's a reason to get a fresh value and carry the pressure into the rating until you have one. Jazz recommends confirming the appraisal is stale, ordering the update, and flagging the value — not waiving it, not over-reacting to it.

CONFIRM FLOW — on [Confirm Validity Determination] with Option A

State transitions:

- Exception 3:  Pending →  **Resolved for AR Submission — Appraisal Stale**
• **Update Ordered** (*the Jordan decision is resolved; the collateral value question is not fully cleared until the updated appraisal returns*)
- Left rail — Collateral Valuation & Property Condition:  →  **RESOLVED FOR AR SUBMISSION** (*not fully CLEARED — value question open pending the new appraisal*) • sub-line: *"Resolved by Jordan — appraisal no longer reliably supports the position • updated appraisal/evaluation ordered • indicative NOI-only stressed LTV carried as cautionary factor • re-trigger set on receipt"*

- Requires-Jordan counter decrements (one fewer remaining)
- Risk Rating Determination: **Collateral / LTV** factor populates — *as-appraised 69% · indicative stressed ~83% on current NOI · above 80% policy, within 85% supervisory · updated appraisal ordered → resolved cautionary collateral factor — update ordered* (not a routed signal)
- Post-review conditions ledger gains: **Updated appraisal / evaluation — ordered under material-change review** (owner: bank valuation team)
- Watchlist re-trigger set: *on receipt of the updated value, Jazz re-computes LTV and re-presents; if the updated appraisal indicates LTV above the 85% supervisory guideline, escalate with a briefing pack to the Credit Officer.*

Presenter note (on confirm): *"Jordan didn't waive the collateral and didn't classify on it — he recognized the value moved, ordered the proof, and carried the pressure into the rating with a tripwire if the new number comes back worse. That's the measured call the guidelines actually ask for."*

CASCADE TOUCHPOINTS *(for the build)*

- This exception is the reason the Collateral category flips **CLEARED → PENDING** (cascade §4). The two internal-architecture lines must be deleted from the panel.
 - The **LTV stress band** (69 / 80 / 83 / 85) is previewed on the Category 7 panel as the one visual; the full computation is Doc 2 here. Don't double-render.
 - The **NOI decline** is owned by Financial Performance & Coverage (Exception 1); here it appears only as the *driver of the value question*. LTV (69% / ~83%) lives here as its single home.
 - This is **Exception 3** under position-numbering — Guarantor is Exception 4. The old build's "Exception 3" referred to the guarantor; verify every "Exception 3" reference now points to Appraisal Validity (cascade §3).
-

CATEGORY 7 — INSURANCE, TAXES, FLOOD & RESERVES

1 · HEADER

Insurance, Taxes, Flood & Reserves ·  CLEARED ·

2 · HERO LINE

Insurance in force, taxes current, flood determination reviewed, reserves funded where required — property-protection controls confirmed, no exception.

3 · SNAPSHOT CARDS (4 cards, neutral fill — lightest panel)

Card	Value	Sub-line
Property Insurance	In force	Through Aug 2026 · bank named mortgagee / loss payee
Real Estate Taxes	Current	No county delinquency
Flood	Determination reviewed	Requirement satisfied; coverage at regulated amount where required
Reserves	Funded	T&I / replacement reserves funded where required under the loan documents

4 · ONE VISUAL — compliance checklist (replaces the coverage table)

✅ Property insurance in force through Aug 2026 · limits compliant · bank named mortgagee / loss payee ✅ Real estate taxes paid current — no county delinquency ✅ Flood determination reviewed — coverage requirement satisfied, if applicable ✅ Tax & insurance impounds and replacement reserves funded where required under the loan documents

5 · BODY — what Jazz verified (control-check confirmation)

Jazz verified coverage, limits, and the mortgagee / loss-payee clause against the loan agreement; confirmed tax status against county records; reviewed the flood determination and any required coverage amount; and confirmed impound / reserve balances where required under the loan documents. No control is lapsed or under-funded; no exception is created.

One cross-link (not an exception here): ⚠️ rising NNN tax pass-throughs raise tenant occupancy costs — that's **leasing context** for Property Performance & Leasing (Exception 2), **not** an NOI deduction in this category. (Flagged so the tax line isn't mis-read as a coverage or expense problem.)

7 · SOURCE PILL

Policy

Source	Detail
12 CFR Part 22 (OCC), Loans in Areas Having Special Flood Hazards	Required flood coverage = the lesser of the outstanding principal balance or the maximum NFIP coverage available; force-placement and notice obligations apply
Facility loan agreement	Insurance maintenance, mortgagee / loss-payee clause, T&I impound and replacement-reserve requirements
County tax records	Real-estate-tax payment status

9 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Verified coverage / limits / mortgagee clause against the loan agreement, tax status against county records, the flood determination and any required coverage amount under the regulation, and impound / replacement-reserve balances where required under the loan documents.
- **Evidence** — Insurance certificate / policy · loss-payee endorsement · county tax records · flood determination · escrow / reserve ledger.

10 • FOOTER

Primary [**View Insurance Certificate**] · overflow (Tax records · Flood determination · Escrow / reserve ledger)

CATEGORY 8 — MATURITY & REFINANCE RISK

1 • HEADER

Maturity & Refinance Risk ·  MONITORED · *Right side: No PM decision this cycle · next maturity 29 months out*

2 • HERO LINE

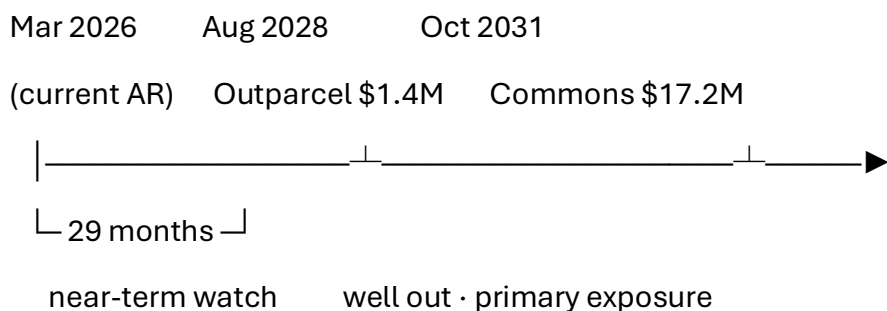
Both facilities remain inside term; the Outparcel's 2028 maturity is the forward calendar item Jazz will continue to monitor.

3 • SNAPSHOT CARDS (5 cards, neutral fill)

Card	Value	Sub-line

Commons Maturity	Oct 2031 · ~5.6 yrs out	Fixed 4.85% · no rate reset
Outparcel Maturity	Aug 2028 · ~29 months out	Fixed 5.10% · next calendar item
Refi Debt Yield (Commons, current NOI)	8.0%	Low end of market takeout convention · monitored
Rate-Reset Exposure	None	Both notes fixed through maturity
Next Trigger	12-month maturity window	Jazz elevates if maturity enters near-term review or refi support weakens

4 · ONE VISUAL — maturity timeline (*replaces a maturities table*)



Caption: The near-term maturity is the small facility (\$1.4M Outparcel); the primary exposure (\$17.2M Commons) does not mature for ~5.6 years.

5 · BODY — what Jazz watches (*monitored-category body: surveillance, not decision*)

Current posture: Neither facility matures within the 12-month Annual Review horizon, so refinance risk is **monitored, not actioned**. Jazz tracks three forward signals each cycle:

- **Takeout coverage** — the Commons refi debt yield on current NOI is **8.0%**, at the low end of the **market** takeout convention (8–10%) — a monitored signal, not a covenant or regulatory threshold and not a breach. If NOI keeps sliding, the property's ability to support a refinance at maturity thins — the same NOI variable driving Exception 1, on a longer clock.
- **The 2028 Outparcel** — small (\$1.4M) relative to the relationship and reviewed in relationship context. It's the next calendar item, not a standalone refinance concern this cycle; Jazz will surface it ~12 months ahead. (*If cross-collateral /*

cross-default language is confirmed in the loan documents, the relationship-level refinance treatment is reinforced.)

- **Rate environment at takeout** — both notes are fixed, so there's no reset shock mid-term; the refinance risk is entirely a *maturity-date* event, not a *rate-reset* event.

What would move this category to a live decision: a maturity entering the 12-month window, a refi debt yield falling below ~8%, or a material-change event (sale, sponsor request for early extension). None present this cycle.

7 • SOURCE PILL

Policy: *Hover:*

Source	Detail
OCC Bulletin 2024-29, "Commercial Lending: Refinance Risk" (Oct 3 2024)	Assess refinance risk at underwriting, during ongoing monitoring, and near maturity; reflect it in the risk rating
Takeout debt-yield range (8–10%)	Typical lender takeout sizing — market practice, not a regulatory or covenant minimum
Facility maturity dates	Commons Oct 2031 · Outparcel Aug 2028 — per the loan agreements

9 • WORKING STRIP — "Show Jazz's working ▼" (*collapsed*)

- **What Jazz did** — Pulled both maturity dates from the loan agreements, computed the Commons refinance debt yield on current in-place NOI, confirmed both notes are fixed-rate through maturity, and checked each maturity against the 12-month review horizon.
- **Evidence** — Loan agreements (maturity/rate terms) · T-12 operating statement (NOI for the debt-yield calc) · amortization schedules.

10 • FOOTER

Primary [**View Maturity Schedule**] · overflow (Loan agreements · Refinance debt-yield detail)

CATEGORY 9 — CONCENTRATION & PORTFOLIO DRIFT

1 • HEADER

Concentration & Portfolio Drift • ● MONITORED

2 • HERO LINE

No concentration exception surfaced this cycle; the reliance worth watching is internal — one grocery anchor holds ~32% of the center's space.

3 • SNAPSHOT CARDS (5 cards, neutral fill)

Card	Value	Sub-line
Single-Obligor Exposure	\$18.6M	Relationship-level • no single-obligor exception surfaced
Property Type	100% retail	Grocery-anchored • single asset class in this relationship
Geographic	Single MSA	East Columbus submarket • one trade area
Tenant Concentration	~32% GLA	Grocery anchor (22,000 of 68,000 SF) • anchor through 2031
Next Trigger	Anchor or limit event	Jazz elevates on anchor-departure signal, sub-limit breach, or a new same-borrower facility

4 • ONE VISUAL — tenant concentration bar (replaces a tenancy table)

Grocery anchor  ~32% (22,000 SF • through 2031)

Inline / small  ~47% occupied (31,720 SF)

Vacant  ~21% (14,280 SF)

Caption: The anchor is the single largest concentration inside the collateral — locked through 2031, so reliance is high but stable.

5 • BODY — what Jazz watches

Current posture: No concentration exception surfaced this cycle, so concentration is monitored, not actioned. Jazz tracks three dimensions:

- **Tenant / anchor concentration** — the grocery anchor holds ~32% of GLA and anchors the center's traffic. This is the meaningful concentration in this relationship: an anchor departure would be a material event (it also drives the co-tenancy and leasing analysis in Exception 2). Locked through 2031, so high-but-stable.

- **Single-obligor exposure** — \$18.6M at the relationship level, no single-obligor exception surfaced this cycle. (*Concentration is measured against total risk-based capital — a portfolio figure; the specific limit and headroom live in the bank's portfolio-limit system, not in this relationship view, so the panel does not display a capital-headroom number.*)
- **Property-type & geographic** — this is a single retail asset in one MSA, so within the relationship there's no diversification to assess; the portfolio-level CRE-concentration question (whether the bank's aggregate CRE is approaching the 100%/300% supervisory screens) is a portfolio analytic, not a single-relationship decision.

What would move this to a live decision: an anchor-departure or renewal-risk signal, a new facility to the same borrower pushing single-obligor headroom, or a portfolio-level sub-limit breach surfaced from the book. None present this cycle.

7 • SOURCE PILL

Policy

Source	Detail
2006 Interagency CRE Concentration Guidance (OCC Bulletin 2006-46)	100% (construction) / 300% (total CRE, with 50%/36-mo growth) of total risk-based capital are supervisory screening criteria for further analysis — not caps ; applied at the portfolio level
Bank credit policy	Single-obligor / single-relationship exposure limit (stricter than, or absent from, regulation)
Lease / rent roll	Anchor 22,000 SF of 68,000 GLA = ~32%; anchor term through 2031 — tenant-concentration fact, not a regulatory threshold

9 • WORKING STRIP — "Show Jazz's working ▼"

- **What Jazz did** — Computed tenant concentration from the rent roll (anchor SF ÷ GLA), confirmed single-obligor exposure against the policy limit, identified the relationship as single-asset / single-MSA, and checked for same-borrower facilities that would aggregate.
- **Evidence** — Rent roll (tenant SF) · relationship exposure summary · loan agreements (anchor lease term where surfaced).

10 • FOOTER

Primary [**View Concentration Detail**] · overflow (Rent roll · Relationship exposure summary)

CATEGORY 10 — RISK RATING & MANAGEMENT POSTURE

The rating recommendation workspace · DOC-READY SPEC (the crescendo)

The output category. The four resolved exception judgments assemble into a rating recommendation. **Jazz recommends — it does not auto-compute a score.** Two layers: a 4-factor rating narrative on top; the category support matrix beneath as audit trail.

Unlock: assembles when all four exception judgments are resolved — on what's known today. Upload-driven condition closure is *not* required to assemble the rating; it drives AR-package finalization (next build).

Scope: rating recommendation only. The AR-package reveal is the next build.

1 · HEADER

Risk Rating & Management Posture ·  **Unlocked** · 4 of 4 credit judgments resolved
Right side: Ready for PM Confirmation · final rating subject to Credit Officer confirmation

Visual: a 4-of-4 progress indicator (four filled dots, one per resolved exception) beside the Unlocked chip — the at-a-glance "all judgments in" signal.

2 · THE RECOMMENDATION

Prior rating	Pass
Jazz recommendation	 Special Mention — Watchlist
Status	Recommended · Ready for PM Confirmation
Final rating	Credit Officer confirmation required

Visual: a horizontal rating-migration bar — Pass → Special Mention → (Substandard greyed, not reached). The arrow lands on Special Mention; the greyed Substandard makes visible that the credit stopped short of classification.

Jazz recommends migrating **Pass → Special Mention — Watchlist** on four resolved drivers. A recommendation for Jordan to confirm and route — not an auto-assigned rating.

3 · FOUR-FACTOR MIGRATION STORY (*the headline — defensible in one breath*)

#	Driver	Resolved in	Establishes
1	DSCR / coverage breach confirmed	Exception 1	DSCR 1.15x below 1.20x floor; CCC non-reconciling; cure tracked
2	Occupancy breach — temporary-softening posture	Exception 2	79.0% below 80% floor; credible cure; enhanced monitoring set
3	Collateral value pressure — appraisal update ordered	Exception 3	Appraisal stale; indicative NOI-only stressed LTV ~83%; update ordered
4	Sponsor reporting gap — no global support credited	Exception 4	PFS overdue (18 vs 12 mo); no credit pending current financials

Four corners — income, leasing, collateral, sponsor — each moved this cycle. Together they migrate off Pass; none alone reaches Substandard.

Visual: four compact driver tiles (2×2), each with its exception number and a one-line trigger — the executive read before the matrix.

4 · THE CATEGORY SUPPORT MATRIX (*audit trail beneath the recommendation — evidence, not computation*)

9 category postures + management posture output row.

Category	Posture	Contribution
1 · Relationship & Exposure	Neutral / stable	Structure unchanged; SPE intact; borrower certification reviewed
2 · Payment & Servicing History	↑ Positive mitigant	24 months current — supports Special Mention over classification
3 · Financial Performance & Coverage	● Adverse	DSCR breach (driver 1)
4 · Property Performance & Leasing	● Adverse — curable	Occupancy breach, temporary-softening (driver 2)
6 · Sponsor & Guarantor Support	⚠ Conditional / missing data	Reporting gap, no credit pending PFS (driver 4)

7 · Collateral Valuation & Property Condition	⚠ Cautionary	Appraisal stale, update ordered (driver 3)
8 · Insurance, Taxes, Flood & Reserves	↑ Control mitigant	Protection controls current
9 · Maturity & Refinance Risk	Monitored	Both in term; Outparcel 2028 the forward item
10 · Concentration & Portfolio Drift	Monitored	Within limits; anchor reliance noted
Management Posture	● Special Mention	Heightened monitoring warranted

Visual: posture cells colour-coded (green mitigant · amber cautionary/conditional · red adverse · grey neutral/monitored) so the balance — two positives, three reds/ambers driving the migration, four neutral/monitored — reads in one glance. Matrix is read-only; postures are read from the resolved categories, not recomputed here.

(Category 5 retired — covenant compliance is an AR-package output, not a rating factor.)

5 · RATING RATIONALE (*why Special Mention — bracketed from both sides*)

Why not Pass

- DSCR 1.15x confirmed below the 1.20x floor
- Occupancy 79.0% confirmed below the 80% floor
- NOI ~\$158K below prior; post-cure retest (1.25x) still below prior
- Appraisal stale — predates the 17% NOI decline; indicative stressed LTV ~83% above the 80% policy ceiling
- Sponsor support cannot be credited without a current PFS

Why not Substandard

- Debt service current — 24 months, through the decline
- Credible cure — Suite 200 re-let; DSCR retests 1.25x, occupancy ~91.4%
- Condition sound — October 2025 inspection, no material deferred maintenance
- Supervisory LTV not breached — indicative stressed ~83% (NOI-only) within the 85% limit

- No sponsor deterioration evidenced — January 2026 SREO, no adverse items

Visual: a two-column "bracket" — Why not Pass (left, amber) vs Why not Substandard (right, green) — meeting at a centred Special Mention chip. The visual makes the rating sit between the two, which is the whole argument.

Definition: Special Mention = potential weaknesses deserving management's close attention, but without the well-defined weaknesses that warrant classification (interagency Uniform Agreement on the Classification of Assets). Numeric thresholds carry their REG/POL/LA tags in the source exceptions.

6 • POST-REVIEW CONDITIONS *(the watchlist's teeth)*

#	Condition	Source	Closes via
1	Suite 200 commencement + DSCR retest	Exception 1	Upload Docs
2	Updated appraisal / evaluation	Exception 3	Valuation team → re-trigger on receipt
3	Enhanced Monitoring Package	Exception 2	Ongoing servicing
4	Updated guarantor PFS + global-CF recompute	Exception 4	Upload Docs

AR package advances to draft-complete with the four conditions tracked. **Upload Docs can close the Suite 200 and PFS conditions when documents are received; appraisal and enhanced monitoring remain tracked through assigned workflows and do not block the rating recommendation.**

7 • FOOTER

Primary [**Confirm PM Recommendation — Special Mention**]

On confirm: recorded as the PM's rating determination, routed to the Credit Officer, workspace advances to the AR package reveal (next build). The four conditions carry forward.

CONFIRM FLOW

State transitions:

- Risk Rating: ● Unlocked → ✓ **PM Recommendation Confirmed — Special Mention (Watchlist) · Pending Credit Officer Confirmation**
 - Credit Officer confirmation pathway opens (final rating is the Credit Officer's, not auto-assigned)
 - AR package → **draft-complete**, four post-review conditions tracked. Upload Docs may close the Suite 200 and PFS conditions if borrower documents are received; appraisal and enhanced monitoring remain tracked through assigned workflows. The package can proceed to Credit Officer review with condition status visible.
 - Workspace advances to the AR package reveal
-

AR PACKAGE REVEAL — WORKSPACE SPEC

AR PACKAGE REVEAL — WORKSPACE SPEC

The demo's closing beat · built from AR Package Architecture v1

"The Annual Review package assembled itself while Jordan worked the exceptions."

What this is: the screen Jordan lands on after confirming the rating recommendation (Category 11). It reveals the Annual Review package as **already drafted** — every section populated from a judgment he just made, every exhibit traced to a source document. Built from PM_AR_Package_Architecture_v1.md (the locked source of truth) — this is the workspace spec: states, transitions, drill-down behavior, visual recommendations, and the send / upload-close lifecycle. **The payoff:** the rating isn't the end of hours of memo-writing — it's the start of a one-click handoff. **The four grounding disciplines are inherited from the architecture** (no fixed template / standard-not-required exhibits · 80% POL vs 85% REG · authority-vs-practice · anchor-as-mitigant-not-cure) — enforced, not restated.

ENTRY

Jordan arrives from the Category 11 confirm flow: on [**Confirm PM Recommendation — Special Mention**], the workspace advances here. (No separate left-rail entry — this is the terminal screen of the review arc.)

Transition in: a brief assembling beat — the package sections populating from the resolved work — landing on the dashboard. (*Build: a short staged reveal, sections filling*

in order; not a loading spinner. The point is "this was assembled from your work," shown, not narrated.)

THE OPENING — DASHBOARD, NOT A MEMO

The screen opens as a **one-screen AR Package dashboard**: cover grid + rating + status + the assembled signal. The full bank-practice AR package exists *behind* this — the dashboard surfaces the summary and lets a reviewer drill into each exhibit pack.

Dashboard header

Annual Review Package · Cedar Grove Retail Holdings LLC ● **Draft Complete** · 4 of 4 credit judgments resolved · available documents and exhibits attached · open conditions tracked

Visual: a completion strip — the ten package sections as a row of filled indicators (all populated), with the "Draft Complete" state prominent. The signal: nothing here is empty; the package is written.

THE TEN SECTIONS (*dashboard cards* → *drill-down packs*)

Each section renders as a **summary card on the dashboard** (the headline + key figures + status) that **expands to its exhibit pack** on drill-down. Cards in the architecture's order.

§1 · Package Cover Grid (*the at-a-glance credit box*)

Card: borrower · guarantor · facilities (\$17.2M + \$1.4M = \$18.6M) · property · **Pass** → ● **Special Mention** (migration arrow) · key ratios (DSCR 1.15x · Occupancy 79.0% · LTV 69% as-appraised, ~83% stressed NOI-only) · Draft Complete · 4 conditions.

Visual: the at-a-glance box, trend arrows on each ratio vs. prior AR. (*Refi debt yield 8.0% is NOT here — it's a Cat 9 maturity-context metric.*)

§2 · Rating Recommendation (*the decision + rationale*)

Card: Prior Pass → recommended Special Mention — Watchlist → Recommended · pending Credit Officer confirmation. **Drill-down:** the why-not-Pass / why-not-Substandard bracket.

Visual: the rating-migration bar (Pass → Special Mention → greyed Substandard) + the two-column bracket meeting at the Special Mention chip. (*Jazz recommends — not auto-computed.*)

§3 · Four-Driver Summary (*the spine*)

Card: the four resolved drivers, one line each — DSCR (Exc 1) · occupancy (Exc 2) · collateral (Exc 3) · sponsor-reporting (Exc 4).

Visual: four driver tiles (2×2), each with exception number + trigger + resolved status.

§4 · Covenant Compliance Scorecard (*the Cat 5-retired output, assembled here*)

Card: the grouped scorecard summary — 2 financial-covenant breaches (routed), key reporting received with the PFS outstanding, affirmative/negative covenants confirmed.

Drill-down: the full grouped grid (financial / reporting / aff-neg).

Visual: the grouped scorecard, breach lines colour-flagged and routed. (*LTV is NOT on this grid — review item, not covenant. Negative-covenant language softened. This is the AR-package home of the scorecard; no category renders it.*)

§5 · Financial Exhibit Pack (*NOI/DSCR + coverage*)

Card: NOI \$1.646M→\$1.370M (−17%) · DSCR 1.39x→1.15x · cure retest 1.25x. **Drill-down:** the operating-statement spread · the CCC reconciliation (1.25x non-reconciling, \$117.6K driver) · the NOI split (~18%/~82%, with the \$48.5K≠\$117.6K guard).

Visual: multi-year NOI/DSCR trend on the card; full spread + reconciliation as the exhibit. (*DSCR floor = LA; debt yield, where referenced, = MKT.*)

§6 · Leasing Exhibit Pack (*rent roll + rollover + posture*)

Card: occupancy 94.0%→79.0%→~91.4% cure · rollover 34% GLA/24mo · posture: temporary softening. **Drill-down:** the rent roll · the occupancy bridge · the rollover stack · the two-readings posture · the submarket extract (folds in Market). **Visual:** the lease rollover "stack" (expirations by year, anchor vs. inline) + the occupancy bridge. (*Anchor = mitigant, not cure; cure is Suite 200 + recovery + monitoring. Carried-vs-net-new guard preserved. Occupancy floor = LA.*)

§7 · Collateral Exhibit Pack (*valuation / LTV + condition*)

Card: appraisal April 2025 \$24.8M · 69% as-appraised · ~83% stressed (NOI-only) · update ordered · condition sound. **Drill-down:** the LTV stress band · appraisal-age timeline · the valuation computation · inspection/environmental. **Visual:** the LTV stress band (69% → 80% POL → ~83% NOI-only → 85% REG, four-point bar) + appraisal-age timeline. (*80% POL, 85% REG; ~83% NOI-only/indicative; cap-rate widening is a validity trigger, NOT compounded — no ~89/90% story; escalation tripwire if updated appraisal indicates LTV above 85% supervisory guideline → Credit Officer briefing pack.*)

§8 · Sponsor Exhibit Pack (*guarantor global cash flow*)

Card: PFS 18mo vs 12mo (overdue) · SREO Jan 2026 no adverse items · global CF pending receipt · no support credited. **Drill-down:** the reporting-gap timeline · the request status (sent · awaiting documents) · the SREO · the global-CF placeholder

(pending) → renders the computed schedule on upload. **Visual:** the reporting-gap timeline + global-CF "pending receipt" placeholder. (*Reporting-timeliness, NOT deterioration; 12-mo PFS = LA/POL; global CF computed on uploaded receipt only — never on stale data; recourse not asserted.*)

§9 • Conditions & Ticklers (the tracked roll-forward object)

Card: 4 open conditions, status chips. **Drill-down:** the conditions table — type · owner · due date · close path · status. **Visual:** the conditions table with status chips + close-path icons; the two Upload-Docs conditions show the send→upload→close lifecycle state. (*Closes on upload + confirm, not on send. Mixed close-paths honest: only Suite 200 + PFS via Upload Docs; appraisal via valuation team; monitoring ongoing.*)

§10 • Source / Audit Trail (traceability — examiner-defensible)

Card: "Every figure traces to its exhibit and source document." **Drill-down:** per-section source basis with REG/POL/LA/MKT tags · underlying documents · uploaded-doc status · regulatory anchors cited where they ground an expectation. **Visual:** a collapsible source/audit index per section — tag · source · document · status. (*Authority-vs-practice hierarchy visible: regulatory anchors marked REG; practitioner conventions not dressed as regulation. Standard/examiner-defensible exhibits — never "required."*)

THE YEAR-OVER-YEAR ROLL-FORWARD (visible beat — "this becomes next year's baseline")

A distinct strip below the sections — not buried.

Shows:

- **March 2026 AR → March 2027 baseline:** current NOI/DSCR/occupancy/LTV/rating become next cycle's prior-period columns.
- **Carries forward:** the four open conditions (as ticklers) · watchlist status · the Special Mention rating.
- **Re-tested next cycle:** updated financials · rent roll · recalculated DSCR · refreshed valuation/LTV (the ordered appraisal lands here) · covenant tests · guarantor global cash flow (the uploaded PFS lands here).
- **Frequency shift:** Pass-annual → **Watchlist-quarterly** until conditions cure and the rating can be reconsidered (upgrade requires sustained performance, not just a plan).
- **Off-cycle triggers:** further covenant breach · anchor/tenant loss · materially lower updated appraisal · guarantor deterioration.

Visual: a roll-forward strip — "March 2026 AR → March 2027 baseline" with carry-forward items flowing into next cycle; the frequency badge changing annual → quarterly. (*Grounding: annual review with more-frequent review for watchlist credits — OCC Rating Credit Risk, 2020 guidance; upgrade-requires-seasoning.*)

THE CLOSING BEAT (*the payoff*)

Annual Review Package: Draft Complete Rating recommendation confirmed by PM · pending Credit Officer confirmation Available documents and exhibits attached · open conditions tracked

[**Open AR Package**] · [**Send to Credit Officer**] (*disabled until reviewed*)

*Initial state: [**Send to Credit Officer**] is greyed/disabled. Jordan cannot forward a review he has not read. The action enables only after he opens the package, reviews it, and attests — a real review-attestation gate, not a UI nicety.*

The payoff line (shown, not over-narrated): *the package assembled itself while Jordan worked the exceptions. Every section populated from a judgment he already made; every exhibit traces to a source document. The rating, the rationale, the covenant scorecard, the conditions — all written. His job now is to read it and stand behind it — then send.*

THE TWO ACTIONS — REVIEW-ATTESTATION GATE → SEND

The two actions are **sequential and gated**: Jordan must open and review the package before he can send it. [**Send to Credit Officer**] is **disabled until the review attestation is complete**.

Step 1 · [**Open AR Package**] (*always enabled*)

Opens the full assembled package (the bank-practice AR package behind the dashboard) — the complete document with all exhibits, for Jordan to read in detail. (*This is the "it's already written" proof — the full package exists, populated, ready to review.*) Jordan reviews each section; the package supports drill-down to every exhibit and source document.

ANNUAL REVIEW PACKAGE

Cedar Grove Retail Holdings LLC · Grocery-Anchored Retail Center

Review cycle: March 2026 · Prepared for Credit Officer confirmation

This is the full assembled AR package — the document behind [**Open AR Package**] that Jordan reads in detail before attesting and sending to the Credit Officer. It is the

bank-practice Annual Review memo with its supporting exhibits, assembled from the resolved exception work. Every figure traces to a source document; every threshold carries its basis (REG = regulatory · POL = bank policy · LA = loan agreement · MKT = market convention).

Structure follows standard CRE Annual Review practice (cover/summary → executive summary & recommendation → risk rating & rationale → relationship → property → financial performance → leasing → collateral/valuation → guarantor/global → covenant & reporting compliance → market → conditions/exceptions → roll-forward). This is bank-practice structure, not a prescribed regulatory template; supervisors expect the analysis to be evidenced, and this package evidences it.

1 · CREDIT SUMMARY (cover grid)

Borrower	Cedar Grove Retail Holdings LLC (single-purpose entity)
Guarantor	Marcus Webb (guaranty on file)
Relationship since	2019 · loans originated 2021
Property	Grocery-anchored retail center · 68,000 SF GLA
Facility 1	Cedar Grove Commons · LN-2021-0447 · \$17.2M · fixed 4.85% · matures Oct 2031
Facility 2	Cedar Grove Outparcel Note · LN-2021-0892 · \$1.4M · fixed 5.10% · matures Aug 2028
Total exposure	\$18.6M
Prior risk rating	Pass (prior Annual Review, March 2025)
Recommended rating	 Special Mention — Watchlist · pending Credit Officer confirmation
DSCR	1.15x (bank-side) vs 1.20x covenant floor (LA) · prior 1.39x
Occupancy	79.0% vs 80% covenant floor (LA) · prior 94.0%
LTV	69% as-appraised · ~83% stressed (NOI-only, indicative) · 80% policy (POL) / 85% supervisory (REG)
Open conditions	4 (tracked — see §12)
Package status	Draft Complete · pending PM review attestation → Credit Officer

2 · EXECUTIVE SUMMARY & RECOMMENDATION

Recommendation: Migrate the credit from **Pass** to **Special Mention — Watchlist**, pending Credit Officer confirmation. Maintain both facilities under enhanced monitoring; order an updated appraisal; track four post-review conditions to closure.

The relationship has weakened across four dimensions this cycle, none individually severe enough to warrant adverse classification, but together sufficient to move the credit off Pass:

- **Coverage:** bank-side DSCR is **1.15x**, below the **1.20x** covenant floor (prior 1.39x). The borrower's compliance certificate shows 1.25x, but that figure counts Suite 200 rent not yet in payment; on income currently in payment, the covenant result is a breach. A cure path exists — the Suite 200 lease is executed with May 2026 commencement.
- **Leasing:** physical occupancy is **79.0%**, below the **80%** covenant floor (prior 94.0%). The decline is concentrated in one suite already re-let; the residual softening is read as **temporary**, supported by an anchor locked through 2031 and a stable submarket — with enhanced monitoring to confirm recovery.
- **Collateral:** the **April 2025 appraisal predates the FY2025 income decline**. On current NOI the indicative stressed LTV is **~83%** (NOI-only) — above the 80% policy ceiling, within the 85% supervisory limit. An updated appraisal has been ordered under material-change review.
- **Sponsor:** the guarantor's personal financial statement is **18 months old** against a 12-month reporting requirement. No global cash flow is credited pending an update; the request is outstanding. The January 2026 SREO surfaced no adverse items — this is a reporting-timeliness gap, not evidenced deterioration.

Debt service is current (24 months), property condition is sound, the supervisory LTV is not breached, and no sponsor deterioration is evidenced — which is why the recommendation is Special Mention, not Substandard.

3 · RISK RATING & RATIONALE

Prior: Pass → Recommended: Special Mention — Watchlist (*pending Credit Officer confirmation*)

Special Mention fits the credit precisely under the interagency Uniform Agreement on the Classification of Assets: **potential weaknesses that deserve management's close attention and, if left uncorrected, may result in deterioration of repayment prospects** — but without the well-defined weaknesses that would jeopardize liquidation (which would be Substandard).

Why not Pass

- DSCR 1.15x confirmed below the 1.20x covenant floor (LA)
- Occupancy 79.0% confirmed below the 80% covenant floor (LA)
- NOI ~\$158K below the prior review; even the post-cure retest (1.25x) remains below prior performance
- Appraisal stale against the 17% NOI decline; indicative stressed LTV (~83%, NOI-only) above the 80% policy ceiling (POL)
- Sponsor support cannot be credited without a current PFS

Why not Substandard

- Debt service current — 24 months, straight through the income decline
- Credible cure — Suite 200 re-let; DSCR retests to 1.25x and occupancy to ~91.4% on commencement
- Property condition sound — October 2025 inspection, no material deferred maintenance
- Supervisory LTV not breached — indicative stressed LTV (~83%, NOI-only) within the 85% supervisory limit (REG)
- No sponsor deterioration evidenced — January 2026 SREO, no adverse items surfaced

Trend: downgrade (Pass → Special Mention). **Posture:** heightened monitoring; quarterly review until conditions cure. **Confirmation:** the final rating is the Credit Officer's determination (independent confirmation); this package presents the PM's recommendation and supporting analysis.

Per the 2023 Interagency CRE Workout Policy Statement, a collateral-value decline alone does not compel adverse classification where repayment capacity is adequate; the Special Mention recommendation reflects the covenant and reporting weaknesses, not the value pressure in isolation.

4 • BORROWER & RELATIONSHIP

The borrower, **Cedar Grove Retail Holdings LLC**, is a single-purpose entity holding the grocery-anchored center; the bank relationship dates to 2019, with both facilities originated in 2021. Total exposure is **\$18.6M** across the two facilities, **unchanged** from the prior Annual Review. The guaranty of **Marcus Webb** is on file.

The relationship is reviewed on a relationship-level basis. Cross-collateral, cross-default, and recourse provisions should be verified in the loan documents where any action depends on them. **Affirmative / negative covenant status reviewed:** no unpermitted additional indebtedness, liens, ownership transfer, or SPE / separateness exception identified in the current review file. No structural exception is identified: same borrower, guaranty on file, both facilities current, exposure unchanged.

5 • PROPERTY & COLLATERAL DESCRIPTION

The collateral is a **grocery-anchored retail center, 68,000 SF GLA**, in the East Columbus submarket (Columbus, OH). The grocery anchor occupies **22,000 SF (32.4% of GLA)** on a lease running **through 2031**, providing necessity-traffic foundation. Inline and small-shop tenancy comprises the balance.

Property condition is sound — the October 2025 inspection identified no material deferred maintenance; roof and structural components carry adequate remaining life. The environmental Phase I from origination is on file with no recognized environmental conditions and no update trigger this cycle.

Property condition is not the concern this cycle — collateral **value validity** is (see §8).

6 • FINANCIAL PERFORMANCE & CASH FLOW

EXHIBIT 6A — Operating statement spread (T-12 vs prior AR)

Line	Current T-12	Prior AR	Change
Effective Gross Income	\$2,510,000	\$2,786,000	↓ \$276,000
Total Operating Expenses	\$1,140,000	\$1,140,000	\$0
Net Operating Income	\$1,370,000	\$1,646,000	↓ \$276,000 (–17%)
Annual Debt Service	\$1,188,000	\$1,188,000	\$0 (fixed 4.85%, no reset)
Bank-side DSCR	1.15x	1.39x	–0.24x

DSCR covenant floor: **1.20x** (LA). The bank-side result (1.15x) is a breach.

EXHIBIT 6B — Borrower compliance certificate reconciliation

Field	Detail
Borrower-certified DSCR	1.25x
Gap vs bank-side	0.10x

Sole driver	\$117,600 annualized Suite 200 rent — executed lease, rent not yet in payment
Covenant test (LA)	NOI counts income currently in payment at the Calculation Date; executed-but-not-commenced rent excluded until in payment
Lease authorization	Bank consent acknowledged before execution — on file; no separate consent exception
Conclusion	Borrower certificate is non-reconciling under the income-in-payment definition; recorded in the AR covenant compliance scorecard

EXHIBIT 6C — NOI decline drivers

Driver	Impact	Share
Suite 200 partial-year vacancy (in payment 5 of 12 trailing months)	~ -\$48,500	~18%
Broader leasing softening (small-shop vacancy · lost recoveries · lower renewal rents)	~ -\$227,500	~82%
Total NOI decline	-\$276,000	100%

Note: Suite 200's ~\$48,500 is its prior-rent loss (~18% of the decline). The \$117,600 in Exhibit 6B is the borrower's forward-rent inclusion — a different figure. They are distinct.

EXHIBIT 6D — Cure path

The Suite 200 lease (8,400 SF · \$14.00/SF · \$117,600/yr) commences **May 1, 2026**. Post-commencement, DSCR retests to **1.25x** — above the 1.20x floor with **~\$62K of NOI headroom**. The cure does **not** restore prior performance: NOI remains **~\$158K below** the prior review. *Treatment this cycle: cure tracked, no normalization applied.* DSCR retest after commencement, timing per servicing workflow.

Takeout context: the Commons refinance debt yield on current NOI is 8.0% (NOI \$1.37M ÷ \$17.2M), at the low end of the 8–10% market takeout convention (MKT) — a forward refinance signal monitored under maturity/refinance risk, not a covenant or a current breach.

7 · LEASING — RENT ROLL, OCCUPANCY & ROLLOVER

EXHIBIT 7A — Occupancy position (suite-by-suite summary)

Component	SF	% of GLA
-----------	----	----------

Grocery anchor — through 2031	22,000	32.4% · occupied
Inline / small-shop — occupied	31,720	46.6% · occupied
Occupied GLA	53,720	79.0%
Suite 200 — dark	8,400	12.4% · vacant
Other small-shop vacancy	5,880	8.6% · vacant
Vacant GLA	14,280	21.0%
Total GLA	68,000	100%

Occupancy covenant floor: **80%** (LA). Current 79.0% is a breach; prior 94.0%.

EXHIBIT 7B — Occupancy trajectory (prior AR → current → cure)

Movement	SF	Occupancy effect
Vacant at prior Annual Review	4,080	94.0% occupied
Suite 200 departure	+8,400	–12.4 pts
Net additional small-shop vacancy	+1,800	–2.6 pts
Vacant today	14,280	79.0% · –15.0 pts
Post-Suite 200 commencement (cure)	–8,400	~91.4% (62,120 SF occupied)

Note: total small-shop vacancy is 5,880 SF, of which 4,080 was carried from the prior review and only 1,800 is net-new. The –2.6 pt figure is the net-new piece, not the full 5,880.

EXHIBIT 7C — Lease rollover (24-month window)

Item	Detail
Rollover — next 24 months	34% of GLA (23,120 SF) · elevated · not itself a covenant event
Composition	Concentrated in inline / small-shop; anchor not in the window (through 2031)
WALT (non-rolling leases)	5.2 years · anchor-supported

Leasing assessment — posture

The occupancy weakness is read as **temporary softening**, not structural decline: Suite 200 is re-let with near-term commencement; the submarket is soft but stable with limited new competitive supply; the **anchor is locked through 2031** (a supporting

mitigant); and the net-new small-shop loss is modest (~1,800 SF / ~2.6 pts). The **cure** is Suite 200 commencement plus occupancy recovery, confirmed through the Enhanced Monitoring Package — not the anchor itself. Enhanced monitoring (monthly rent roll, operating statement, DSCR/occupancy recovery tracking) runs until covenant cure; if rollover renewals come back negative or small-shop vacancy spreads, the posture re-opens to a structural-decline read.

8 • COLLATERAL VALUATION & LTV

EXHIBIT 8A — Valuation summary

Field	Detail
Appraisal date / value	April 2025 · \$24,800,000 (Commons)
Implied cap rate	~6.6% on then-current NOI (\$1.646M ÷ \$24.8M)
As-appraised LTV	\$17.2M ÷ \$24.8M = 69%
Status	Stale — predates the FY2025 NOI decline; updated appraisal ordered

EXHIBIT 8B — Indicative stressed LTV (NOI-only)

Step	Value
Current in-place NOI (T-12)	\$1,370,000
Appraisal cap rate (held constant)	~6.6%
Indicative stressed value	~\$20,600,000
Indicative stressed LTV	~83%

Basis: Commons debt against the Commons-only appraisal. This is an **NOI-only, indicative** stress — it holds the appraisal's own cap rate constant on current NOI. Submarket cap-rate widening (~50 bps) **corroborates the staleness** but is **not compounded** into the displayed figure; it is a validity trigger, not an input.

LTV against limits

Reference	Value	Basis
As-appraised LTV	69%	within policy
Policy ceiling	80%	POL (bank policy)
Indicative stressed LTV	~83%	NOI-only, indicative

Supervisory ceiling	85%	REG (12 CFR Part 34 — improved CRE)
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Valuation assessment

The April 2025 value rests on income that has since fallen 17%. On current NOI the indicative stressed LTV is ~83% — above the 80% policy ceiling, within the 85% supervisory limit. This is value **pressure**, not a crystallized value, and not a basis for classification on its own (consistent with the 2023 CRE Workout Policy Statement). An **updated appraisal / evaluation has been ordered under material-change review** (2010 Interagency Appraisal Guidelines; the FY2025 decline is a material-change trigger). **Escalation tripwire:** if the updated appraisal indicates LTV above the 85% supervisory guideline, escalate with a briefing pack to the Credit Officer.

9 • GUARANTOR & GLOBAL CASH FLOW

EXHIBIT 9A — Guarantor reporting status

Field	Detail
Guarantor	Marcus Webb
PFS on file	~18 months old
Reporting requirement	Updated PFS within 12 months (LA/POL)
Status	6 months overdue
Request	Drafted and sent · 18 days outstanding · 3 attempts · awaiting documents
SREO (January 2026)	6 properties reviewed · no adverse items surfaced

EXHIBIT 9B — Global cash flow

Field	Detail
Global cash flow	Pending — computed on receipt of the updated PFS
Sponsor support credited this cycle	None
Basis	A global cash flow figure is not shown because it cannot be computed from current, verified data. The property-level coverage

	stands on its own (property-only DSCR is the operative coverage in §6).
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Sponsor assessment

This is a **reporting-timeliness gap, not evidenced deterioration**. On what is currently known — the January 2026 SREO across six properties — nothing indicates the sponsor's position has weakened. The conservative treatment is to credit **no global support** until a current, verified PFS is in hand. The updated PFS is tracked as a post-review condition; on receipt, the global cash flow (including contingent liabilities, per the 2023 Workout Policy Statement) is recomputed for Credit Officer review. Recourse nature is to be verified in the loan documents where any action depends on it.

10 • COVENANT & REPORTING COMPLIANCE SCORECARD

Financial covenants (maintenance)

Covenant	Requirement	Tested	Status
DSCR	≥ 1.20x (LA)	1.15x	● Breach — cure tracked (§6)
Occupancy	≥ 80% (LA)	79.0%	● Breach — temporary-softening posture (§7)

Reporting deliverables

Deliverable	Required	Status
Operating statements	Annual	● Received
Rent roll	Periodic	● Received
Borrower compliance certificate	Per period	● Received · non-reconciling (§6)
SREO	Annual	● Received (Jan 2026)
Insurance evidence	Annual	● Received
Tax payment evidence	Annual	● Received
Guarantor PFS	Within 12 months	● Outstanding (§9)

Key reporting received; the outstanding item is the updated guarantor PFS.

Affirmative / negative covenants

Covenant	Status
Permitted indebtedness	● No unpermitted indebtedness identified in the current review file
Transfer / change of control	● None identified — borrower unchanged
Additional liens	● None identified — verify in security instruments where action depends
Major-lease consent	● Suite 200 consent acknowledged before execution
SPE / separateness	● No separateness exception identified
Property maintenance	● Inspection sound — Oct 2025
Insurance maintenance	● In force

Covenant status: two financial-covenant breaches under resolution; updated guarantor PFS outstanding; listed reporting deliverables otherwise received; no additional affirmative/negative covenant exception identified in the current review file. *(LTV / appraisal validity is a review item, not a covenant — handled in §8, not on this scorecard.)*

11 • MARKET & SUBMARKET

The submarket is **soft but stable**: vacancy in the ~7–8% range, limited new competitive supply, and demand anchored by the grocery tenant's necessity traffic. The subject's vacancy (~21%) is **property-specific, not cyclical** — the gap between the subject and the submarket indicates the weakness is in this asset's leasing, not a market-wide downturn. Cap-rate evidence shows ~50 bps of widening since the April 2025 appraisal, corroborating the valuation staleness (§8). Grocery-anchored centers in this submarket typically carry lower rollover risk and benefit from a long-term anchor — supporting the temporary-softening read while the inline space re-leases.

12 • CONDITIONS, EXCEPTIONS & ACTION ITEMS

#	Condition / exception	Type	Owner	Close path	Status
1	Suite 200 commencement confirmation + DSCR retest	Policy / cure milestone	PM / servicing	Upload Docs (borrower response)	Open · request sent

2	Updated appraisal / evaluation (material-change review)	Document / valuation	Valuation team	Re-trigger on receipt	Open · ordered
3	Enhanced Monitoring Package (monthly rent roll, operating statement, DSCR/occupancy tracking until cure)	Servicing	PM / servicing	Ongoing servicing	Open · active
4	Updated guarantor PFS + global-CF recompute	Document exception	PM / servicing	Upload Docs (borrower response)	Open · request sent

Exception types: items 1 and 4 are tracked through the borrower response document upload path; item 2 closes through the valuation team on receipt of the updated appraisal; item 3 is ongoing servicing. Open conditions carry forward as ticklers (\$13) with owner and status. No policy waivers granted this cycle.

13 · ROLL-FORWARD TO NEXT CYCLE

This review becomes the **baseline for the next Annual Review:**

- **Carries forward:** the four open conditions (as ticklers), the watchlist status, and the Special Mention rating.
 - **Re-tested next cycle:** updated financials and rent roll; recalculated DSCR and debt yield; refreshed valuation/LTV (the ordered appraisal lands here); covenant tests; and guarantor global cash flow (the uploaded PFS lands here).
 - **Prior-period comparison:** current NOI / DSCR / occupancy / LTV / rating become next cycle's prior-period columns.
 - **Frequency:** as a Special Mention / watchlist credit, the relationship moves to **quarterly review** until the conditions cure and the rating can be reconsidered. An upgrade requires sustained performance, not merely a cure plan.
 - **Off-cycle triggers:** a further covenant breach, an anchor or significant tenant loss, a materially lower updated appraisal, or guarantor deterioration triggers an off-cycle review before the next annual.
-

PM REVIEW ATTESTATION

☐ I have reviewed this Annual Review package and confirm the rating recommendation, rationale, covenant status, and post-review conditions.

Reviewed by: _____ · Date: _____

On attestation, this package is cleared to route to the Credit Officer for independent confirmation of the final rating. The attestation is recorded with the package (who · when) as the audit trail of the PM review. The PM attestation confirms review and the recommendation — it does not assign the final rating, which is the Credit Officer's determination.

SOURCE & AUDIT TRAIL

Section	Headline figures	Source documents	Basis / anchor
§1 Summary	Exposure, rating, ratios	Loan system, prior AR	—
§3 Rating	Pass → Special Mention	The four resolved exceptions	Uniform Agreement on Classification of Assets (REG)
§6 Financial	NOI, DSCR, CCC, cure	T-12, compliance certificate, executed lease	DSCR covenant + income-in-payment definition (LA); OCC CRE methodology (REG)
§7 Leasing	Occupancy, rollover	Rent roll, executed lease, rollover schedule	Occupancy covenant (LA); OCC leasing methodology (REG)
§8 Collateral	69% / ~83% LTV	April 2025 appraisal, inspection, Phase I	2010 Appraisal Guidelines (REG); 12 CFR Part 34 SLTV 85% (REG); 80% policy (POL); 2023 Workout Statement (REG)
§9 Sponsor	PFS gap, SREO, global CF	Guarantor PFS, SREO, request log	Reporting covenant (LA/POL); 2023 Workout Statement global-CF expectation (REG)
§10 Covenant	Compliance scorecard	Loan agreement covenant schedule, certifications	Covenant adherence expectation (2020 Credit Risk Review guidance, REG)

§12 Conditions	4 open items	The four exceptions	Exception tracking expectation (OCC LPM; FDIC RMS)
§13 Roll- forward	Quarterly review, carry- forward	This package	Annual review + more-frequent for watchlist (OCC; 2020 guidance)

Standard / examiner-defensible exhibits — bank-practice structure operationalizing supervisory expectations; not a prescribed regulatory template. Every headline figure traces to a source document.

BUILD NOTES (not part of the package the user sees)

- **This is the assembled package behind [Open AR Package]** — the document Jordan reads in detail and attests to. It is the deliverable, written out, not a spec describing it.
- **All figures trace to the locked Cedar Grove ledger and the four locked exceptions** — no new facts introduced. Debt yield 8.0% appears only in §6 as the Cat 9 maturity-context metric (MKT), never as a top-line ratio.
- **Disciplines enforced:** 80% POL / 85% REG; ~83% NOI-only/indicative (no cap-rate compounding, no ~89/90 story); anchor = mitigant not cure (cure = Suite 200 + recovery + monitoring); reporting-timeliness not deterioration; LTV is a review item not a covenant (off the scorecard); resolved-for-AR language; "no adverse items surfaced" for SREO; Credit Officer capitalized; covenant thresholds = LA/POL never regulatory; the global CF computed on receipt only; conditions close through the borrower response document upload path.
- **The PM attestation** is the gate from the reveal spec — present here at the end of the package so Jordan attests after reading. It does not assign the rating (independence preserved).
- **Pending exhibits noted as pending** (global CF §9B; the updated appraisal §8) — they render when documents arrive; the package is honest that they are open, not fabricated.
- **DECISION 1 placeholder:** "grocery anchor" / "grocery-anchored" remains pending the anchor naming lock. Sweep title, cover grid, executive summary, property, leasing, market, and all related category/exception files together when resolved.

Step 2 • Review attestation (the gate — inside / on return from the package)

After reviewing, Jordan attests with a checkmark:

☐ **I have reviewed the Annual Review package and confirm the rating recommendation, rationale, covenant compliance, and conditions.**

- Until this is checked, **[Send to Credit Officer] stays disabled (greyed)**.
- The attestation is the PM standing behind the review — the human accountability step before the credit leaves his desk.
- On check: the attestation is recorded (who · when), and **[Send to Credit Officer] enables**.

(Build: the checkmark can live at the end of the opened package or on the dashboard after the package has been opened at least once. The rule is the same — Send does not enable until Jordan has opened the package AND checked the attestation.)

Step 3 · [Send to Credit Officer] (enabled only after Step 2)

Routes the package for Credit Officer confirmation — the independent-confirmation step (the final rating is the Credit Officer's, not auto-assigned; per the 2020 Credit Risk Review independence principle).

Gate states:

State	[Open AR Package]	Review attestation	[Send to Credit Officer]
On arrival	☒ Enabled	☐ Unchecked	☐ Disabled (greyed)
Package opened, not yet attested	☒ Enabled	☐ Unchecked	☐ Disabled (greyed)
Attestation checked	☒ Enabled	☒ Checked (recorded)	☒ Enabled

State transitions on Send to Credit Officer:

- AR package: **Draft Complete → Sent · Pending Credit Officer Confirmation**
- The PM review attestation is recorded with the package (who · when) — the audit trail of the human review before handoff.
- The four conditions carry as tracked items; their status remains visible to the Credit Officer.
- Upload-driven closures (Suite 200, PFS) continue independently — they update condition status and exhibits but do not block the Credit Officer handoff

(consistent with Category 11: the rating recommendation is complete on the four resolved judgments).

HOW UPLOAD-DRIVEN CLOSURES SHOW HERE (*the live thread, not a blocker*)

The two Upload-Docs conditions (Suite 200 commencement, guarantor PFS) close through the Relationship Mail Queue lifecycle defined in Exceptions 1 and 4. In the AR package:

- **Before upload:** §9 shows them Open · request sent; §5 shows the DSCR retest pending; §8 shows global CF pending receipt.
- **On upload + Jordan's confirmation:** §9 flips the relevant condition to Closed; §5 renders the DSCR retest (1.25x); §8 renders the computed global-CF schedule. These updates change condition status and exhibits only — they do not gate the rating recommendation, AR draft-complete status, or Credit Officer handoff. The package goes to the Credit Officer as Draft Complete with conditions visible; the pending exhibits render as documents arrive.

Visual: the §9 / §5 / §8 cards carry a live status that updates on upload — the demo can show condition status and exhibits updating as documents come in, after the handoff. (*Upload Docs flow only: closures run through the borrower response document upload path defined in Exceptions 1 and 4.*)

BUILD NOTES

- **Built from the architecture (source of truth):** PM_AR_Package_Architecture_v1.md. Sections, feeders, and grounding come from there; this spec adds the screen behavior (states, drill-down, lifecycle, visuals).
- **Dashboard-then-drill-down, NOT a memo dump:** the screen opens as a one-screen dashboard (cover grid + rating + status + assembled signal); each section is a summary card expanding to its exhibit pack. The full bank-practice AR package exists behind it (opened via [Open AR Package]).
- **The reveal is the proof, not a claim:** the staged assembling beat and the populated sections SHOW the package was assembled from Jordan's work. Avoid over-narrating it in product copy (CC-2) — the populated package is the message.

- **The four grounding disciplines inherited and enforced** per section: standard-not-required exhibits · 80% POL/85% REG · authority-vs-practice · anchor-as-mitigant-not-cure.
- **Covenant scorecard is §4 here** (the Cat 5 retirement's home) — no category renders it.
- **Roll-forward is a visible beat** (its own strip), not buried — answers "how does the system update for next year."
- **Closures update status/exhibits, don't gate:** the rating and the Credit Officer handoff are complete on the four resolved judgments; Upload-Docs closures (Suite 200, PFS) update condition status and exhibits without blocking the handoff. Honest mixed close-paths (only Suite 200 + PFS via Upload Docs).
- **Upload Docs flow only:** closures run through the borrower response document upload path defined in Exceptions 1 and 4.
- **All figures trace to the locked Cedar Grove ledger** and the four locked exceptions — no new facts. (Debt yield 8.0% stays in the Cat 9 maturity context, off the cover grid.)
- **Review-attestation gate (required):** [Send to Credit Officer] is disabled until Jordan opens the package AND checks the review attestation. He cannot forward a review he has not read — this is the human accountability step, and it mirrors real credit process (the PM stands behind the review before it goes to the Credit Officer). The attestation is recorded (who · when) for the audit trail.
- **Independence preserved:** [Send to Credit Officer] is the independent-confirmation step; the final rating is the Credit Officer's, not auto-assigned (2020 guidance). The PM attestation does not assign the rating — it confirms the PM has reviewed and stands behind the recommendation; the Credit Officer confirms the final grade.

Appendix

[v01]TAB 2: JAZZ ASSESSMENT

Cedar Grove Relationship · Calculation date: February 28, 2026

State model (locked, three labels only): ● **CLEARED** — Jazz completed the review; no separate Jordan decision in this category. *Cleared ≠ no risk — a cleared category can still route a supportive or cautionary factor into the rating.* ● **PENDING RESOLUTION** — Jordan decision required (*helper copy: "Requires Jordan"*) 🔒 **RISK RATING PENDING** — the output; locks open when the three resolve

Nine categories: 5 Cleared · 3 Pending Resolution · 1 Risk Rating output. (*Covenant Compliance removed as a standalone tile — the covenant and reporting issues live inside the three exceptions; the full covenant scorecard moves to the AR package. Market & Submarket Conditions added.*)

1. Relationship & Exposure (*foundation / context*)

Field	Detail
Borrower entity	Cedar Grove Retail Holdings LLC — single-purpose entity (SPE)
Guarantor	Marcus Webb — individual guarantor · Webb Commercial Real Estate Group · guaranty on file
Bank relationship since	2019 · primary loan originated 2021
Facilities in relationship	2 — Cedar Grove Commons (LN-2021-0447, \$17.2M) · Outparcel Note (LN-2021-0892, \$1.4M)
Total relationship exposure	\$18.6M

Collateral / default linkage	Both loans cross-collateralized · cross-default provisions apply · relationship-level rating applies
Concentration	No single-borrower or portfolio concentration exception identified
Ownership structure	SPE — Marcus Webb principal · no ownership change identified this cycle
Review basis	Loan system of record · entity and guaranty documents · prior Annual Review file

Supervisory Basis

OCC Anchor: “organizational documents”

Loan / policy basis: Relationship-level exposure aggregation · borrower / guarantor verification · entity good-standing evidence

What Jazz did: Reconciled the borrower entity, guarantor, both facilities, and total exposure across the loan system, the entity and guaranty documents, and the prior AR file. Confirmed the SPE structure, the cross-collateralization and cross-default linkage between the two facilities, and that no ownership change or new facility entered the relationship this cycle.

Status: CLEARED — relationship structure and exposure verified · no structural exception identified. **Rating signal:** Neutral / supportive — clean SPE structure, guaranty on file, structure unchanged from prior AR.

2. Payment & Servicing History (*supportive mitigant*)

Loan	Period	Status	Missed	Late
LN-2021-0447 · Cedar Grove Commons	24 months	✓ Current	0	0
LN-2021-0892 · Outparcel Note	24 months	✓ Current	0	0

Field	Detail
Commons maturity	October 2031 — ~5.6 years remaining · no near-term refinance pressure
Outparcel maturity	August 2028 — ~2.5 years · smaller related facility (\$1.4M) · tracked for refinance monitoring

Forbearance / modification	None on file
Default notices	None on file
Late-charge / default-interest history	None
Escrow / impound payments	Current (taxes & insurance — see Insurance, Taxes & Reserves)
Servicing	Held in portfolio since origination — no transfers
Review basis	Servicing ledger · executed notes · amortization schedules

Supervisory Basis

OCC Anchor: “payment record”

Loan / policy basis: Servicing history review · payment performance · maturity / refinance-risk monitoring

What Jazz did: Pulled the servicing ledger for both loans, reconciled 24 months of debt-service payments against the amortization schedules, confirmed no missed, late, or partial payments and no default notices, verified both maturity dates against the executed notes, and checked for forbearance or modification flags.

Status: CLEARED — payment record clean · maturity profile verified · no servicing-history exception identified. **Rating signal:** ↑ Mitigant — debt service current across both loans; Commons maturity well out (2031). *(The Outparcel's 2028 maturity is the one item to monitor.)*

3. Collateral Value & Property Condition (condition cleared · value pressure carried to the rating)

Field	Detail
Most recent appraisal	April 2025 — \$24.8M as-is (Cedar Grove Commons · implied cap rate ~6.6% on then-current NOI)
Appraisal currency	⚠ Predates the FY2025 deterioration (occupancy 94% → 79%, NOI –17%)
Commons facility LTV — as appraised	69% (\$17.2M ÷ \$24.8M) — within the 80% policy ceiling

Commons facility LTV — stressed on current NOI	⚠️ ~83% (≈\$20.6M at the appraisal cap rate) — above the 80% ceiling
Cross-collateral support	Outparcel parcel cross-collateralized — incremental support not reflected in the facility LTV (no current Outparcel valuation on file)
Appraisal action	Updated appraisal / evaluation queued under material-change review — post-review condition
Most recent inspection	October 2025 — Good condition, no material deferred maintenance
Roof / structural life	12+ years remaining — no near-term capex
Parking lot	Resurfaced 2024
Environmental	Phase I on file (origination) — no recognized conditions · no update trigger
Review basis	April 2025 appraisal · October 2025 inspection · LTV policy ceiling (80%) · appraisal-validity review

What Jazz did: Retrieved the April 2025 appraisal and the October 2025 inspection; computed the facility LTV on the correct basis (Commons debt against Commons value — separating it from total relationship exposure); re-derived the appraisal's implied cap rate and applied it to current in-place NOI to produce a stressed value indication; surfaced the appraisal-validity question given the NOI decline and queued an updated appraisal / evaluation as a post-review condition; reviewed condition, capital-needs, and environmental items.

Jazz note: Property *condition* is sound and requires no decision. Property *value* is the concern — the appraisal predates the FY2025 decline, and on current NOI the implied facility LTV (~83%) sits above the 80% ceiling. The updated appraisal is queued, and the valuation pressure is carried into the Risk Rating as a cautionary collateral factor. No fourth exception is created: the decisions still flow through the Coverage and Property/Leasing categories.

Status: CLEARED — no separate Jordan decision required; condition verified, valuation pressure routed to Risk Rating, updated appraisal/evaluation queued. **Rating signal:** ↓ Collateral / LTV — value under pressure on current NOI (*new factor for the Risk Rating matrix*).

4. Insurance, Taxes & Reserves (operational compliance)

Field	Detail
Property insurance	In force through August 2026 — limits and endorsements compliant with the loan agreement
Coverage adequacy	Replacement-cost basis · lender named mortgagee / loss payee · rent-loss / business-interruption coverage in place
Insurance renewal	⚠ Expires Aug 2026 (~6 months) — renewal tracked · no lapse
Liability coverage	Within loan agreement minimums
Real estate taxes	Paid current — no county delinquencies (FY2025 paid)
Tax trend	Assessed value / tax bill rising modestly — passes through to tenants under NNN (occupancy-cost context for leasing)
T&I reserve account	Funded at the required impound level
Replacement reserves	Funded — no reserve deficiency identified
Flood / hazard zone	Not in a special flood hazard area — no flood insurance required
Review basis	Insurance certificate · county tax records · escrow ledger · loan agreement insurance covenant

What Jazz did: Pulled the insurance certificate and verified limits, endorsements, and the mortgagee / loss-payee clause against the loan agreement; confirmed tax payment status against county records; verified the T&I impound and replacement-reserve balances against required levels; checked flood-zone status; and noted the tax trend for the leasing / occupancy-cost analysis.

Status: CLEARED — coverage compliant · taxes current · reserves funded · no exception identified. **Rating signal:** Neutral / supportive — operational compliance confirmed.

5. Market & Submarket Conditions (new — analysis cleared · cautionary finding feeds Exception 2 + the rating)

Field	Detail
Market data source	Third-party submarket extract (CoStar-type) · as of Q1 2026

Submarket	East Columbus retail trade area — grocery-anchored neighborhood centers
Submarket vacancy	~7–8% — stable-to-slightly-soft
Subject vs submarket	⚠ Cedar Grove ~21% vacant vs ~7–8% submarket — a property-specific gap , not a market-wide collapse
Asking-rent trend	Inline flat-to-soft · grocery-anchored / anchor space stable
Net absorption (trailing)	Modestly negative — demand soft, not deteriorating sharply
Competitive supply	Limited new grocery-anchored construction in the trade area — low new-supply pressure
Sector view	Grocery-anchored is among the more resilient retail subtypes — necessity traffic supports the center
Anchor market position	Kroger banner — established in-market · lease through 2031
Investment / cap-rate trend	Submarket cap rates widened ~50 bps over the trailing year — corroborates the collateral value pressure
Review basis	Submarket vacancy / rent / absorption extract · competitive-supply survey · anchor market review

What Jazz did: Pulled submarket vacancy, rent, and absorption data for the East Columbus retail trade area; benchmarked the subject's ~21% vacancy against the ~7–8% submarket; reviewed competitive supply and the grocery-anchored sector outlook; checked the anchor's in-market position and the cap-rate trend; and synthesized whether the subject's weakness is market-driven or property-specific.

Jazz verdict: The submarket is **soft but stable** — the subject's vacancy gap (~21% vs ~7–8%) and the 34% rollover are **property-specific**, so Exception 2 should not treat the softening as purely cyclical. A recovery path exists: the grocery-anchored sector is resilient, the anchor is in place through 2031, and new supply is limited.

Status: CLEARED — market analysis complete · findings routed to Exception 2 and the rating. **Feeds:** Exception 2 (temporary softening vs. structural decline) · Risk Rating (market context) · collateral value pressure (cap-rate corroboration).

Build notes (not visible UI)

Supervisory crosswalk (defensibility map — for expert-reviewer questions, not UI):

Panel	OCC CRE Handbook anchor
Relationship & Exposure	Organizational documents · borrower/guarantor verification
Payment & Servicing History	Payment record in repayment-capacity analysis
Collateral Value & Property Condition	Appraisal-validity review — time elapsed, market volatility, cap rates; document the analysis behind continued reliance
Insurance, Taxes & Reserves	Internal-control items — taxes, hazard insurance, loss-payable clauses, escrow reviews, expiration ticklers
Market & Submarket Conditions	Market/submarket conditions · tenant rollover · vacancy and absorption · stress of cap rates and DSCRs

UI cites bank policy and the loan agreement (the "Review basis" rows); the OCC mapping above is our answer when Pamela / Jonathan / Eshwar ask "does this hold."

Corrections in v2 (vs v1):

- Cross-collateralization **corrected to match the source doc** — both loans cross-collateralized, cross-default applies (v1 wrongly said "not cross-collateralized").
- "Full recourse" **removed** — not in the source. Now "individual guarantor · guaranty on file." → **To lock:** confirm recourse nature (full vs limited) with the scenario owner.
- Concentration softened to "no exception identified" (no policy limits exist in the source to cite).
- Collateral status line now states explicitly that CLEARED = no separate Jordan decision, not no risk; "material-change trigger met" softened to "queued under material-change review."
- Build-note vocabulary fixed: "covenant and reporting issues" (only DSCR and occupancy are breaches; the PFS item is a reporting exception, per the locked conservative framing).

Carry-forwards:

- Submarket figures (vacancy ~7–8%, ~50 bps cap-rate move, absorption) remain illustrative locked demo data — swap if real East Columbus numbers arrive.
- Two new Risk Rating factors fall out of these panels for the matrix rebuild (Item 6): **Collateral / LTV ↓** and **Market context**.

- "What Jazz did" blocks sit behind the expandable ("14 min" affordance); Status + Rating signal stay visible on the panel.

Open Conditions

6. Financial Performance & Coverage

EXCEPTION 1 — BANK-SIDE DSCR CALCULATION

Tag: Performance · **Parent category in Servicing Assessment:** Financial Performance & Coverage

Category header bar:

Exception 1 — Bank-Side DSCR Calculation · *Jordan's Confirmation Required — Risk rating recommendation cannot be locked until all three exceptions are resolved* · top right

Title:

DSCR Covenant Weakness — Normalization Confirmation Required

LN-2021-0447 · Cedar Grove Commons · \$17.2M[^c18]

WHAT JAZZ FOUND

Source	Value	Basis
Prior Annual Review	1.39x	T-12 — fully occupied — no vacancy adjustment
Jazz T-12 Calculation	1.15x	T-12 — Suite 200 dark 7 months — no normalization applied
DSCR Covenant Floor	1.20x	Loan agreement — Section 4.1
<i>Borrower-reported context</i>	<i>1.25x</i>	<i>Borrower CCC — includes Suite 200 executed lease — rent not yet in payment — reviewed in Exception 2</i>

WHY THIS CONDITION EXISTS

Suite 200 is an 8,400 SF junior anchor space that has been dark for 7 months of the trailing 12-month period. Prior tenant vacated at scheduled lease expiration — no tenant default on file[^c20]. An executed replacement lease is now in place — a new tenant has signed and rent commencement is 60 days out.

The bank's covenant testing methodology requires income to be currently in payment at the calculation date. The replacement lease is executed but rent has not commenced

— it cannot be credited under the bank's T-12 spread methodology. Jazz has therefore calculated DSCR at 1.15x using only income currently in payment.

The borrower's Covenant Compliance Certificate includes the full annualised rent from the executed Suite 200 lease — \$117,600 — on the basis that a signed agreement is in place. This produces the borrower's attested DSCR of 1.25x.

Jordan must determine whether any normalization or add-back is appropriate at this review date — or whether the bank's T-12 result of 1.15x stands as the operative covenant conclusion.

DSCR IMPACT

Three metric cards side by side.

Card 1 — At Prior Review DSCR (1.39x) *Context* — *prior period* NOI: \$1,646,000 · Debt service: \$1,188,000 · DSCR: **1.39x** Status:  Above floor — prior period reference only

Card 2 — At Jazz Calculation (1.15x) *Conservative · Recommended* NOI: \$1,370,000 · Debt service: \$1,188,000 · DSCR: **1.15x** Status:  Below 1.20x floor — covenant breach

****Card 3 — Borrower-Reported Context (1.25x)** ***Borrower attested* NOI: \$1,487,600 (*includes \$117,600 Suite 200 projected rent*) · Debt service: \$1,188,000 · DSCR: **1.25x** Status:  Above floor — discrepancy flagged · pending Jordan's determination in Exception 2

Jazz processed this in 14 min · Manual estimate: 6–8 hours

YOUR DECISION

Confirmation is a two-step process. Jordan must review the detailed calculation before the confirmation statement activates.

Step 1 — Review the calculation:

Option

Status

 Confirm Jazz — 1.15x  Greyed out — review calculation first

[**View Jazz Calculation**]  active · Jordan must click this before confirming

Note: "Review the detailed T-12 spread and bank-side NOI calculation before confirming. The confirmation statement activates once the calculation has been reviewed."

Step 2 — Confirm after review:

Activates after Jordan opens and reviews the Jazz T-12 Calculation modal.

☐ *"I've reviewed the T-12 spread and bank-side NOI calculation used by Jazz. The income figures reflect leases currently in payment as of the calculation date. No normalization or add-back applies at this review date. The bank's DSCR of 1.15x stands as the operative covenant result."*

[**Confirm**] ← greyed out until checkbox checked · activates on check

On Jordan clicking [View Jazz Calculation]: → Jazz T-12 Calculation Detail modal opens as full overlay — see below

On Jordan checking the confirmation box: → Confirm button activates — green · prominent

On Jordan clicking Confirm:

- Modal closes if still open
- Exception 1 status: ● Awaiting confirmation → ☒ Confirmed
- Left panel Exception 1 row: → ☒ Confirmed
- Counter bar: ● 3 remaining → ● 2 remaining
- DSCR row in risk rating matrix: "Pending Jordan's confirmation" → "1.15x — below 1.20x floor — confirmed" · ↓ Negative
- Jazz bridge narration fires
- Exception 2 — Borrower CCC Attestation Review becomes active in right panel

Presenter note: "Jordan can't just click a button. He has to open the calculation, read through it, and check a box confirming he has reviewed the T-12 spread and the bank's methodology. That is what deliberate confirmation looks like — the system is not asking Jordan to trust Jazz blindly, it is asking him to review the work and own the conclusion."

MODAL — JAZZ T-12 CALCULATION DETAIL

Opens as full overlay on Jazz Assessment screen when Jordan clicks [View Jazz Calculation]

MODAL HEADER

Jazz T-12 Calculation — Cedar Grove Commons LN-2021-0447 · Calculation date: March 2026 · T-12 period: April 2025 – March 2026

Jazz note: "This calculation reflects income from leases currently in payment as of the calculation date only. Income from executed leases where rent has not yet commenced has not been included. This is the bank-side NOI basis used for DSCR covenant testing."

SECTION 1 — BANK-SIDE NOI BUILD

Cedar Grove Commons operates on a triple-net lease basis. Property taxes, insurance, and CAM are tenant obligations passed through directly. Bank-side NOI equals net rent received plus recoveries.

Income Line	Current T-12	Prior Year	Change
Kroger anchor rent	\$462,000	\$462,000	Unchanged
Inline tenants — occupied	\$641,550	\$759,150	↓ \$117,600
Suite 200 — partial year	\$34,650	\$83,160	↓ \$48,510
CAM recoveries	\$154,000	\$172,000	↓ \$18,000
Other income	\$77,800	\$169,690	↓ \$91,890
Bank-Side NOI	\$1,370,000	\$1,646,000	↓ \$276,000

NOI verification: \$462,000 + \$641,550 + \$34,650 + \$154,000 + \$77,800 = **\$1,370,000**



SECTION 2 — INCOME LINE NOTES

Kroger anchor rent — \$462,000 22,000 SF × \$21.00/SF NNN — in payment all 12 months. Anchor lease expires 2031. No change from prior year.

Inline tenants — occupied — \$641,550 31,720 SF currently occupied — \$641,550 total — implied blended rate \$20.23/SF (rounded). Prior year: 33,520 SF — \$759,150 total — implied blended rate \$22.65/SF (rounded). Decline reflects two factors: reduced occupied SF due to other vacancy and lower effective renewal rates on small-shop tenants since prior review.

Suite 200 — partial year — \$34,650 8,400 SF junior anchor space. Prior tenant vacated at end of lease term — no default on file.

- Months 1–5: in payment at prior tenant rate — 8,400 SF × \$9.90/SF × (5/12) = **\$34,650**
- Months 6–12: \$0 — space dark — no rent in payment

An executed replacement lease is now in place at \$14.00/SF NNN. Rent commencement is 60 days from the calculation date. This income has NOT been included in the bank-side T-12 calculation — rent is not currently in payment and cannot be credited under the covenant testing methodology.**

Prior year: 8,400 SF × \$9.90/SF — full 12 months = **\$83,160**

CAM recoveries — \$154,000 Allocated across paying tenants. Lower than prior year due to reduced occupancy base.

Other income — \$77,800 Percentage rent, late charges, miscellaneous. Lower than prior year reflecting softer tenant performance and reduced occupancy.

SECTION 3 — DSCR CALCULATION

Line	Current T-12	Prior Year
Bank-Side NOI	\$1,370,000	\$1,646,000
Annual debt service	\$1,188,000	\$1,188,000
DSCR	1.15x	1.39x
Covenant floor	1.20x	1.20x
Status	 Below floor	 Above floor

DSCR calculation — current year: $\$1,370,000 \div \$1,188,000 = 1.1532x \rightarrow$ rounds to **1.15x** 

DSCR calculation — prior year: $\$1,646,000 \div \$1,188,000 = 1.3855x \rightarrow$ rounds to **1.39x** 

Year-over-year DSCR decline: 1.39x $\rightarrow$ 1.15x — driven by \$276,000 NOI reduction

SECTION 4 — NORMALIZATION ASSESSMENT

Jazz has assessed whether any normalization or add-back is appropriate at the calculation date.

Factor	Assessment
Suite 200 executed lease	Executed — rent commencement 60 days out — income NOT currently in payment — no add-back permitted under covenant methodology
Suite 200 vacancy duration	7 months — persistent across the trailing period — not a partial-period anomaly
Borrower CCC inclusion	Borrower included \$117,600 annualised Suite 200 rent — this income is not currently in payment — not eligible under Section 6.2
Normalization applicable	 No — no legitimate basis for add-back at the calculation date

Jazz finding: "No normalization or add-back appears appropriate at this review date. The Suite 200 vacancy has persisted for 7 months of the trailing period. The executed replacement lease is a positive development, but rent has not commenced. The bank's T-12 DSCR of 1.15x stands as the operative covenant test result pending Jordan's confirmation."

SECTION 5 — JORDAN'S CONFIRMATION

Confirmation statement activates after Jordan has scrolled through Sections 1–4. Confirm button remains greyed out until the checkbox is checked. **

☐ **Jordan checks this box to activate confirmation:**

"I've reviewed the T-12 spread and bank-side NOI calculation used by Jazz. The income figures reflect leases currently in payment as of the calculation date. No normalization or add-back applies at this review date. The bank's DSCR of 1.15x stands as the operative covenant result."

[Confirm] ← greyed out until checkbox checked · activates on check · green on activation

[Cancel] ← closes modal without confirming · returns Jordan to Exception 1 entry state · no state change

On Jordan checking the box: Confirm button activates — green · prominent.

On Jordan clicking Confirm:

- Modal closes
- Exception 1 status updates:  Awaiting confirmation →  Confirmed
- Left panel Exception 1 row updates to  Confirmed
- Counter bar updates:  3 remaining →  2 remaining
- DSCR row in risk rating matrix updates: "Pending Jordan's confirmation" → "1.15x — below 1.20x floor — confirmed" · ↓ Negative
- Jazz bridge narration fires
- Exception 2 — Borrower CCC Attestation Review becomes active in right panel

Presenter note: "Jordan can't just click a button. He has to open the calculation, read through it, and check a box confirming he has reviewed the T-12 spread and the bank's methodology. That is what deliberate confirmation looks like. The system is not asking Jordan to trust Jazz blindly — it is asking him to review the work and confirm the conclusion. That is the right division of labor between AI and human judgment."

Step 2 — Confirm after review:

Activates after Jordan opens and reviews the Jazz T-12 Calculation modal.

☐ *"I've reviewed the T-12 spread and bank-side NOI calculation used by Jazz. The income figures reflect leases currently in payment as of the calculation date. No normalization or add-back applies at this review date. The bank's DSCR of 1.15x stands as the operative covenant result."*

[Confirm] ← greyed out until checkbox checked · activates on check

On Jordan clicking [View Jazz Calculation]: → Jazz T-12 Calculation Detail modal opens as full overlay

On Jordan checking the confirmation box: → Confirm button activates — green · prominent

On Jordan clicking Confirm:

- Modal closes if still open
- Exception 1 status:  Awaiting confirmation →  Confirmed
- Left panel Exception 1 row: →  Confirmed
- Counter bar:  3 remaining →  2 remaining
- DSCR row in risk rating matrix: "Pending Jordan's confirmation" → "1.15x — below 1.20x floor — confirmed" · ↓ Negative
- Jazz bridge narration fires
- Exception 2 — Borrower CCC Attestation Review becomes active in right panel

Presenter note: "Jordan can't just click a button. He has to open the calculation, read through it, and check a box confirming he has reviewed the T-12 spread and the bank's methodology. That is what deliberate confirmation looks like — the system is not asking Jordan to trust Jazz blindly, it is asking him to review the work and own the conclusion."

JAZZ BRIDGE NARRATION

Fires in right panel after Exception 1 confirms. Appears between Exceptions 1 and 2.

"Jordan has confirmed the bank's financial conclusion — 1.15x, covenant breach, no normalization applies at this review date. Jazz now shifts from financial analysis to a separate question. The borrower submitted a Covenant Compliance Certificate attesting a different DSCR result. The question is no longer what the number is — Jordan has confirmed that. The question is whether the borrower's attestation holds up under the loan agreement's covenant definition. That is a different kind of judgment."

RISK RATING MATRIX — POST CATEGORY 1 STATE

Updates in right panel after Jordan confirms.

Risk Rating Determination — Pending  Locked — 2 categories remaining

Factor	Finding	Direction
DSCR	1.15x — below 1.20x floor — confirmed	↓ Negative
Occupancy	79% — below 80% floor	↓
CCC reconciliation	Pending Jordan's determination	—
NOI trend	Declining	↓
Lease rollover	34% of GLA within 18 months	↓
Sponsor support / reporting exception[^{c22}]	PFS outstanding — pending Jordan's decision	—
Debt service	Current	↑
Sponsor engagement	Active	↑

Matrix note: "DSCR and CCC rows remain pending until Jordan resolves Exceptions 1 and 2. Sponsor support remains pending until Completeness is addressed. The full matrix unlocks once all three exceptions are resolved."

BOTTOM PERSISTENT BAR

  · 2 categories remaining · [Review Annual Review]

Presenter note: "One category down. The DSCR row in the matrix has updated — 1.15x, below floor, confirmed. Two categories remain. Jazz is already moving to the next question — the borrower's attestation. Jordan clicks Review Verification."

EXCEPTION 2 — BORROWER CCC ATTESTATION REVIEW

Tag: Verification · **Parent category in Servicing Assessment:** Financial Performance & Coverage

Category header bar: Exception 2 — Borrower CCC Attestation Review · Jordan's Determination Required — Risk rating recommendation cannot be locked until all three exceptions are resolved · top right

Title: CCC Does Not Reconcile — Covenant Definition Review Required

LN-2021-0447 · Cedar Grove Commons · \$17.2M[^{c24}]

WHAT JAZZ FOUND

Source	Value	Basis
Bank-side DSCR — confirmed in Exception 1	1.15x	T-12 basis · Suite 200 rent not currently in payment
Borrower CCC Attestation	1.25x	Includes \$117,600 annualised Suite 200 lease income
DSCR Covenant Floor	1.20x	Loan agreement — Section 4.1
Difference	0.10x	Material discrepancy requiring attestation review

WHY THIS CONDITION EXISTS

Jordan has already confirmed the bank's financial conclusion: Cedar Grove Commons calculates to **1.15x** on a T-12 basis, below the **1.20x** covenant floor. That question is closed. The issue now is different.

The borrower submitted a **Covenant Compliance Certificate (CCC)** attesting DSCR compliance at **1.25x**. Jazz cross-referenced the CCC income schedule against the executed Suite 200 lease and identified the likely source of the discrepancy:

- The CCC includes **\$117,600** of annualised rent from the new Suite 200 lease
- The lease is executed
- Rent commencement is still **60 days out**
- Under **Section 6.2**, income must be **currently in payment as of the calculation date**

The borrower's inclusion is understandable — a signed lease exists — but the covenant definition is narrower than the borrower's treatment. Jordan must determine whether the borrower's attestation is compliant under the operative covenant definition, and whether the non-reconciliation must be recorded as a standalone Annual Review finding.

WHAT JORDAN REVIEWS

Distinct evidence set from Exception 1. All three documents surface in the Exception 2 Evidence modal. ** **

Evidence	What it shows
CCC income schedule	Suite 200 annualised rent of \$117,600 included as current income

Executed lease — Suite 200	Lease signed · rent commencement approximately 60 days out
Lease notice / bank consent record	Bank approval acknowledged before execution · no separate lease-consent exception identified
Loan agreement — Section 6.2	Income must be currently in payment at the calculation date
Bank-side DSCR from Exception 1	1.15x confirmed — without forward rent inclusion

**Jazz note: "This category is not re-testing the bank's DSCR. Exception 1 already established the bank-side number. Exception 2 tests whether the borrower's CCC treatment is compliant with the covenant definition. Jazz also verified that required lease notice / consent is on file, so the unresolved issue is income recognition, not lease authorization."*

VERIFICATION IMPACT

Three metric cards side by side.

Card 1 — Bank-Side DSCR — Confirmed *Confirmed in Exception 1* NOI: \$1,370,000 · Debt service: \$1,188,000 · DSCR: **1.15x** Status: ● Below 1.20x floor — confirmed bank-side result

Card 2 — Borrower CCC Attestation *Pending determination** NOI: \$1,487,600 · Debt service: \$1,188,000 · DSCR: **1.25x** Status: ⚠ Above floor — attested by borrower — methodology pending Jordan's determination

Card 3 — Exception 2 Conclusion *Section 6.2 applied — pending Jordan's confirmation* Disputed income: **\$117,600** Lease status: **Executed · not yet in payment** Attestation result: **Pending Jordan's determination** Status: ⚠ Non-reconciling — determination required

Jazz processed this in 14 min · Manual estimate: 4–6 hours of cross-checking CCC, lease terms, and covenant definitions

YOUR DECISION

Jordan must first review the attestation evidence. Final confirmation remains unavailable until the Verification evidence has been reviewed.

Step 1 — Review the evidence

[**View Exception 2 Evidence**] ← active · opens modal overlay

Note: "Review the borrower's CCC income schedule, the executed Suite 200 lease, and Section 6.2 before confirming. Final confirmation unlocks only after Jordan completes the verification review."

Step 2 — Confirm after review

Status: ** ** ⏳ Exception 2 evidence not yet reviewed

[Confirm Exception 2] ← greyed out until modal review is completed

[Cancel] ← exits without state change

Status after modal completion: ✅ Exception 2 evidence reviewed

[Confirm Exception 2] ← now active · green · prominent

Jordan's determination note: "Confirming the Exception 2 finding does not change the bank-side DSCR — that was already established in Exception 1. It confirms that the borrower's CCC attestation is non-reconciling under Section 6.2 and that the discrepancy is a standalone material finding that must be recorded in the Annual Review."

On Jordan clicking [Confirm Exception 2]:

- Exception 2 status: ● Awaiting determination → ✅ Confirmed
- Left panel Exception 2 row: → ✅ Confirmed
- Counter bar: ● 2 remaining → ● 1 remaining
- CCC reconciliation row in risk rating matrix updates: "Pending Jordan's determination" → "Non-reconciling — Section 6.2 does not support borrower treatment — material finding confirmed" · ↓ Negative
- AR package progress strip updates: Covenant summary → ✅ Populated · Verification narrative → ✅ Populated · Material finding logged in AR rationale
- Jazz bridge narration fires
- Exception 3 — Sponsor Support Treatment becomes active in right panel

Presenter note: "Exception 2 is deliberately a different kind of judgment from Exception 1. Jordan is no longer deciding what the bank's number is — he already confirmed that at 1.15x. Now he is deciding whether the borrower's attestation at 1.25x is compliant with the loan agreement. The key point is that a non-reconciling CCC is not just a math discrepancy — it is a material Annual Review finding that gets recorded in the AR package and affects the relationship management posture going forward. And it is

exactly the kind of cross-document reconciliation that gets missed when a PM is manually working across spreadsheets and PDFs."

JAZZ BRIDGE NARRATION

Fires in right panel after Exception 2 confirms.

"Jordan has now confirmed two things. First, the bank's DSCR is 1.15x and no normalization applies at this review date. Second, the borrower's CCC does not hold up under Section 6.2, and that discrepancy is a material Annual Review finding in its own right. Jazz now shifts to the third question: whether the sponsor and guarantor documentation is sufficient to finalise the risk rating on a conservative basis."

[Review Exception 3] → Exception 3 opens in right panel

RISK RATING MATRIX — POST CATEGORY 2 STATE

Updates after Jordan confirms.

Risk Rating Determination — Pending  *Locked — 1 category remaining*

Factor	Finding	Direction
DSCR	1.15x — below 1.20x floor — confirmed	↓ Negative
Occupancy	79% — below 80% floor	↓ Negative
CCC reconciliation	Non-reconciling — Section 6.2 does not support borrower treatment — material finding confirmed	↓ Negative
NOI trend	Declining	↓ Negative
Lease rollover	34% of GLA within 18 months	↓ Negative
Sponsor support / reporting exception	PFS outstanding — reporting covenant exception logged · pending Jordan's decision	— ^[^c28]
Debt service	Current	↑ Mitigating
Sponsor engagement	Active	↑ Mitigating

Matrix note: "Verification is now resolved. Sponsor support remains pending until Jordan addresses Completeness. One category remaining before the rating matrix unlocks."

BOTTOM PERSISTENT BAR

 · 1 category remaining · [Review Annual Review]

Presenter note: "Two down. The matrix is updating in real time — DSCR confirmed, CCC non-reconciliation confirmed as a material finding. One category left — Completeness. The sponsor support row is still pending. Jordan clicks into Completeness."

MODAL — CCC VERIFICATION EVIDENCE

Exception 2 — Borrower CCC Attestation Review · Cedar Grove Commons Opens as full overlay on Jazz Assessment screen when Jordan clicks [View Exception 2 Evidence]

MODAL HEADER

CCC Verification Evidence — Cedar Grove Commons LN-2021-0447 · Calculation date: February 28, 2026

*Jazz note: "This modal surfaces the three documents Jordan must review to determine whether the borrower's CCC attestation of **1.25x** complies with the covenant definition in **Section 6.2**. The bank-side DSCR of **1.15x** was already confirmed in Exception 1. This review addresses the attestation question only."*

DOCUMENT 1 — BORROWER COVENANT COMPLIANCE CERTIFICATE

CCC as submitted by Cedar Grove Retail Holdings LLC

CCC HEADER

Field	Detail
Document	Covenant Compliance Certificate
Borrower	Cedar Grove Retail Holdings LLC
Guarantor	Marcus Webb — Webb Commercial Real Estate Group
Loan	LN-2021-0447 — Cedar Grove Commons
Calculation date	February 28, 2026
Submitted by	Marcus Webb — authorized signatory
Attestation	"I hereby certify that the information contained herein is true, accurate, and complete as of the calculation date, and that the

	Borrower is in compliance with all financial covenants set forth in the Loan Agreement."
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CCC INCOME SCHEDULE — AS SUBMITTED BY BORROWER

Income Line	Annual Amount	Basis stated by borrower
Kroger anchor rent	\$462,000	Executed lease · in payment · 22,000 SF × \$21.00/SF NNN
Inline tenants — occupied suites	\$641,550	Executed leases · in payment · current rent roll
Suite 200 — new executed lease	\$117,600	Executed lease · \$14.00/SF × 8,400 SF · annualised
CAM recoveries	\$154,000	Allocated across paying tenants
Other income	\$77,800	Percentage rent · late charges · miscellaneous
Borrower CCC Total NOI	\$1,487,600	

CCC DSCR CALCULATION — AS SUBMITTED BY BORROWER

Line	Value
Borrower CCC NOI	\$1,487,600
Annual debt service	\$1,188,000
Borrower CCC DSCR	1.25x
Covenant floor	1.20x
Borrower attestation	✅ In compliance — 1.25x above 1.20x floor

● **Jazz flag on Suite 200 line:** “Borrower included **\$117,600** of annualized rent from the executed Suite 200 lease. This is the only line item that differs from the bank-side T-12 calculation confirmed in Exception 1. Jazz identified this as the sole driver of the **0.10x** discrepancy between the borrower’s attested DSCR of **1.25x** and the bank-side calculation of **1.15x**.”

DOCUMENT 2 — EXECUTED SUITE 200 LEASE — KEY TERMS

Executed lease document — Cedar Grove Commons — Suite 200

LEASE IDENTIFICATION

Field	Detail
Property	Cedar Grove Commons — 1840 Meridian Drive, Columbus, OH
Suite	Suite 200 — 8,400 SF junior anchor space
Landlord	Cedar Grove Retail Holdings LLC
Tenant	[Tenant name on file]
Lease type	Triple-net (NNN)
Lease execution date	January 15, 2026
Calculation date	February 28, 2026
Days between execution and calculation date	44 days

CRITICAL DATE SCHEDULE

Event	Date	Status at Calculation Date
Lease executed	January 15, 2026	✅ Completed — prior to calculation date
Tenant delivery / possession	April 1, 2026	❌ Future — 32 days after calculation date
Rent commencement date	April 28, 2026	❌ Future — 59 days after calculation date
First rent payment due	May 1, 2026	❌ Future — 62 days after calculation date
Rent currently in payment	—	❌ No — rent has not commenced as of calculation date

RENT SCHEDULE

Period	Annual Rent	Monthly Rent	Rate
Year 1 — commencing April 28, 2026	\$117,600	\$9,800	\$14.00/SF NNN
Year 2	\$120,708	\$10,059	\$14.37/SF NNN

Year 3	\$123,900	\$10,325	\$14.75/SF NNN
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● **Jazz note on lease status:** *“The Suite 200 lease is confirmed executed. The issue is timing, not authenticity. Rent commencement is future-dated, no rent is due, and no rent is currently in payment as of February 28, 2026.”*

DOCUMENT 2A — LEASE NOTICE / BANK CONSENT RECORD

Field	Detail
Document	Lease notice / consent acknowledgment
Related lease	Suite 200 replacement lease
Borrower notice date	Prior to execution
Bank consent / acknowledgment	✓ On file
Consent status	No separate lease-consent exception identified
Relevance	Confirms the Verification review is focused on income recognition, not unauthorized lease execution

Jazz note: "Jazz verified that the required lease notice / consent record is on file. The executed lease is valid for relationship context. The remaining question is whether the associated rent can be included in DSCR covenant testing before commencement."

DOCUMENT 3 — LOAN AGREEMENT SECTION 6.2

Covenant definition — operative language — Cedar Grove Commons loan agreement

DOCUMENT REFERENCE

Field	Detail
Document	Cedar Grove Commons Loan Agreement
Loan ID	LN-2021-0447
Origination date	2021
Section	6.2 — Debt Service Coverage Ratio
Relevant to	DSCR covenant testing · income eligibility

SECTION 6.2 — FULL OPERATIVE TEXT

"Debt Service Coverage Ratio. *For purposes of calculating the Debt Service Coverage Ratio under this Agreement, Net Operating Income shall mean the aggregate of all*

rental income and recoveries actually received by Borrower from tenants under executed leases that are currently in payment as of the applicable Calculation Date.

For the avoidance of doubt, the following shall not be included in Net Operating Income for DSCR covenant testing purposes:

- (i) income from executed leases where the rent commencement date has not yet occurred as of the Calculation Date;*
- (ii) income from leases in free-rent or abatement periods, regardless of whether such periods were contemplated at lease execution;*
- (iii) projected or estimated income from leases not yet executed as of the Calculation Date.*

The Borrower shall submit a Covenant Compliance Certificate calculating the Debt Service Coverage Ratio in accordance with this Section 6.2 within 45 days of each Calculation Date. The Bank reserves the right to independently verify the Borrower's calculation and to substitute its own calculation where the Bank determines that the Borrower's methodology does not comply with the definitions set forth herein."

● **Jazz annotation — operative language surfaced:** *"Jazz surfaced the covenant language Jordan needs to apply. Three phrases matter here: 'actually received by Borrower,' 'currently in payment as of the applicable Calculation Date,' and clause (i), which addresses executed leases where rent commencement has not yet occurred. Jordan must confirm whether the borrower's treatment is non-compliant at the calculation date."*

VERIFICATION SUMMARY — PRE-CONFIRMATION

Element	Finding
Lease execution	✓ Confirmed — executed January 15, 2026
Rent commencement	✗ Not yet occurred — April 28, 2026
Income currently in payment	✗ No — first payment due May 1, 2026
Section 6.2 clause (i)	● Applies to pre-commencement income
Borrower CCC inclusion	\$117,600 — requires Jordan's determination under Section 6.2
DSCR impact of exclusion	1.25x → 1.15x — difference of 0.10x

Covenant status under bank basis	● Breach — 1.15x below 1.20x floor
CCC attestation validity	⚠ Non-reconciling if borrower treatment is not compliant under Section 6.2 · lease authorization confirmed separately

JORDAN'S REVIEW ACKNOWLEDGMENT

This modal is a review gate. It does not itself finalise Exception 2. The formal determination happens on the base screen.

Activation rule: The checkbox below becomes available only after Jordan has opened all three document sections above.

☐ **Jordan checks this box to mark the review complete:**

"I've reviewed the borrower's CCC income schedule, the executed Suite 200 lease, and Section 6.2 of the loan agreement. Based on that evidence, the borrower's inclusion of \$117,600 of Suite 200 rent may not comply with the covenant definition at the calculation date because the lease is not yet currently in payment. The bank's DSCR of 1.15x remains the operative bank-side result pending my confirmation of the Verification finding."

MODAL FOOTER ACTIONS

[Close] ← closes without completing review · no state change

[Mark Verification Review Complete] ← greyed out until checkbox checked · activates on check · returns Jordan to base screen

On Jordan clicking [Mark Verification Review Complete]:

- Modal closes
- Returns Jordan to Exception 2 — Borrower CCC Attestation Review base screen
- Status indicator appears above YOUR DECISION:

☒ **Exception 2 evidence reviewed**

- Helper text appears: *"Jordan has reviewed the CCC schedule, lease terms, and covenant definition. He may now confirm whether the CCC non-reconciliation is a material Annual Review finding."*
- **[Confirm Exception 2]** on base screen activates — green · prominent

PRESENTER NOTE

"Jordan is not being asked to trust Jazz blindly. He opens the verification evidence, reviews the borrower's CCC, the lease timing, and the operative covenant language — and only then can he confirm the finding on the base screen. The question is not whether the borrower has a signed lease — they do. The question is whether that income is eligible for covenant testing at the calculation date, and whether the discrepancy is material enough to be recorded in the Annual Review. That is exactly the kind of cross-document reconciliation that gets missed when a PM is manually working across spreadsheets and PDFs."

Sponsor & Guarantor Monitoring

EXCEPTION 3 — SPONSOR SUPPORT TREATMENT

Tag: Completeness · **Parent category in Servicing Assessment:** Sponsor & Guarantor Monitoring

Category header bar: ****Exception 3 — Sponsor Support Treatment · *****Jordan's Decision Required — Financial reporting covenant exception and sponsor support treatment must be resolved before the risk rating recommendation can be locked*

Title: **Sponsor Support Treatment — Financial Reporting Covenant Exception**[^c30]

Flagged condition inside this exception: Financial Reporting Covenant Exception — guarantor PFS outstanding 18 days

Marcus Webb · Webb Commercial Real Estate Group · Guarantor Support Review

WHAT JAZZ FOUND

Source	Value	Basis
PFS on file	18 months old	Outside current reporting requirement
Reporting covenant requirement	Current PFS within 12 months	Applies under active covenant pressure
Request status	Outstanding — 18 days · three outreach attempts	Updated PFS not yet received
Reporting status	Financial reporting covenant exception logged	Pending Jordan's treatment decision
SREO status	✅ Received · January 2026	6 properties listed · current
SREO cross-check	✅ No obvious inconsistencies	Against available property and tax records

Current treatment in draft risk analysis	✗ No sponsor support credit applied	Conservative basis pending Jordan's decision
--	-------------------------------------	--

Jazz note: "The document package is substantially complete, but guarantor liquidity cannot be confirmed from the stale PFS currently on file. Because current PFS delivery is part of the financial reporting requirement under active covenant pressure, Jazz has logged a financial reporting covenant exception and withheld sponsor support credit in the draft risk analysis pending Jordan's determination."

WHY THIS CONDITION EXISTS

Jordan has confirmed two categories of findings: the DSCR breach is real, and the borrower's CCC is non-reconciling. The risk rating analysis now requires a decision on financial reporting compliance and sponsor support treatment.

The Cedar Grove loan agreement requires a current Personal Financial Statement dated within 12 months when a relationship shows active covenant pressure. Cedar Grove qualifies because DSCR and occupancy are both below covenant thresholds.

The guarantor's PFS on file is 18 months old. Jazz generated the updated PFS request 18 days ago and has logged three outreach attempts with no response. This is not merely a documentation hygiene issue. Jazz has logged it as a financial reporting covenant exception.

Jazz has cross-referenced the SREO against available property and tax records and found no obvious inconsistencies. The SREO was submitted in January 2026 and is current. It provides portfolio-level context, but it does not provide current liquidity detail — bank balances, liquid assets, personal income, or near-term capacity to support the credit under stress.

Jordan is not deciding whether Marcus Webb is broadly engaged. He is deciding whether sponsor support is sufficiently documented to be credited in the rating at this point in time. Without a current PFS, Jazz has taken the conservative view and has not applied sponsor support credit. Jordan must either proceed on that conservative basis with enhanced monitoring or hold the review pending receipt.

WHAT JORDAN REVIEWS

Distinct evidence set from Exceptions 1 and 2. All three documents surface in the Exception 3 Evidence modal.

Evidence	What it shows
Financial reporting covenant / PFS requirement	Current PFS required within 12 months under active covenant pressure

PFS request status	Request sent 18 days ago · three outreach attempts · not yet received
SREO submitted by guarantor	6 properties listed · no obvious inconsistencies · submitted January 2026 · current
Draft risk analysis treatment	No sponsor support credit currently applied
Enhanced monitoring recommendation	Monthly reporting package until covenant cure

Jazz note: "This category is not testing the property's performance or the borrower's attestation. Exceptions 1 and 2 already resolved those issues. Exception 3 determines whether sponsor support is sufficiently documented to be credited as a mitigating factor in the final risk rating."

COMPLETENESS IMPACT

Three metric cards side by side.

****Card 1 — **Financial Reporting Exception PFS: 18 months old Request status: 18 days outstanding · three outreach attempts Status: ⚠️ Financial reporting covenant exception logged**

Card 2 — Sponsor Documentation on File SREO: Current · 6 properties · no obvious inconsistencies Current liquidity: Not verified without PFS Status: ⚠️ Incomplete for sponsor credit

Card 3 — Decision Consequence Proceed conservative: Rating can finalize now · no sponsor credit · enhanced monitoring Hold pending PFS: AR delayed · Credit Officer submission deferred Status: Jordan must choose

Jazz processed this in 14 min · Manual estimate: 2–4 hours of chasing sponsor documents, cross-checking SREO, and determining whether current support can be credited

YOUR DECISION

Jordan must first review the sponsor documentation evidence. Final confirmation remains unavailable until the Completeness evidence has been reviewed.

Step 1 — Review the evidence:

[View Exception 3 Evidence] ← active · opens modal overlay

Note: "Review the PFS policy requirement, the outstanding request status, the submitted SREO, and Jazz's current sponsor-support treatment before deciding. Decision options activate only after Jordan completes the completeness review."

Step 2 — Decide after review:

Status before modal completion: ⌚ Exception 3 evidence not yet reviewed

Decision options ← both greyed out until modal review completed

Status after modal completion: ✅ Exception 3 evidence reviewed

Helper text: "Jordan has reviewed the PFS policy requirement, request status, and SREO support context. He may now confirm whether the Annual Review should proceed on a conservative basis without sponsor credit."

Two options activate — Jordan selects one:

Option A — Proceed on conservative basis with enhanced monitoring ← Recommended

"Proceed with the Annual Review without sponsor support credit. The SREO cross-check shows no obvious inconsistencies, but current liquidity cannot be confirmed. Jazz will rate the relationship without applying sponsor support as a mitigating factor, log the financial reporting covenant exception, set a 30-day PFS deadline, and activate enhanced monitoring until covenant cure."

[Proceed — Conservative Basis]** **← green · prominent on activation

Jordan's determination note: "Confirming Exception 3 does not change the property-level facts already established in Exceptions 1 and 2. It confirms that sponsor support is not sufficiently documented to be credited as a mitigating factor at this time, that the financial reporting covenant exception will be logged, and that the Annual Review will proceed on a conservative basis with enhanced monitoring and updated PFS receipt tracked as a post-review condition."

Option B — Hold pending PFS receipt

"Defer the risk rating until the updated PFS is received. This delays Credit Officer submission. Use this option only if sponsor financial health is considered a material variable in the rating outcome."

[Hold — Await PFS] ← available but not recommended

**Presenter note: "Option B exists because it is the realistic alternative — a PM could choose to wait. In this scenario Jordan proceeds conservatively. The rating is supportable on current information, the PFS request is already out, and the Credit Officer needs visibility into the dual covenant breach, CCC non-reconciliation, and unresolved financial reporting exception. Waiting would delay escalation of a relationship that is already showing clear downgrade pressure."*

ALTERNATE PATH — IF UPDATED PFS IS RECEIVED DURING REVIEW

If Marcus Webb submits the updated Personal Financial Statement before the Annual Review is submitted to the Credit Officer, the document arrives via the **Documents** tab and Jazz ingests it automatically. Jazz verifies recency (within 12 months) and completeness (signature, certification, assets/liabilities/net worth, liquidity detail, contingent liabilities), cross-references the extracted data against the SREO already on file, and refreshes the sponsor support analysis. Exception 3 transitions from *"PFS outstanding · conservative basis pending"* to *"Updated PFS received · sponsor support review required."*

Jordan then reviews Jazz's refreshed sponsor analysis and makes a fresh determination: does the PFS support crediting sponsor support in the rating? The decision is not automatic. A robust sponsor liquidity position is a credit mitigant, not a cure. Even a strong PFS does not erase the DSCR breach, occupancy below floor, CCC non-reconciliation, NOI decline, or 34% rollover pressure. Jordan still confirms whether sponsor support should be credited in the rating recommendation.

[Upload Updated PFS] ← available throughout the review · upload happens via the **Documents** tab · Jazz ingests automatically · Exception 3 refreshes with extracted analysis · financial reporting covenant exception clears on successful ingestion · Jordan re-decides sponsor support treatment on the refreshed basis

*Build note: PM's **Documents** tab is referenced in the persistent tab bar but is not scripted in detail (consistent with the CA demo pattern where uploads land in the Documents tab and Jazz ingestion triggers the relevant condition card refresh). The PFS upload surface lives in the Documents tab; Exception 3 refreshes automatically when Jazz completes ingestion. Light spec — full Documents tab design is out of scope for this demo.*

Presenter note: "The main demo path is Option A — Jordan proceeds conservatively because the PFS is 18 days outstanding with no response and the credit posture warrants moving forward with enhanced monitoring captured as a post-review condition. This alternate path exists for the realistic case where the borrower delivers during the review. Jazz handles ingestion and refresh automatically; Jordan still makes the final sponsor credit determination. The capability exists — it just isn't the primary demo beat because the conservative-basis decision under incomplete information is a stronger PM persona moment."

On Jordan clicking [Confirm Conservative Basis]:

- Exception 3 status:  Active →  Confirmed — conservative basis
- Left panel Exception 3 row: →  Confirmed
- Counter bar:  1 remaining →  0 remaining

- Sponsor support row in risk rating matrix updates: "PFS outstanding — pending Jordan's decision" → "Unconfirmed — no sponsor credit applied — PFS request active" · → Neutral
- Post-review condition fires and appears on screen:

Post-review conditions added:

- Updated guarantor PFS — due within 30 days of Annual Review submission
- Suite 200 rent commencement confirmation and DSCR recalculation — due within 60 days
- Enhanced monitoring package — monthly rent roll, operating statement, and DSCR recalculation until covenant cure
- AR package progress strip updates:

Section	Status
Relationship summary	✓ Populated
Related loan section	✓ Populated
Covenant summary	✓ Populated
Financial analysis	✓ Populated
Risk rating rationale	⌚ Generating
Credit submission	⌚ Pending Credit Officer review

- Risk rating matrix unlocks — full population begins
- Jazz bridge narration fires
- **[View Risk Rating]** activates in bottom persistent bar

Presenter note: "This is the conservative lender's judgment call. Jazz is not saying the guarantor lacks support — it is saying the support is not documented well enough to be credited right now. The SREO provides portfolio-level context, but it does not replace a current PFS for liquidity analysis. Jordan confirms that no sponsor credit should be applied until the updated PFS is received. That lets the Annual Review proceed now, without pretending the documentation is stronger than it is."

JAZZ BRIDGE NARRATION

Fires after Jordan clicks [Confirm Conservative Basis].

"Jordan has addressed all three exceptions. Exception 1 — the DSCR breach is real and no normalization applies. Exception 2 — the CCC does not hold up under Section 6.2 and the discrepancy is a material finding. Exception 3 — a financial reporting covenant exception has been logged, sponsor support is unconfirmed, and no mitigating credit has been applied. Jazz has assembled the full Annual Review package on a conservative basis with enhanced monitoring. The risk rating matrix is now unlocking."

RISK RATING MATRIX — POST CATEGORY 3 STATE

Unlocks fully after Jordan confirms Completeness.

Risk Rating Determination — Generating 🕒 *All three exceptions resolved — Jazz assembling recommendation*

Factor	Finding	Direction
DSCR	1.15x — below 1.20x floor — confirmed	↓ Negative
Occupancy	79% — below 80% floor	↓ Negative
CCC reconciliation	Non-reconciling — Section 6.2 does not support borrower treatment — material finding confirmed	↓ Negative
NOI trend	Declining	↓ Negative
Lease rollover	34% of GLA within 18 months	↓ Negative
Sponsor support / reporting exception	Unconfirmed — no sponsor credit applied — financial reporting exception logged · PFS request active	→ Neutral
Debt service	Current	↑ Mitigating
Sponsor engagement	Active	↑ Mitigating

Matrix note: "All three exceptions are now resolved. Five factors negative or neutral. Two mitigating. Jazz is generating the risk rating recommendation on a conservative basis."

BOTTOM PERSISTENT BAR

✓ · 0 categories remaining · [View Risk Rating]

Presenter note: "Three categories down. The counter is at zero. The matrix is fully populated and generating. Jordan clicks View Risk Rating. That is Act 3."

Click: [View Risk Rating]

→ Proceeds to **ACT 3 — Risk Rating Determination**

MODAL — COMPLETENESS EVIDENCE

Exception 3 — Sponsor Support Treatment · Sponsor Support Review *Opens as full overlay on Jazz Assessment screen when Jordan clicks [View Exception 3 Evidence]*

MODAL HEADER

Completeness Evidence — Financial Reporting Covenant + Sponsor

Documentation Review Marcus Webb · Guarantor · Review date: March 2026

Jazz note: "This modal surfaces the financial reporting requirement, PFS request history, sponsor-support documents, and monitoring recommendation Jordan must review to determine whether guarantor support can be credited in the risk rating at this time. Exceptions 1 and 2 already resolved the property-level performance and attestation issues. This review addresses documentation sufficiency only."

DOCUMENT 1 — FINANCIAL REPORTING COVENANT / PFS REQUIREMENT

Field	Detail
Requirement	Current guarantor PFS required within 12 months
Applies when	Relationship shows active covenant pressure
Cedar Grove status	✓ Applicable — DSCR and occupancy covenants breached
Current PFS on file	18 months old
Reporting status	Financial reporting covenant exception logged
Policy / covenant outcome	Current file does not satisfy reporting requirement

Jazz note: "Because Cedar Grove shows active covenant pressure, current sponsor financial documentation is required if sponsor support is to be credited as a mitigating factor. Jazz has logged the stale PFS as a financial reporting covenant exception, not merely a documentation gap."

DOCUMENT 2 — PFS REQUEST STATUS

Guarantor PFS — current status and outreach log

PFS STATUS

Field	Detail
PFS on file	✓ Yes — dated 18 months ago
PFS recency	⚠ Stale — policy requires within 12 months under covenant pressure
Current liquidity confirmed	✗ Cannot be confirmed on stale PFS
Sponsor credit in draft analysis	✗ None applied — conservative basis

REQUEST HISTORY

Date	Action	Status
18 days ago	Jazz generated PFS request letter — sent to Marcus Webb	✓ Sent
14 days ago	Automated follow-up — no response	⚠ No response
7 days ago	Second automated follow-up — no response	⚠ No response
Today	PFS not yet received	⚠ Outstanding

● **Jazz flag:** "Three outreach attempts have been made. No response received to date. The request is active. Jordan is not deciding whether to request the document. He is deciding whether to wait for it."

DOCUMENT 3 — SREO SUBMISSION

Schedule of Real Estate Owned — Marcus Webb — Webb Commercial Real Estate Group

SREO HEADER

Field	Detail
Document	Schedule of Real Estate Owned
Guarantor	Marcus Webb
Entity	Webb Commercial Real Estate Group

Submission date	January 2026
Properties listed	6
Jazz cross-check	Completed — available property and tax records reviewed
Cross-check result	✓ No obvious inconsistencies identified

SREO PROPERTY SUMMARY

#	Property Type	Location	Status
1	Grocery-anchored retail	Columbus, OH	✓ Current
2	Strip center	Columbus, OH	✓ Current
3	Mixed-use retail	Dublin, OH	✓ Current
4	Office building	Westerville, OH	✓ Current
5	Industrial flex	Grove City, OH	✓ Current
6	Retail pad site	Columbus, OH	✓ Current

Jazz note: "All 6 properties show current tax payment status in available public records. No liens, delinquencies, or ownership discrepancies identified in Jazz cross-check. Portfolio-level equity appears present based on SREO disclosure. Current liquidity detail requires the PFS — the SREO does not provide bank account balances, liquid assets, or personal income."

COMPLETENESS SUMMARY — PRE-CONFIRMATION

Element	Finding
PFS recency	✗ 18 months old — outside 12-month policy requirement
Request status	✗ Outstanding — 3 attempts — no updated PFS received
SREO submitted	✓ Yes — 6 properties
SREO cross-check	✓ No obvious inconsistencies
Liquidity verification	✗ Cannot be confirmed without current PFS
Reporting exception logged	⚠ Financial reporting covenant exception — PFS stale under active covenant pressure

Draft treatment	No sponsor support credit applied
Conservative basis available	 Yes
Enhanced monitoring if proceeding	Monthly rent roll · operating statement · DSCR recalculation until covenant cure
AR can proceed on conservative basis	 Yes

JORDAN'S REVIEW ACKNOWLEDGMENT

This modal is a review gate. It does not itself finalise Exception 3. The decision is made on the base screen.

Activation rule: The checkbox below becomes available only after Jordan has opened all three document sections above.

☐ **Jordan checks this box to mark the review complete:**

"I've reviewed the financial reporting covenant requirement, the outstanding PFS request status, the guarantor's submitted SREO, and the enhanced monitoring recommendation. Based on that evidence, sponsor support may not be sufficiently documented to be credited as a mitigating factor at this time. The Annual Review may proceed on a conservative basis with the financial reporting covenant exception logged, updated PFS tracked as a post-review condition, and enhanced monitoring activated."

MODAL FOOTER ACTIONS

[Close] ← closes without completing review · no state change

[Mark Completeness Review Complete]

No change to button label. Update helper text on return to base screen:

On Jordan clicking [Mark Completeness Review Complete]:

- Modal closes
- Returns Jordan to Exception 3 — Sponsor Support Treatment base screen
- Status indicator appears above YOUR DECISION:

 **Exception 3 evidence reviewed**

- Helper text: *"Jordan has reviewed the financial reporting covenant requirement, PFS request status, SREO context, and enhanced monitoring recommendation."*

He may now confirm whether the Annual Review should proceed on a conservative basis."**

- Both decision options on base screen activate
- **[Confirm Conservative Basis]** is green and prominent
- **[Hold — Await PFS]** is available but visually secondary

Presenter note: "Jordan is not being asked to invent sponsor support out of thin air. He reviews what is actually on file, what policy requires, and what is still missing. Jazz makes the conservative treatment visible — the SREO is supportive context but it is not a substitute for a current PFS. That is exactly the kind of documentation-sufficiency judgment portfolio managers make every day, and Jazz makes it explicit, auditable, and fast."

SERVICING ASSESSMENT — Primary Landing View

Section header: Servicing Assessment

Section description: Global state-of-the-relationship view. Every servicing category visible at a glance with traffic-light status. Green categories collapsed by default. Yellow and red categories visible and expanded. Each exception in Requires Jordan maps one-to-one to a red parent category here.

Default state on entry: Servicing Assessment is the landing view when Jordan opens JazzAssessment.

COUNTER BAR (*top of Servicing Assessment · always visible*)

Element	Value	Color
Categories — Complete	4	Green
Categories — Pending Upstream	1	Amber
Categories — Open (active + derivative red)	4	Red
Open Exceptions Requiring Resolution	3	Red
Overall Status	Pending — 3 exceptions required	Amber

Presenter note: *"Nine servicing categories under active monitoring this cycle. Four are complete. Four are flagged red — two active reds carrying Jordan's three exceptions (Financial Performance & Coverage holds two, Sponsor & Guarantor Monitoring holds one), and two derivative reds (Property Performance & Leasing, Covenant Compliance)*

that flip green automatically as upstream items resolve. One yellow — Risk Rating & AR Recommendation — finalizes when the exceptions resolve and the package submits."

CATEGORY CARDS — TRAFFIC LIGHT LAYOUT

Cards arranged top to bottom. Each card shows: category name, status pill, one-line summary, and click-through into the category detail.

● RED CATEGORIES — OPEN ISSUES (4) (expanded by default · visually emphasized)

Category	Status	Open issues
Property Performance & Leasing	● Derivative red	Occupancy 79% vs 80% floor · Suite 200 dark · NOI down \$276K · 34% GLA rollover · auto-resolves as upstream items resolve
Financial Performance & Coverage	● Active red · 2 exceptions	Jazz DSCR 1.15x vs 1.20x floor · CCC reports 1.25x · reconciliation required · [View Exceptions →]
Covenant Compliance	● Derivative red	DSCR test fails · occupancy test fails · CCC non-reconciling · auto-resolves as upstream items resolve
Sponsor & Guarantor Monitoring	● Active red · 1 exception	Guarantor PFS 18 months old · request outstanding 18 days · financial reporting covenant exception · [View Exception →]

● YELLOW CATEGORIES — PENDING UPSTREAM (1) (visible but not expanded)

Category	Status	What's pending
Risk Rating & AR Recommendation	⌚ Pending upstream exceptions	Risk rating recommendation locks once Jordan resolves 3 exceptions; AR package submits to Credit Officer at that point

● GREEN CATEGORIES — COMPLETE (4) (collapsed by default; click to expand evidence)

Category	Status	One-line summary
Relationship & Exposure	✓ Complete	Cedar Grove Holdings · 2 loans · \$18.6M total exposure · structure stable · sponsor engaged
Payment & Servicing History	✓ Complete	Debt service current both loans · 2027/2028 maturities · no servicing exceptions · prior AR Pass

Collateral Value & Property Condition	 Complete	No reappraisal trigger · no collateral exception · property condition adequate
Insurance, Taxes & Reserves	 Complete	Insurance certificate current · taxes paid · reserves funded · lender loss-payee correct

Note for build team: This is the 9-category servicing structure for the PM demo.

"Relationship & Exposure" is the first green category — the relationship-identity anchor.

"Annual Review Package Status" remains a strip (not a category) since it captures document-flow state, not a workstream. Pro Forma/Loan Sizing-equivalent doesn't exist in PM — Risk Rating & AR Recommendation is the equivalent yellow-pending payoff category.

Visual hierarchy: Red categories sit at top (expanded by default). Yellow category sits next (visible, single-line). Green categories collapsed at the bottom — click to expand evidence. The eye lands on red first, which is the directed-workflow signal.

On judgment resolution: As Jordan resolves each exception in Requires Jordan, the active red parent category flips to  Complete. When Financial Performance & Coverage and Sponsor & Guarantor Monitoring both clear, the two derivative reds (Property Performance & Leasing, Covenant Compliance) auto-flip green. Risk Rating & AR Recommendation flips from yellow to green when the AR package finalizes. End state: all 9 categories green, ready for Credit Officer submission.

Traffic-light semantics note: Red here signals "categories with open issues requiring attention," not "failed threshold / cannot proceed." Same semantic carry-over from the CA-12 override locked for the CA demo.

CATEGORY DRILL-IN BEHAVIOR

- Click any green card → right panel shows the evidence Jazz processed for that category (documents reviewed, numbers extracted, calculations performed). Read-only confirmation surface.
- Click the yellow card (Risk Rating & AR Recommendation) → right panel shows the rating matrix and what it needs from upstream resolutions. Read-only until upstream items resolve.
- Click any red card → right panel shows the work Jazz prepared within that category, the underlying issues, and (for active red cards) a **[View Exception →]** link that switches to the Requires Jordan sub-tab with that exception pre-selected.

METRIC OWNERSHIP RULE (Locked)

Each metric has one primary home. Other categories may reference results with a one-line callout — never re-report.

Metric	Primary owner	Reference appears in
Borrower / guarantor / entity / loans / total exposure / cross-collateralization	Relationship & Exposure	All other category panels can reference "the relationship" without restating structure
Loan maturity dates · refinance posture · rate-reset events	Payment & Servicing History	Relationship & Exposure shows current balances only — maturity is servicing-calendar info
DSCR (Jazz 1.15x · CCC 1.25x · prior 1.39x · full reconciliation)	Financial Performance & Coverage	Covenant Compliance references the test outcome only
Occupancy (79% · Suite 200 · leasing detail)	Property Performance & Leasing	Covenant Compliance references the test outcome only
PFS currency + sponsor support implications	Sponsor & Guarantor Monitoring	AR Package Status strip says "PFS outstanding"
Tenant-cost pressure under NNN	Property Performance & Leasing	Does NOT appear in Insurance/Taxes/Reserves
Insurance / tax / reserves currency	Insurance, Taxes & Reserves	AR Package Status strip says "indexed"
Prior AR context	Risk Rating & AR Recommendation	Relationship & Exposure shows prior AR conclusion as identity context

CATEGORY PANELS — Detailed View

Each category card in the Servicing Assessment overview drills into the detail panel below. Panels are listed in overview order. Click any card in the overview to open the corresponding panel as a right-side detail view.

CATEGORY — RELATIONSHIP & EXPOSURE

 **Complete** — No analyst action required

WHAT JAZZ DID

Jazz extracted and verified the relationship structure for the Cedar Grove Holdings relationship: borrower entity, guarantor, both loans, total exposure, cross-collateralization, and sponsor engagement context. The structure is intact and unchanged from the prior Annual Review — no ownership change, no entity restructuring, no new loan facilities, no material exposure movement this cycle.

This category is the relationship-identity anchor — what loans Jordan is responsible for, who he is dealing with, and what the total exposure is. It is the foundation context every other category reasons about.

Source: Loan documents · Entity records · Sponsor relationship file · Bank exposure system

RELATIONSHIP STRUCTURE

Field	Value
Relationship	Cedar Grove Holdings
Borrower	Cedar Grove Retail Holdings LLC — single-purpose entity
Guarantor	Marcus Webb (individual)
Sponsor entity	Webb Commercial Real Estate Group
Sponsor engagement	Active — responsive on operational matters
Relationship status	Existing borrower · performing through prior AR cycle
Prior AR conclusion	Pass · no prior conditions carried forward

LOANS IN THE RELATIONSHIP

Loan	Loan ID	Current Balance	Origination	Status
Cedar Grove Commons	LN-2021-0447	\$17.2M	2021	 Current
Cedar Grove Outparcel Note	LN-2021-0448	\$1.4M	2021	 Current
Total Exposure	—	\$18.6M	—	—

Structure notes:

- Cedar Grove Commons is the primary loan — anchor property collateral
- Outparcel Note is sub-secured by the outparcel parcel of the same property
- Cross-collateralization: Both loans cross-collateralized · cross-default provisions apply
- No new facilities this cycle · no material exposure movement · no entity restructuring

Status:  Complete — relationship and exposure structure intact and stable

ACTIONS

- **[View Loan Documents]** → both loans with originating terms
- **[View Sponsor Relationship File]** → engagement history and contact log
- **[View Entity Documents]** → borrower entity certifications and good-standing

PRESENTER NOTE

"Relationship & Exposure is the foundation. Cedar Grove Holdings — two loans cross-collateralized for \$18.6M total exposure, single-purpose-entity borrower, individual guarantor with a commercial real estate group. Structure is intact and unchanged from prior AR. This category exists at the top of the green block because every other category is reasoning about these loans and this borrower. When this is clean — which it is — Jordan can focus on what's not clean."

CATEGORY — PAYMENT & SERVICING HISTORY

 **Complete** — No analyst action required

WHAT JAZZ DID

Jazz reviewed payment behavior across both loans, checked the servicing calendar for upcoming maturity events, and verified there are no near-term refinance or rate-reset triggers this cycle. Debt service is current on both loans. Jazz cross-referenced the trailing 24 months for any past-due history, modifications, waivers, reserve draws, or servicing exceptions — none identified. Cedar Grove Commons matures in 2028 (~2 years out) and the Outparcel Note matures in 2027 (~1 year out). Both loans are fixed-rate through maturity — no rate-reset risk. The prior Annual Review concluded in 2025 with a Pass rating and no prior conditions carried forward.

This category covers payment behavior plus the servicing calendar — when do we need to do something next.

Source: Bank servicing system · Loan servicing history · Loan agreement maturity schedule · Borrower communications log · Prior AR file

SERVICING SUMMARY

Item	Cedar Grove Commons	Outparcel Note
Loan ID	LN-2021-0447	LN-2021-0448
Current balance	\$17.2M	\$1.4M
Debt service status	✅ Current	✅ Current
Past-due history (24 months)	None	None
Modifications	None	None
Prior waivers	None	None
Reserve / escrow draws	None	None
Watch list status	Not on watch list	Not on watch list
Maturity date	2028	2027
Maturity horizon	~2 years	~1 year
Rate structure	Fixed through maturity	Fixed
Refinance discussions initiated	No	No
Prior AR conclusion	Pass — no prior conditions	Pass — no prior conditions

MATURITY & FORWARD-TRACKING

Both loans are fixed-rate through maturity — no rate-reset events. Cedar Grove Commons (2028) and Outparcel Note (2027) are the next material maturity events for the relationship. Both are on Jazz's forward-tracking calendar but do not require action this AR cycle. The Outparcel Note approaches its 2027 maturity within the next ~12 months — at the next AR cycle, refinance posture for the Outparcel should be assessed.

Forward-tracking flag set: Yes — review at next AR cycle

Status: ✅ Complete — clean servicing history across the relationship · no near-term maturity event requiring action this cycle

ACTIONS

- [**View Servicing History**] → opens payment ledger and modification history
- [**View Loan Maturity Schedule**] → both loans with key dates and forward-tracking
- [**View Prior AR File**] → opens prior Annual Review package

PRESENTER NOTE

"Payment & Servicing History is the cleanest workflow category in the file. Both loans are paying as agreed. No mods, no waivers, no escrow shortfalls, no past-due history. And the servicing calendar is clean — both loans are fixed-rate, no rate resets, maturities are 2027 and 2028. The Outparcel approaches its 2027 maturity in the next twelve months, so refinance posture goes on the watchlist for next year's cycle — but nothing requires action today. Even with the operational pressure in Property Performance and the coverage exception in Financial Performance, the borrower is meeting its debt service obligations. That's meaningful credit context."

CATEGORY — PROPERTY PERFORMANCE & LEASING

● **Derivative red** — *Underlying issues resolve as upstream exceptions clear*

WHAT JAZZ DID

Jazz spread the trailing-twelve operating statement, reconciled it against the prior-year period, isolated the drivers of NOI decline, ingested the current rent roll, and identified leases expiring within the 24-month window. The property is currently 79% occupied — below the 80% covenant floor. Suite 200 (12,400 sf · ~15% of GLA) is dark following the tenant departure 7 months ago. A replacement lease has been executed but rent commencement is approximately 60 days out — Jazz isolated this as the driver of the borrower CCC discrepancy (see Financial Performance & Coverage for the reconciliation).

NOI is down \$276K versus the prior-year period — Suite 200 vacancy accounts for \$147K of that decline; the balance reflects tenant-cost pressure under NNN leases as CAM, insurance, and tax increases passed through to tenants compress effective recoveries. 34% of GLA is on leases rolling within 24 months — elevated rollover concentration, though not yet a covenant-relevant event.

This category is shown as derivative red because the operational story is evidence supporting Exception 1 (Bank-Side DSCR Calculation) and Exception 2 (Borrower CCC Attestation Review), both of which sit in Financial Performance & Coverage. Jordan does not make a separate occupancy determination here — he uses this evidence when reviewing the DSCR calculation.

Source: T-12 operating statement · Rent roll · Lease schedule · Suite 200 lease (executed)

OCCUPANCY DETAIL

Metric	Value	Status
Current physical occupancy	79%	Below 80% covenant floor
Prior period occupancy	92%	Pre-Suite 200 departure
Suite 200 (12,400 sf)	Dark — 7 months	Replacement lease executed · rent commencement ~60 days out
Lease rollover within 24 months	34% of GLA	Elevated concentration
Average remaining lease term (post-rollover)	5.2 years	Stable

NOI DRIVERS — YEAR OVER YEAR

Driver	Impact on NOI
Suite 200 vacancy	-\$147K
Tenant-cost pressure (CAM/insurance/tax pass-through compression)	-\$84K
Smaller tenant concessions and free rent	-\$45K
Total NOI decline	-\$276K

Note: Tenant-cost pressure under NNN leases reflects rising CAM/insurance/tax allocations being passed through to tenants, compressing the effective recoveries the property can collect. This is a property-performance issue, not an insurance/tax compliance issue. Per the metric ownership rule, it lives here, not in Insurance, Taxes & Reserves.

RELATED EXCEPTIONS

Exception	Lives in	Why it matters here
Exception 1 — Bank-Side DSCR Calculation	Financial Performance & Coverage	Property operating reality drives the DSCR calc

Exception 2 — Borrower CCC Attestation Review	Financial Performance & Coverage	Suite 200 forward rent inclusion is the CCC discrepancy driver
---	----------------------------------	--

ACTIONS

- **[View Property Operating Statement]** → opens T-12 spread
- **[View Rent Roll]** → tenant-by-tenant detail
- **[View Suite 200 Lease]** → executed replacement lease

PRESENTER NOTE

"Property Performance is the operational story driving everything else. Occupancy is below the 80% floor — but Suite 200 is the structural driver, and a replacement lease is executed. NOI is down \$276K — about half is Suite 200, the rest is tenant-cost pressure under NNN. 34% of GLA rolls in the next 24 months — elevated, but stable lease terms underneath. The category is red because the underlying numbers don't pass their thresholds — but it's not where Jordan makes a separate decision. Jordan validates the DSCR in Exception 1, where this evidence is used."

CATEGORY — FINANCIAL PERFORMANCE & COVERAGE

 **Active red — 2 open exceptions**

WHAT JAZZ DID

Jazz spread the T-12 operating statement, calculated the bank-side DSCR at 1.15x, compared it against the prior Annual Review DSCR of 1.39x, identified the \$276K NOI decline, and ingested the borrower's Covenant Compliance Certificate (CCC) which reports DSCR at 1.25x. Jazz cross-referenced the CCC income schedule against the underlying lease economics and isolated the source of the discrepancy: the borrower CCC includes \$117,600 of annualized Suite 200 rent that is not yet in payment. Under the loan agreement Section 6.2, income must be currently in payment as of the calculation date.

This category owns the full DSCR story end-to-end — calculation, reconciliation, and trend. Two of Jordan's three exceptions live here: Exception 1 (Bank-Side DSCR Calculation) and Exception 2 (Borrower CCC Attestation Review).

Source: T-12 operating statement · Annual debt service schedule · Prior AR file · Borrower CCC · Suite 200 lease · Loan agreement Section 6.2

DSCR RECONCILIATION TABLE

Source	Value	Basis
Prior Annual Review DSCR	1.39x	T-12 — fully occupied — no vacancy adjustment
Bank-side DSCR (Jazz calculation)	1.15x	T-12 basis · Suite 200 not in payment · no normalization applied
Borrower CCC attestation	1.25x	Includes \$117,600 annualized Suite 200 rent (rent commencement ~60 days out)
DSCR covenant floor	1.20x	Loan agreement Section 4.1
Difference (Bank vs Borrower CCC)	0.10x	\$117,600 Suite 200 forward rent inclusion
Coverage thinning vs prior AR	-0.24x	Driven primarily by NOI decline of \$276K

NOI BRIDGE — PRIOR AR vs CURRENT

Line Item	Prior AR	Current T-12	Change
Effective Gross Income	\$3,420,000	\$3,144,000	-\$276,000
Total Expenses	\$1,140,000	\$1,140,000	\$0
NOI	\$2,280,000	\$2,004,000	-\$276,000
Annual Debt Service	\$1,640,000	\$1,742,000	+\$102,000
DSCR	1.39x	1.15x	-0.24x

The 1.15x figure is the bank-side calculation. The borrower CCC produces 1.25x by including the \$117,600 of annualized Suite 200 rent that is not yet in payment.

OPEN EXCEPTIONS IN THIS CATEGORY

Exception	Type	Status	Action
Bank-Side DSCR Calculation	Coverage / Performance	Open — Jordan confirmation required	[View Exception →] opens Requires Jordan — Exception 1
Borrower CCC Attestation Review	Reporting / Verification	Open — Jordan determination required	[View Exception →] opens Requires Jordan — Exception 2

ACTIONS

- **[View T-12 Spread]** → full operating statement

- **[View Borrower CCC]** → covenant compliance certificate as submitted
- **[View CCC Cross-Reference]** → line-by-line reconciliation Jazz performed

PRESENTER NOTE

"Financial Performance & Coverage owns the DSCR story. Jazz calculated 1.15x bank-side, which is below the 1.20x floor and well below the prior 1.39x. The borrower CCC says 1.25x — and Jazz isolated exactly why. \$117,600 of Suite 200 rent the borrower included as current income, but rent commencement is still 60 days away. Under Section 6.2, that's not in payment. Two exceptions live here. Jordan confirms the bank calculation, then determines whether the borrower's attestation is acceptable under the covenant definition. The full math is here — Covenant Compliance and Property Performance reference this, they don't repeat it."

CATEGORY — COVENANT COMPLIANCE

● **Derivative red** — Test outcomes update as upstream exceptions resolve

WHAT JAZZ DID

Jazz ran the full covenant test set against current borrower reporting. Three financial covenant tests are flagged — two are failing on the bank-side calculation, one is the CCC reconciliation. Reporting covenants are current on the principal items (T-12, leasing update, CCC submission) with one exception: updated guarantor PFS is outstanding 18 days, triggering a financial reporting covenant exception (the specific issue inside Exception 3).

This category aggregates covenant outcomes. It does not re-run the DSCR math (that lives in Financial Performance & Coverage) or re-report the occupancy detail (that lives in Property Performance & Leasing) — it shows the legal threshold view.

Source: Loan agreement covenant schedule · Jazz calculation results · Borrower CCC

COVENANT TEST SUMMARY

Covenant	Threshold	Current	Status	Detail
DSCR (financial)	≥1.20x	1.15x bank-side / 1.25x borrower	● Below floor (bank-side)	See Financial Performance & Coverage
Occupancy (financial)	≥80%	79%	● Below floor	See Property Performance & Leasing

CCC reconciliation (reporting)	Reconciles	Non-reconciling	● Open — see Exception 2	See Financial Performance & Coverage
Financial reporting — operating statements	Timely	✓ Current	● In compliance	—
Financial reporting — rent roll	Timely	✓ Current	● In compliance	—
Financial reporting — guarantor PFS	Within 12 months	18 months old · 18 days outstanding	● Exception logged	See Exception 3
Financial reporting — insurance certificate	Current	✓ Current	● In compliance	See Insurance, Taxes & Reserves
Affirmative covenants	Compliance	✓ Compliant	● In compliance	—
Negative covenants	No breaches	✓ No breaches	● In compliance	—

Status: Three financial covenant tests open. All resolve as Jordan completes the three exceptions in Requires Jordan: Exception 1 (DSCR), Exception 2 (CCC), Exception 3 (PFS).

OPEN ITEMS IN THIS CATEGORY

None directly. This category has no exception of its own. Its status is fully derivative on Financial Performance & Coverage and Sponsor & Guarantor Monitoring.

ACTIONS

- [**View Covenant Schedule**] → loan agreement covenant detail
- [**View Test Results**] → all 9 covenant tests with calculation traceability

PRESENTER NOTE

"Covenant Compliance is the legal-threshold view. DSCR fails, occupancy fails, PFS is exception. But this category doesn't re-run the math — Financial Performance owns the

DSCR calc, Property Performance owns occupancy detail, Sponsor & Guarantor owns the PFS implication. This is the compliance summary. When Jordan resolves the three exceptions upstream, this category flips green automatically. It's not a separate workstream."

CATEGORY — SPONSOR & GUARANTOR MONITORING

● Active red — 1 open exception

WHAT JAZZ DID

Jazz cross-checked the sponsor and guarantor materials on file: the Schedule of Real Estate Owned (SREO) submitted in January 2026 listing 6 properties; available property and tax records for each SREO entry; sponsor engagement history (active communications); and the guarantor's Personal Financial Statement (PFS) of record. The PFS is 18 months old — outside the 12-month requirement triggered by the relationship's active covenant pressure. Jazz issued the updated PFS request 18 days ago and has logged three outreach attempts with no response. This has been logged as a financial reporting covenant exception under the loan agreement.

Jazz cross-referenced the SREO entries against available property and tax records and identified no obvious inconsistencies. The SREO provides portfolio-level context. It does not provide current liquidity detail — bank balances, near-term capacity, contingent liabilities.

The open exception in this category is Exception 3 — Sponsor Support Treatment. Jordan decides whether sponsor support can be credited in the risk rating without the current PFS, or whether to hold the AR for the updated document.

Source: SREO (January 2026 submission) · Sponsor financial statements on file · Guarantor PFS (18 months old) · Bank relationship records · Outreach log

SPONSOR SUMMARY — WEBB COMMERCIAL REAL ESTATE GROUP

Item	Value
Sponsor / Guarantor	Marcus Webb · Webb Commercial Real Estate Group
Engagement	Active — sponsor responsive on operational matters
SREO submitted	January 2026 · 6 properties listed
SREO cross-check	✔ No obvious inconsistencies vs property and tax records

Guarantor PFS — last on file	18 months old
Updated PFS request status	Outstanding 18 days · 3 outreach attempts · no response
Current liquidity detail	Not refreshed since PFS submission
Financial reporting covenant exception	Logged · Pending Jordan's treatment decision
Sponsor support credit in draft risk analysis	✗ Not currently applied — conservative basis pending Exception 3

WHY THIS CATEGORY IS RED

Cedar Grove qualifies for the active covenant pressure clause because DSCR and occupancy are below thresholds. Under that clause, the guarantor PFS must be within 12 months. The current PFS is 18 months old. That triggers a financial reporting covenant exception that requires Jordan's treatment decision — proceed conservatively without sponsor credit (and capture as post-review condition for ongoing follow-up), or hold the AR until the updated PFS arrives.

OPEN EXCEPTIONS IN THIS CATEGORY

Exception	Type	Status	Action
Sponsor Support Treatment	Completeness	Open — Jordan decision required	[View Exception →] opens Requires Jordan — Exception 3

ACTIONS

- **[View SREO]** → 6-property schedule with Jazz cross-check notes
- **[View Outreach Log]** → PFS request and three follow-up attempts
- **[View Sponsor Relationship File]** → engagement history

PRESENTER NOTE

"Sponsor & Guarantor Monitoring is the third active exception. SREO is in, cross-checked, clean. Sponsor is engaged. But the PFS is 18 months old and we're under active covenant pressure, which requires a 12-month PFS. Jazz logged that as a financial reporting covenant exception. Marcus Webb hasn't responded in 18 days despite three outreach attempts. Jordan has to decide — proceed conservatively without sponsor credit, or hold for the PFS. That's Exception 3."

CATEGORY — COLLATERAL VALUE & PROPERTY CONDITION

 **Complete** — No analyst action required

WHAT JAZZ DID

Jazz reviewed the collateral file for any re-appraisal triggers, property condition flags, environmental concerns, or insurance-claim-driven valuation events. None identified. The most recent appraisal (2023, at origination) remains valid under the bank's re-appraisal policy — no triggering event has occurred (no material default, no significant market repricing in the submarket, no physical damage event, no loss event). Property condition reports on file indicate no deferred maintenance issues requiring escalation. Tenant rollover and tenant-cost pressure exist as property performance issues (handled in Property Performance & Leasing) but do not, in themselves, trigger a re-appraisal under bank policy.

Source: Appraisal file (2023) · Property condition reports · Bank re-appraisal policy · Loan covenants Section 7.3

COLLATERAL SUMMARY

Item	Status
Re-appraisal trigger	None identified
Most recent appraisal	2023 (at origination) — within policy validity
Property condition reports	 Current · no deferred maintenance flags
Environmental concerns	None
Insurance claims affecting value	None
Submarket valuation pressure	Stable — no material repricing event

Status:  Complete — no collateral or valuation exception surfaced

ACTIONS

- [**View Appraisal File**] → most recent appraisal and review notes
- [**View Property Condition Reports**] → current inspection summary

PRESENTER NOTE

"Collateral Value & Property Condition is a clean green. No re-appraisal trigger, no condition issues, no environmental concerns. Jazz checks this every cycle. When it's clean, it's a single sentence in the AR — but it's a sentence the audience expects to see. Servicing leaders track this dimension."

CATEGORY — INSURANCE, TAXES & RESERVES

● **Complete** — No analyst action required

WHAT JAZZ DID

Jazz verified the servicing-control items on the relationship: insurance certificate currency, coverage adequacy against lender requirements, lender loss-payee / mortgagee clause structure, real estate tax payment status, and reserve/escrow funding compliance. All items current and compliant.

The insurance certificate is current and within renewal window. Coverage levels meet bank requirements. Lender loss-payee is correctly named on the certificate. Real estate tax bills for the most recent installment have been paid; tax escrows are funded per the loan agreement. Replacement reserves and any other contractually required escrows are at or above required balances.

Source: Insurance binder · Tax payment records · Loan agreement reserve/escrow requirements · Bank servicing system

SERVICING CONTROL SUMMARY

Item	Status
Insurance certificate	✓ Current — within renewal window
Coverage adequacy vs. lender requirements	✓ Within policy
Lender loss-payee / mortgagee clause	✓ Correctly structured
Insurance renewal date	Tracked
Real estate tax payment (most recent installment)	✓ Paid
Tax escrow balance	✓ Funded per loan agreement
Replacement reserves	✓ Funded
Other contractual escrows	✓ Funded

Status: ✓ Complete — all servicing controls current

Note: Tenant-cost pressure from CAM/insurance/tax pass-through is a property-performance issue and lives in Property Performance & Leasing — not here. This category is about whether the borrower is meeting its servicing-control obligations (certificates current, taxes paid, reserves funded). Per the metric ownership rule.

ACTIONS

- [**View Insurance Binder**] → current certificate and coverage detail
- [**View Tax Payment Records**] → most recent installment confirmation
- [**View Reserve Balances**] → all required escrows with current balances

PRESENTER NOTE

"Insurance, Taxes & Reserves is a servicing-control category, not a property-performance category. Insurance is current, certificate is on file, lender loss-payee is correctly named. Taxes paid. Reserves funded. The fact that CAM/insurance/tax costs are pressuring tenants under NNN — that's a property issue, that lives in Property Performance. This category is about whether the bank's servicing controls are intact. They are."

CATEGORY — RISK RATING & AR RECOMMENDATION

● **Pending upstream exceptions** — *Recommendation locks once Jordan resolves Exceptions 1, 2, 3*

WHAT JAZZ DID

Jazz prepared the risk rating analysis framework: prior AR conclusion (Pass · 1.39x DSCR · no prior conditions); the credit picture under current conditions (DSCR 1.15x · occupancy 79% · NOI down \$276K · PFS exception); a draft recommended rating; and the proposed post-review conditions to capture at AR submission. The recommendation cannot be locked until Jordan resolves the three exceptions in Requires Jordan, because the operative DSCR, the CCC treatment, and the sponsor support treatment all feed the rating outcome.

This category is the payoff layer — equivalent in role to Loan Sizing & Coverage in the CA demo. When Jordan resolves the three exceptions, this category flips from yellow to green, the risk rating recommendation locks, and the AR package becomes submittable to the Credit Officer.

Source: Prior AR file · Bank risk rating policy · All upstream categories · Draft AR conclusion

PRIOR AR CONTEXT

Item	Value
Prior AR date	March 2025
Prior rating	Pass

Prior DSCR	1.39x
Prior occupancy	92%
Prior conditions carried forward	None

CURRENT CREDIT PICTURE

Item	Value
Current DSCR (Jazz bank-side)	1.15x — pending Exception 1 confirmation
Current occupancy	79% — Suite 200 dark · replacement lease executed
NOI change vs prior AR	-\$276K
Coverage thinning	-0.24x DSCR vs prior
CCC reconciliation	Open — pending Exception 2
Sponsor support credit	Not currently applied — pending Exception 3

DRAFT RECOMMENDED RATING — Pending Jordan's confirmation

Recommendation: Special Mention — Watchlist

Rationale (draft): Operating deterioration is real and the DSCR breach is meaningful, but debt service is current, sponsor is engaged, prior AR was clean, and the Suite 200 vacancy has a replacement lease executed with rent commencement near-term. Special Mention — Watchlist captures the heightened monitoring stance without classifying the loan adversely. Final rating locks after Jordan resolves Exceptions 1, 2, 3.

DRAFT POST-REVIEW CONDITIONS — to capture at submission

Condition	Type	Frequency
Enhanced monitoring — quarterly review	Monitoring	Quarterly
Updated guarantor PFS upon receipt	Documentation	One-time
Suite 200 rent commencement confirmation	Operational	When activated
Property performance report	Reporting	Quarterly
DSCR re-test against current period	Coverage	Quarterly

These post-review conditions are not legal covenant amendments — they are AR-level monitoring requirements captured at submission. The borrower remains subject to the same loan covenants.

ACTIONS

- *State 1 — Pre-resolution: [Resolve Exceptions in Requires Jordan]* → navigates to Requires Jordan sub-tab
- *State 2 — Post-resolution: [Lock Risk Rating Recommendation] · [Submit AR Package to Credit Officer]*

PRESENTER NOTE

"Risk Rating & AR Recommendation is the yellow card — the payoff. Prior AR was Pass at 1.39x. Today's picture is materially worse. Jazz drafted Special Mention — Watchlist as the recommendation, with rationale and a set of post-review conditions for enhanced monitoring. But nothing locks until Jordan resolves the three exceptions. When he does, this card flips green. The rating recommendation locks. The AR package becomes submittable. That's the payoff moment."

PRESENTER PATH NOTE

"The Servicing Assessment view tells a precise story. Four categories complete before Jordan touches anything — Relationship & Exposure (the foundation), Payment & Servicing History (with maturity calendar folded in), Collateral Value & Property Condition, and Insurance/Taxes/Reserves. Two active red categories carry the three exceptions Jordan resolves (Financial Performance & Coverage holds two, Sponsor & Guarantor Monitoring holds one). Two derivative reds (Property Performance & Leasing, Covenant Compliance) flip green automatically as the upstream exceptions resolve. One yellow — Risk Rating & AR Recommendation — finalizes when the exceptions clear and the AR package submits. By the time Jordan resolves all three exceptions every category in the overview is green. That is the full picture of what Jazz and Jordan accomplish together."

If an audience member asks 'what did Jazz actually do?' the presenter clicks into any category panel and walks through the evidence. Financial Performance & Coverage is the most demo-valuable — it shows the full DSCR reconciliation, including how Jazz isolated the \$117,600 Suite 200 forward-rent inclusion that explains the borrower CCC discrepancy. That is the deepest analytical beat in the PM demo."

PM SERVICING TAXONOMY (11 CATEGORIES) + 4-EXCEPTION SPINE — LOCKED
Cedar Grove · middle-market bank-held CRE · servicing / Annual Review

Back-end taxonomy = what a PM checks. Visible screen = a subset. Live exceptions = what Jordan decides. These are three different layers; this file locks all three.

Credibility tags (one per threshold, carried as hidden metadata): **REG** = regulatory anchor · **POL** = bank policy threshold · **LA** = loan-agreement threshold · **MKT** = market convention.

PART A — THE 10-CATEGORY SERVICING TAXONOMY

#	First-order category	What it covers	Screen state	Hosts live exception?	Primary verified anchor	Status vs draft
1	Relationship & Exposure	Borrower, guarantor, facilities, total exposure, cross-collateral/cross-default treatment	 Cleared	—	OCC <i>CRE Lending</i> booklet v2.0 (Mar 2022), File Documentation; FDIC RMS Manual §3.2	Existing
2	Payment & Servicing History	Payment record, late/missed, modifications, waivers, forbearance, servicing events	 Cleared	—	OCC <i>CRE Lending</i> v2.0, Analyzing Repayment Capacity; OCC <i>Rating Credit Risk</i> (payment status can mask risk, p. 55)	Existing
3	Financial Performance & Coverage	NOI, DSCR, debt yield, operating trend, coverage cushion	 Pending	Exception 1 — Coverage Breach & Cure Path	DSCR/occupancy floors = LA (facility §4.1/§6.2); methodology = OCC <i>CRE Lending</i> v2.0, Income-Producing Credit Admin	Existing

4	Property Performance & Leasing	Occupancy, rollover, tenant/anchor concentration, co-tenancy, leasing trajectory, submarket context	 Pending	Exception 2 — Occupancy & Leasing Trajectory	Occupancy covenant = LA (§4.2); co-tenancy/anchor = MKT /lease; submarket monitoring = <i>OCC CRE Lending v2.0</i>	Existing (Market folded in — see note)
6	Sponsor & Guarantor Support	PFS/SREO recency, liquidity, net worth, contingent liabilities, global cash flow	 Pending	Exception 4 — Guarantor Reporting & Global Support	PFS 12-month recency = LA/POL ; global-CF/sponsor analysis = 2023 Interagency CRE Workouts Policy Statement (OCC Bulletin 2023-23)	Existing (renamed from "Monitoring")
7	Collateral Valuation & Property Condition	Appraisal validity, LTV signal, inspection, deferred maintenance, environmental	 Pending	Exception 3 — Appraisal Validity & LTV Stress Review	Appraisal validity = REG (2010 Interagency Appraisal & Evaluation Guidelines, OCC Bulletin 2010-42); SLTV 85% = REG (12 CFR Part 34 Subpart D App. A); 80% ceiling = POL	Existing → elevated from Cleared to live exception

8	Insurance, Taxes, Flood & Reserves	Coverage, mortgagee clause, tax status, flood requirement, escrow/reserve adequacy	● Cleared	—	Flood coverage = REG (12 CFR Part 22); reserve/escrow adequacy = LA/POL	Existing (+Flood named)
9	Maturity & Refinance Risk	Maturity wall, extension options, refinance feasibility, rate/DSCR pressure at takeout	● Monitored	— <i>(no live trigger — maturities 2028/2031)</i>	OCC Bulletin 2024-29, "Commercial Lending: Refinance Risk" (Oct 3 2024)	New (was buried in Payment)
10	Concentration & Portfolio Drift	Single-borrower, tenant, property-type, geographic, CRE-vs-capital concentration	● Monitored	—	2006 Interagency CRE Concentration Guidance (OCC 2006-46) — 100%/300% = REG screening criteria, not caps ; single-obligor sub-limits = POL	New
11	Risk Rating & Management Posture	Pass/Special Mention/Substandard, watchlist, enhanced monitoring, Credit handoff	🔒 Output	— <i>(the crescendo — next phase)</i>	OCC <i>Rating Credit Risk</i> ; classification defs = REG (interagency Uniform Agreement, via FDIC RMS §3.2)	Existing

Screen realization: 8 visible category tiles (1,2,3,4,6,7,8 + the Market sub-panel) + 2 new monitored tiles (9 Maturity, 10 Concentration) + the output (11). Category 5 realizes as the **AR covenant scorecard** inside the AR package (already built), not a separate decision tile — this honors the rebuild's "covenant decisions don't live in a derivative tile" lock while restoring covenant compliance as a first-order *check*.

Market & Submarket: folded as a sub-analysis under Property Performance & Leasing (its verdict routes to the leasing decision) with cap-rate corroboration feeding Collateral. It MAY remain a visible cleared tile if the team wants the explicit "Jazz checked the market" beat — taxonomy-neutral, screen-optional.

PART B — THE 4-EXCEPTION SPINE (one per category, no category shared)

# Exception	Category (from Part A)	Trigger (tag)	Capability shown	Closure	Status
1	Coverage Breach & Cure Path	3 · Financial Performance & Coverage DSCR 1.15x vs 1.20x floor (LA); \$117.6K Suite 200 forward rent = sole 0.10x gap	Compute + cross-document reconcile (income)	M2 + cure-tracked	Existing
2	Occupancy & Leasing Trajectory	4 · Property Performance & Leasing Occupancy 79% vs 80% floor (LA); softening-vs-decline judgment	Trajectory analysis + two-readings judgment	Judgment/posture (A/B)	Existing
3	Appraisal Validity & LTV Stress Review	7 · Collateral Valuation & Property Condition April 2025 appraisal predates FY2025 NOI decline (REG validity trigger); NOI-only stressed LTV	Compute NOI-only stressed LTV on correct basis + validity	M2 → watchlist-and-monitor	NEW (replaces CCC Attestation Review)

# Exception	Category (from Part A)	Trigger (tag)	Capability shown	Closure	Status
4	Guarantor Reporting & Global Support	6 · Sponsor & Guarantor Support	~83% — above 80% policy, within 85% supervisory PFS 18 mo old vs 12-mo requirement (LA/POL); outstanding 18 days / 3 attempts	Request-draft + extract-on-receipt + global-CF recompute M3	Existing (renamed; renumbered 3→4)

Position-based numbering (locked) follows the CRE review arc: **income coverage** → **leasing trajectory** → **collateral value** → **sponsor support**. Guarantor moves from old Exception 3 to Exception 4; the built Guarantor file renumbers accordingly.

What this set buys (range the old 3 lacked):

- **Capability:** reconcile · judge · stress-test · chase — four distinct things Jazz does.
- **Closure:** M2 · judgment · M2→watchlist · M3 — four distinct methods.
- **Data dimension:** income · property performance · collateral value · sponsor — four corners of the credit.
- **Decision type:** confirm the number · set the posture · assess validity · proceed-or-hold.

Dropped: *Borrower CCC Attestation Review* as a standalone exception — its \$117.6K reconciliation already lives inside Exception 1 as evidence; promoting it to a separate decision was the "same deterioration story twice" weakness. Removed from the spine; retained as evidence in Exception 1.

CLOSURE METHODS & ARCHETYPES (the full catalog, for assigning every condition)

ID / archetype	Definition
M1 — Read & clear	Jazz flags; Jordan reads Jazz's reasoning, agrees, clears.
M2 — Compute & verify	Jazz performs the calculation, presents workings + evidence; Jordan reviews and clears.
M3 — Request, extract & approve	Something needed from client/document; Jazz drafts the request, Jordan sends, Jazz fully extracts/analyzes on receipt, Jordan approves.
Auto-reconcile → exceptions only	Jazz reconciles against an authoritative feed/system (tax status, insurance-in-force, scheduled payments); surfaces only mismatches.
Escalate-with-briefing-pack	Above Jordan's delegated authority (downgrade to Substandard, waiver, modification) → Jazz assembles a briefing pack with recomputed metrics + recommendation; routes to Credit Officer.
Watchlist-and-monitor (re-trigger)	Add to watchlist with a defined re-test ("re-test DSCR next quarter; auto-escalate if <1.15x or 30+ DPD").
Waiver/exception-validated clear	Breach cleared via a documented, approved waiver carrying an expiry and conditions; monitoring continues.

Spine mix: M2 ×2, judgment ×1, M3 ×1, with watchlist-and-monitor riding Exception 3. Deliberately not all-M1 — the demo shows compute, judge, and chase, not just acknowledge.

FEEDS THE NEXT PHASE (Risk Rating & AR Package — not designed here)

- The crescendo unlock now requires **four** resolved judgments, not three. Matrix gains a **resolved collateral-validity factor** (was a routed signal).
- Category 5 → the **AR covenant scorecard** (already built in the AR modal).
- Categories 9 & 10 → monitored rating *inputs* (refinance-risk posture; concentration context), not live exceptions.
- Closure methods map to the rating: M2/judgment → resolved factors; M3 → conditional factor + post-review condition; watchlist → enhanced-monitoring posture.

ACT 2 — RISK RATING DETERMINATION

RISK RATING RECOMMENDATION

Jordan clicks [**View Risk Rating**] from the bottom persistent bar. The right panel transitions to the Risk Rating Determination view. Jazz Assessment tab remains active.

PERSISTENT RELATIONSHIP BANNER

Field	Value
Relationship	Cedar Grove — Cedar Grove Retail Holdings LLC
Exposure	\$18.6M
AR Due	14 days
Last Rating	Pass
Status	Annual Review in progress

Quick Links — top right: Annual Review · Documents

PERSISTENT TAB BAR

Highlights · Jazz Assessment ← active · | · Annual Review · Documents

COUNTER BAR

 **All 3 categories resolved** · Rating generating

LEFT PANEL — FINAL STATE

REQUIRES JORDAN — 0

Category	Status
Exception 1	 Confirmed
Exception 2	 Confirmed
Exception 3	 Confirmed

SERVICING ASSESSMENT — all 9 categories complete

#	Item	Status
1	Relationship Structure	 Cleared
2	Cedar Grove Outparcel Note	 Cleared
3	Payment History	 Cleared

4	Prior Annual Review	✓ Cleared
5	T-12 Operating Statement	✓ Confirmed
6	Covenant and Documentation Tests	✓ Confirmed
7	CCC Cross-Reference	✓ Confirmed
8	SREO Verification	✓ Confirmed

RIGHT PANEL — RISK RATING DETERMINATION

GENERATING ANIMATION

Brief animation — 2–3 seconds — fires after Exception 3 confirmation.

Animation label: "Jazz is assembling the Annual Review recommendation based on Jordan's confirmed findings..."

After animation completes — summary view populates:

JAZZ RECOMMENDED RATING

Cedar Grove — Annual Review March 2026 Cedar Grove Retail Holdings LLC · \$18.6M total exposure

RECOMMENDED RATING BADGE

● **Jazz Recommended Rating: Special Mention — Watchlist equivalent · pending Jordan's confirmation**

*Jazz note: "**Based on Jordan's confirmed findings across all three exceptions, Jazz recommends a relationship-level rating of Special Mention — Watchlist equivalent for Cedar Grove. Jordan must review the full rationale and confirm before this rating is final.**"*

RISK RATING MATRIX — SUMMARY VIEW

Condensed — eight rows — findings and directions. Full narrative and weight analysis available in [View Full Rating Rationale].

Factor	Recommended Basis	Direction
DSCR	1.15x — below 1.20x floor — confirmed	↓ Negative
Occupancy	79% — below 80% floor	↓ Negative

CCC reconciliation	Non-reconciling — material finding confirmed	↓ Negative
NOI trend	↓ \$276,000 YoY — declining	↓ Negative
Lease rollover	34% of GLA within 18 months	↓ Negative
Sponsor support / reporting exception	Unconfirmed — no sponsor credit applied · financial reporting exception logged · PFS request active	→ Neutral
Debt service	Current — 24 months — both loans	↑ Mitigating
Sponsor engagement	Active — Suite 200 lease executed	↑ Mitigating

Five factors negative or neutral. Two mitigating. Full rationale in modal.

POST-REVIEW CONDITIONS — SUMMARY

Condition	Due
Updated guarantor PFS — Marcus Webb	30 days from submission
Suite 200 rent commencement confirmation and DSCR recalculation	60 days from submission
Enhanced monitoring package — monthly rent roll · operating statement · DSCR recalculation until covenant cure	Ongoing

Both conditions tracked automatically by Jazz after submission.

PORTFOLIO RISK DISTRIBUTION — PENDING CONFIRMATION

Will update live when Jordan confirms Special Mention.

Rating	Current	Upon confirmation[^c44]
Pass	41	40
Special Mention	0	1
Substandard	1	1
Total	42	42

YOUR DECISION

Jordan must review the full rating rationale before the confirmation statement activates.

Step 1 — Review the rationale:

[**View Full Rating Rationale**] ← active · opens modal overlay

Note: "Review the full risk rating rationale, supporting factors, and post-review conditions before confirming. Confirmation activates after Jordan completes the rating review."

Step 2 — Confirm after review:

Status before modal completion: ⌚ Rating rationale not yet reviewed

[**Confirm Rating — Special Mention**] ← greyed out until modal review completed

[**Request Revision**] ← available — opens free-text input for Jordan to flag a concern

Status after modal completion: ✅ Rating rationale reviewed

[**Confirm Rating — Special Mention**] ← now active · green · prominent

*Jordan's confirmation note: "**Confirming this rating finalizes the Special Mention — Watchlist determination, updates the portfolio risk distribution, and submits the finding to the Annual Review package for Credit Officer review. Post-review conditions and enhanced monitoring are logged and tracked automatically.**"*

On Jordan clicking [**Confirm Rating — Special Mention**]:

- Recommended rating badge updates: "Jazz Recommended Rating: Special Mention — Watchlist equivalent · pending Jordan's confirmation → **Special Mention — Watchlist · confirmed by Jordan Lee · March 2026**
- Risk rating matrix column header updates: "Recommended Basis" → "Finding"
- Portfolio risk distribution widget updates live: Pass 41→40 · Special Mention 0→1
- AR package risk rating rationale: ⌚ Generating → ✅ Populated
- AR package credit submission: 🔒 Locked → ⌚ Pending Credit Officer review
- Bottom persistent bar: [**Review AR Package**] activates

*Presenter note: "**The payoff moment. Jazz recommended Special Mention — Watchlist equivalent. Jordan reviewed the full rationale and confirmed. The portfolio widget updates live — Pass drops from 41 to 40, Special Mention goes from 0 to 1. This is still relationship-level: the Outparcel Note is not the driver, but it moves with the Cedar Grove relationship rating. Three categories, three confirmations, one rating. Jordan clicks Review AR Package.**"*

AR PACKAGE PREVIEW

Jordan clicks [**Review AR Package**]. The Annual Review tab loads — Tab 3.

PERSISTENT RELATIONSHIP BANNER

Field	Value
Relationship	Cedar Grove — Cedar Grove Retail Holdings LLC
Exposure	\$18.6M
AR Due	14 days
Last Rating	Pass
Status	 AR Package — Ready for submission

Quick Links — top right: Annual Review · Documents

PERSISTENT TAB BAR

Highlights · Jazz Assessment · | · **Annual Review** ← active · Documents

AR PACKAGE HEADER

Annual Review Package — Cedar Grove Relationship Cedar Grove Retail Holdings LLC · \$18.6M total exposure Review date: March 2026 · Reviewed by Jordan Lee

Package status:  Complete — ready for Credit Officer submission

AR PACKAGE SECTIONS

Four sections are visually expanded on the critical presenter path. Four sections appear as collapsed but fully populated — available for drill-down if an audience member asks.

SECTION 1 — RELATIONSHIP SUMMARY ← expanded · critical presenter path 

Populated

Field	Detail
Relationship	Cedar Grove — Cedar Grove Retail Holdings LLC
Borrower	Cedar Grove Retail Holdings LLC — single-purpose entity
Guarantor	Marcus Webb — Webb Commercial Real Estate Group
Total exposure	\$18.6M — Cedar Grove Commons \$17.2M · Outparcel Note \$1.4M
Bank relationship since	2019

Loan origination	2021
Review type	Full Annual Review — relationship-level — both loans
Review date	March 2026
Reviewing PM	Jordan Lee

SECTION 2 — RELATED LOAN SECTION ← collapsed · populated  Populated · Cedar Grove Outparcel Note — \$1.4M — no standalone loan-level issues identified · included in relationship-level Annual Review · rating moves with Cedar Grove relationship.[^c50]

SECTION 3 — FINANCIAL ANALYSIS ← expanded · critical presenter path  Populated · Confirmed by Jordan — March 2026

Metric	Current	Prior	Direction
Bank-side NOI	\$1,370,000	\$1,646,000	↓ \$276,000
Annual debt service	\$1,188,000	\$1,188,000	Unchanged
DSCR	1.15x	1.39x	↓ 0.24x
Physical occupancy	79%	94%	↓ 15pp
Primary NOI driver	Suite 200 — 8,400 SF — 7 months dark	Occupied	Vacant

SECTION 4 — COVENANT SUMMARY ← expanded · critical presenter path  Populated · Confirmed by Jordan — March 2026

Covenant	Threshold	Current	Status
DSCR floor	1.20x	1.15x	 Breach — confirmed
Occupancy floor	80%	79%	 Breach — confirmed
CCC attestation	Compliant methodology under Section 6.2	Non-reconciling	 Material finding — confirmed
Financial reporting / guarantor PFS	Current PFS within 12 months	18 months · request outstanding	 Financial reporting covenant exception logged

SECTION 5 — VERIFICATION NARRATIVE ← collapsed · populated  Populated · Borrower CCC non-reconciling under Section 6.2 — material finding confirmed by Jordan

SECTION 6 — GUARANTOR AND SPONSOR DOCUMENTATION ← collapsed · populated  Populated · SREO received · no obvious inconsistencies · PFS stale · financial reporting covenant exception logged · conservative basis confirmed · no sponsor credit applied

SECTION 7 — RISK RATING RATIONALE ← expanded · critical presenter path  Populated · Confirmed by Jordan — March 2026

Field	Detail
Prior rating	Pass
Confirmed rating	Special Mention — Watchlist
Primary basis	Dual covenant breach — DSCR 1.15x below 1.20x floor · Occupancy 79% below 80% floor
Material finding	CCC non-reconciling — Section 6.2 does not support borrower treatment
Sponsor treatment	Conservative basis — no sponsor credit applied — financial reporting covenant exception logged · PFS pending
Mitigating factors	Current debt service — 24 months · Active sponsor engagement · Executed Suite 200 lease
Forward outlook	Suite 200 commencement ~60 days — preliminary DSCR ~1.25x above floor if all else holds
Management posture	Active Commercial PM management with enhanced monitoring · Credit Officer may determine whether Special Assets transfer is required under bank policy

SECTION 8 — POST-REVIEW CONDITIONS ← collapsed · populated  Populated · 2 conditions · Jazz tracking active

#	Condition	Due	Tracking
1	Updated guarantor PFS — Marcus Webb	30 days	 Jazz tracking

2	Suite 200 rent commencement confirmation and DSCR recalculation	60 days	✓ Jazz tracking
3	Enhanced monitoring package — monthly rent roll · operating statement · DSCR recalculation until covenant cure	Ongoing	✓ Jazz tracking

SUBMISSION BLOCK

Item	Status
All sections complete	✓
Jordan's confirmations logged	✓ 3 of 3
Risk rating confirmed	✓ Special Mention
Post-review conditions set	✓ 3 conditions tracked · enhanced monitoring active
Ready for Credit Officer	✓

[**Submit to Credit Officer**] ← green · prominent

[**Return to Jazz Assessment**] ← secondary

On Jordan clicking [**Submit to Credit Officer**]:

- AR package status: Ready for submission → ✓ Submitted to Credit Officer
- Relationship banner status: "Annual Review in progress" → "Submitted to Credit Officer · Special Mention — Watchlist confirmed · enhanced monitoring active"
- Transition to Act 4

Presenter note: "Eight sections. All populated by Jazz. All confirmed by Jordan. Relationship summary, financial analysis, covenant summary, risk rating rationale — the four critical sections are open. The rest are collapsed but fully populated. Three post-review conditions tracked: PFS 30 days, Suite 200 commencement 60 days, enhanced monthly monitoring ongoing. Jordan clicks Submit. Done."

FULL RATING RATIONALE REVIEW

Opens as full overlay on Screen 12 when Jordan clicks [View Full Rating Rationale]

HEADER

Full Rating Rationale — Cedar Grove Relationship Cedar Grove Retail Holdings LLC · \$18.6M total exposure · Annual Review March 2026 Jazz Recommended Rating: Special Mention — **Watchlist equivalent**

Jazz note: "This modal presents the full risk rating rationale for Jordan's review. All inputs trace to Jordan's confirmed findings in Exceptions 1, 2, and 3. The recommendation does not become the final rating until Jordan confirms on the base screen."

SECTION 1 — CONFIRMED INPUTS FROM EXCEPTIONS

Category	Jordan's Confirmation	Date
Exception 1 — DSCR	1.15x operative — below 1.20x floor — no normalization applies	March 2026
Verification — CCC	Non-reconciling — Section 6.2 does not support borrower treatment — material finding	March 2026
Completeness — Sponsor	Conservative basis — no sponsor credit applied — PFS request active	March 2026

SECTION 2 — FULL RISK RATING MATRIX

Factor	Finding	Weight	Direction
DSCR	1.15x — below 1.20x floor — confirmed	Primary	↓ Negative
Occupancy	79% — below 80% floor	Primary	↓ Negative
CCC reconciliation	Non-reconciling — material finding confirmed	Primary	↓ Negative
NOI trend	↓ \$276,000 YoY — declining	Supporting	↓ Negative
Lease rollover	34% of GLA within 18 months	Supporting	↓ Negative
Sponsor support	Unconfirmed — no credit applied — PFS pending	Supporting	→ Neutral
Debt service	Current — 24 months — both loans	Mitigating	↑ Mitigating
Sponsor engagement	Active — Suite 200 lease executed	Mitigating	↑ Mitigating

SECTION 3 — RATING RATIONALE NARRATIVE

Primary basis for Special Mention:

The Cedar Grove relationship has deteriorated from a clean Pass at the March 2025 Annual Review to a dual covenant breach position at the current review date. The primary loan — Cedar Grove Commons, \$17.2M — is the driver of the Annual Review findings. The Cedar Grove Outparcel Note (\$1.4M) was reviewed separately, has no standalone loan-level issues identified, and is included in the relationship-level Annual Review. If the relationship-level Special Mention — Watchlist rating is confirmed, the Outparcel Note moves with the Cedar Grove relationship rating.

Cedar Grove Commons DSCR has declined from 1.39x to 1.15x — driven by a \$276,000 NOI reduction primarily attributable to Suite 200 vacancy. Occupancy has declined from 94% to 79% — one percentage point below the 80% covenant floor. Both breaches are confirmed.

The borrower's Covenant Compliance Certificate attests DSCR compliance at 1.25x — above the 1.20x floor. Jordan's review of the CCC income schedule, the executed Suite 200 lease, and Section 6.2 of the loan agreement confirmed that the borrower's income inclusion is non-compliant with the covenant definition at the calculation date. The CCC non-reconciliation is a material finding independent of the underlying DSCR breach.

Guarantor PFS on file is 18 months old — outside the financial reporting requirement under active covenant pressure. Jazz logged a financial reporting covenant exception. The SREO cross-check shows no obvious inconsistencies and the SREO is current, but liquidity cannot be confirmed without the PFS. No sponsor support credit has been applied.

Mitigating factors considered:

Debt service is current across both loans for the trailing 24 months. The borrower has executed a replacement lease on Suite 200 at \$14.00/SF — above the prior rate of \$9.90/SF — with rent commencement 60 days out. Sponsor is actively engaged and submitted a leasing update as part of the Annual Review package. Substandard is not currently warranted because debt service remains current, the borrower has executed a replacement lease for Suite 200, sponsor engagement remains active, and a credible cure path is documented.^[^c46]

Why mitigating factors do not sustain Pass:

Current debt service performance and the executed Suite 200 lease are positive signals but do not offset the dual covenant breach at the review date. The bank's covenant testing methodology requires income to be currently in payment — the Suite 200 lease does not qualify at the calculation date. Until rent commences and DSCR recovers above the 1.20x floor the covenant breach is operative. Special Mention is the appropriate rating for a relationship with confirmed covenant breaches, a non-

reconciling CCC, and unconfirmed sponsor support. Because the file includes dual covenant breach, CCC non-reconciliation, an unresolved financial reporting covenant exception, and no creditable sponsor support, Pass is no longer supportable on the current documented record.

Alternative path considered:

If the only issue were Suite 200 rent timing, some banks might consider a forbearance letter, waiver, or intensified monitoring rather than an immediate downgrade. This scenario takes the conservative downgrade path because Cedar Grove has multiple concurrent issues: DSCR breach, occupancy breach, CCC non-reconciliation, unresolved financial reporting covenant exception, and no documented sponsor liquidity support. Bank credit policy determines whether forbearance, waiver, or downgrade is the appropriate path.

Forward outlook:

Suite 200 rent commencement in approximately 60 days — if confirmed — will add \$117,600 to annualised NOI. At that point bank-side DSCR would increase to approximately 1.25x — above the 1.20x floor — assuming all other income and expense lines hold. The path back to Pass is visible and credible. Special Mention reflects the current position, not a terminal credit view.

SECTION 4 — POST-REVIEW CONDITIONS

#	Condition	Detail	Due	Tracking
1	Updated guarantor PFS	Marcus Webb — current PFS within 12 months	30 days from submission	✅ Jazz tracking
2	Suite 200 commencement confirmation	Confirm rent commencement and trigger DSCR recalculation	60 days from submission	✅ Jazz tracking
3	Enhanced monitoring package	Monthly rent roll, operating statement, and DSCR recalculation until covenant cure	Ongoing	✅ Jazz tracking

SECTION 5 — JORDAN'S REVIEW ACKNOWLEDGMENT

Activation rule: Checkbox activates after Jordan has reviewed all four sections above.

☐ **Jordan checks this box to mark the rating review complete:**

*"I've reviewed the full risk rating rationale, the confirmed inputs from all three exceptions, the supporting and mitigating factors, and the post-review conditions. **The Special Mention — Watchlist recommendation is supported by the confirmed***

findings, the unresolved financial reporting covenant exception, and the enhanced monitoring plan. I am satisfied that the relationship-level rating rationale is complete and defensible."

MODAL FOOTER ACTIONS

[**Close**] ← closes without completing review · no state change

[** **Mark Rationale Reviewed** [^{c48}]** ← greyed out until checkbox checked · activates on check · returns Jordan to base screen

On Jordan clicking [**Mark Rationale Reviewed **]:

- Modal closes
- Returns Jordan to Screen 12 base screen
- Status indicator appears above YOUR DECISION:

Rating rationale reviewed

- Helper text: *"Jordan has reviewed the full rationale and confirmed inputs. He may now confirm the Special Mention determination."*
- [**Confirm Rating — Special Mention**] activates — green · prominent

Presenter note: "Same mechanic as all three exceptions. Jordan reviews the full rationale — confirmed inputs, matrix, narrative, post-review conditions — before he can confirm. The recommendation does not become the final rating until Jordan puts his name on it."